NHPC Ltd. (NHPC)

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Manager/ [illegible],
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Scrip Code: 533098 General Manager/ [illegible],
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Scrip Code: NHPC

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Sub: Transcript of Conference Call for discussion on financial resul ts for quarter and half -year ended September 30, 2022
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Sir/ [illegible] ,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, it is to inform that the tr anscript of the Conference cal l with analysts and investors held on November 11, 2022, with respect to the financial results of the Company for the quarter and half-year ended September 30, 2022 is attached herewith and has also been made available on w ebsite of the Company at the link: http://www.nhpcindia.com/transcripts1.htm .

It is also confirmed that no Unpublished Price Sensitive Inform ation was shared in the above referred Conference Call.

This is for your information and records.

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“NHPC Q2 FY23 Earnings Conference Call ”

November 11, 2022

MANAGEMENT : MR. Y.K. CHAUBEY – CHAIRMAN AND MANAGING DIRECTOR , NHPC LIMITED
MR. R.P. GOYAL – DIRECTOR (FINANCE), NHPC LIMITED
MODERATOR : MR. RUPESH SANKHE – ELARA SECURITIES PRIVATE LIMITED

Moderator : Ladies and gentlemen , good day and welcome to the NHPC Q 2 FY’23 Earnings Conference Call hosted by Elara Securities Private Limited.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchstone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rupesh Sankhe from Elara Securi ties Private Limited. Thank you and over to you sir.
Rupesh Sankhe: Good afternoon , everyone . On behalf of Elara Securities, we welcome you all for the Q 2 FY’2 3 conference call of NHPC. I take this opportunity to welcome the management of NHPC represented by Mr. Y.K. Chaubey sir, Chairman and Managing Director; Mr. R.P. Goyal sir, Director (Finance) . We’ll begin the call with the brief overview by the management followed by Q&A session.
I will now hand o ver the call to Mr. Y.K. Chaubey sir for his opening remarks. Over to you , sir.
Y.K. Chaubey: Good evening friends. The NHPC Board has adopted Half Yearly Financial Results for the period ended 3 0th September ’22 in its meeting held on 1 0th November ’22 and the same has already been communicated to Exchanges. By now, I hope you all would have got chance to go through the quarterly and half yearly set of numbers.
First, I will just touch upon major highlights and then detailed analysis of the results shall be discussed by our Director (Finance), Shri Goyal sir.
■ Brief highlights of the financial results and important updates on the company are as under:

■ During Half Year FY’2 3, our Power Stations have achieved generation of 18,048 MUs vis -à-vis 17,155 MUs generated in the corresponding period of the previous year which is about 5% higher i.e. 893 MU s. This is mainly due to the higher water availability and restoration of Sewa -ll Power Station , which was completely shut down with effect from 25th September' 20 till 21st February '22.

■ Our PAF for Half Year FY'2 3 stands at 9 9.23% against the corresponding previous period PAF of 95.74%, which is about 4% higher.

■ During Half Year FY'2 3, Company has earned Revenue from Operation of Rs. 5,482 Crore as against Rs. 4,916 Crore in the corresponding previous period.

■ During Half Year FY'2 3, Company has earned PAT of Rs. 2 ,483 Crore vis-à-vis Rs. 2 ,217 Crore of corresponding period which is up by Rs. 266 Crore i.e. 12% approx imately .

■ On physical front, as we have been sharing that the active construction work at Subansiri Lower Project site is going on full swing. Some of the major milestone s have been completed towards commissioning of the project . Although project hit by flood and extended monsoon in last two months, but I am very hopeful that we can commission two units by June'23. The full commissioning i.e. all units of the project i s expected by March '24.

■ In respect of Parbati -II HE Project, the pac e of tunnel ing work has been hampered due to the formation of cavity and ingress of water from tunnel face, which flooded the tunnel. Several setback / events occurred at th is front during previous month s. The work has already been resumed. We

are trying our best to complete the remaining tunneling work s to complete the project by December '23.

■ In respect of Dibang Multipurpose Project i.e. 2,880 MW, PIB in its meeting held on 11th October '22 recommended the proposal regarding implementation of the project by NHPC for consideration of CC EA. Draft material for CC EA note has been submitted to MoP on 28th October'22. The estimated cost of the project is Rs. 3 1,876 Crore and estimated le

velized tariff is Rs. 4. 46 per unit.

■ As shared earlier that NHPC ha s acquired Lanco Teesta Hydro Power Limited ' Teesta -VI project (500 MW) through NCLT route . Estimated cost of the project is Rs. 5,748 Crore out of which we heve already incurred expenditure of Rs. 1,8 19 Crore till September '22. Estimated levelized tariff of the project is Rs. 4. 07 per unit. Expected commissioning schedule of the project is July'25. Further, we are in the process of merger of LTHPL with NHPC and it is presently under examination by MCA.

■ As we have already shared that NHPC ha d acquired another project i.e. Jal Power Corporation Limited's Rangit IV project (120 MW) in Sikkim through NCLT route. The estimated cost of the project is Rs. 938 Crore out of which we have already incurred expenditure of Rs. 334 Crore till September' 22 and estimated levelized tariff is Rs. 4.37 per unit. Further, we are in the process of merger of JPCL with NHPC. The project is expected to be completed by August'24.

■ The Ratle HE Project, UT of J&K (850 MW) is being developed by Ratle Hydroelectric Power Corporation Limited (a joint venture of NHPC and JKSPDC in which NHPC holds 51% share). The contract of Turnkey execution of the project has been awarded to M/s Megha Engineering and Infrastructure Limited on 18th January '22. Hon' ble Prime Minister of India led the foundation stone of the project on 24th April '22. The estimated cost of the project is Rs. 5,282 Crore . The work ha s already

been started at site and we have inc urred expenditure of Rs. 110 Crore till September '22. The levelized tariff of the project is Rs. 3.92 per unit. The project is expec ted to be completed by February '26.

■ Presently, NHPC through its subsidiary CVPPL is executing t hree projects in Chenab Basin , UT of J&K. Construction work of Pakaldul HE Project (1000 MW) and Kiru HE Project (624 MW) is progressing well within the overall schedule of the completion i.e. July' 25 and we have incurred expenditure of Rs. 2,517 Crore and Rs. 815 Crore till September '22 on these projects respectively.
Further, Hon'ble Prime Minister of India has led the foundation stone of the Kwar H ydro Electric Project (540 MW) on 2 4th April'22. Civil work package stands awarded and work has also been started at sit e. The projec t will be completed by November '26. The estimated cost of the project is Rs. 4,526 Crore and estimated levelized tariff is Rs. 4.44 per unit.
■ As we have shared that s ome of the largest Hydroelectric Projects in the Siang and Subansiri Basins have been allotted to N HPC by Ministry of Power on 22nd December'21. The project s in Subansiri Basin i.e. 2,000 MW Subansiri Upper and 1 ,800 MW Subansiri Middle shall be developed by NHPC on standalone basis while 10 ,000 MW Upper Siang and 2 ,700 MW Siang Lower in Siang Basin are to be developed in JV mode.

■ Apart from above, NHPC is working on three new projects in UT of J&K viz Sawalkot (1856 MW), Uri -I Stage -II (240 MW), Dulhasti Stage -II (260 MW) and Dugar Project (500 MW) in Himachal Prad esh.

■ In respect of Sawalkot HEP, agreement on handing over / taking over has been signed between NHPC and JKSPDC on 11th December '21 & NHPC has taken over the project . Ministry of Power has accorded

investment approval on 12th July'22 for incurring expend iture on pre - investment activities for an amount of Rs. 973 Crore at November '21 price level. Process for obtaining forest clearance has been initiated.

■ DPR of Uri-I Stage -II HEP was submitted on 18 th May' 22 and accepted by CEA for examination in the meeting held on 20 th June'22. EIA/EMP study for Environment Clearance is in progress. 11 out of total 23 clearances have been obtained. Further , process for obtaining f orest clearance is also in progress.

■ I

n respect of Dulhasti Stage – II Project, clearance of 7 out of 9 nos. of Chapters have been received and EIA/EMP studies for Environment Clearance is in progress . No forest clearance is required in this project and NOC has been obtained from Forest Department . Further, Defense Clearance has already been accorded by Ministry of Defense .

■ DPR of Dugar project has been concurred by CEA on 26th April '22. Tender for EPC con tract for Dugar project is under process and we shall be ready for award once we get the requisite PIB/CCEA clearance for the implementation of the project.

■ Bulk Power Supply Agreement has been signed between Lanco Teesta Hydro Power Limited and Chattisgarh State Power Distribution

Company Limited at Raipur on 21st July'22 for power generated from 500 MW Teesta -VI H.E. Project for a period of 40 years from COD.

■ We have inked an M oU with the Investment Board of Nepal at Kathmandu, Nepal on 18th August ’22 for development of 750 MW West Seti and 450 MW SR -6 hydroelectric projects. NHPC also signed M oU with PTC India Limited for Po wer Sales Arrangement of these projects on 30th August’ 22. Further , the discussions for implementing 480 MW Phukot karnali project in Nepal are in final stage.

■ NHPC Renewable Energy Limited, the wholly owned subsidiary of NHPC Limited, has signed MoU with Government of Rajasthan on 24th August ’22 at New Delhi for “Development of 10 ,000 MW Ultra Mega Renewable Energy Power Parks ” in the state of Rajasthan .

■ NHPC bagged 1 ,000 MW capacity Solar Power project at a Viability Gap Funding of Rs. 44.9 lakh/MW under CPSU Scheme, Phase -II, Tranche -III in the e -Reverse auction conducted by Indian Renewable Energy Devel opment Authority (IREDA) on 23rd September '21. Further , EPC Contract s have been awarded for development of the project and transmission line for power evacuation to ISTS sub -station along with the comprehensive Operation & Maintenance for five years .

■ Power Purchase Agreement has been signed between Bundelkhand Saur Urja Limited and Uttar Pra desh Power Corporation Limited for Kalpi Solar Power Project on 28th April '22 at a fixed tariff of Rs. 2.68/unit. Further, the project has been synchronized with the Grid and commissioned partially on 9th July’22. Capacity will be added to Grid gradually t o full capacity of 65 MW by 31st December '22.

■ As we have shared earlier that NHPC as an intermediary procurer awarded 2 ,000 MW ISTS connected solar PV Power Project to 5 nos. of developers with a trading margin of 7 paise/unit. Out of 2 ,000 MW, 320 MW was awarded to M/s Avaada Energy Pvt. Ltd. at Bikaner, Rajasthan. Recently, part commissioning of 153.6 MW and 112 MW of said p roject has been achieved on 14th and 28th September’22 respectively. Balance capacity of 54.4 MW is expected to be commissioned b y November '22. For balance capacity , land location confirmation , transmission connectivity feasibility by CTU , financing arrangement, supply order for module / balance of system ha ve been achieved by respective developers.

■ NHPC is also exploring to develop Pumped Storage Projects in the state of Andhra Pradesh , Odisha , Jharkhand , Karnataka , Madhya Pradesh and Maharashtra . We are conducting study on the feasibility of certain projects , like Indrasagar Omkareshwar Pumped Storage Scheme (525 MW) and Tekwa -2 Pumped Storage Scheme (800 MW) in Madhya Pradesh and also some projects in other states .

■ NHPC has annual CAP EX plans of Rs. 8,000 Crore approximately in the coming years considering its projects ' pipeline .

This is all from my side . Now I request Director (Finance), Shri Goyal to discuss financial results in detail . Thank you .

R.P. Goyal: Good even ing, friends . I am going to share with you detailed quarterly and half yearly s

et of numbers with the detailed analysis.

NHPC Board has adopted Half Yearly Financial Results for the period ended 3 0th September ’22 in its meeting held on 1 0th November '22 and the same has already been communicated to Exchanges.

■ Brief highlights of the financial results and important updates on the Company are as under:

■ During Half Year FY’23 , our Power Stations have achieved generation of 18,048 MUs vis -à-vis 17,155 MUs generated in corresponding period of the previous year which is about 5% higher i.e. 893 MUs.

During 2nd Quarter FY’23 , our Power Stations have achieved generation of 9,980 MUs vis -à-vis 9,912 MUs generated in corresponding period of the previous year showing marginal increase .

■ Our PAF for the Half Year FY’23 stands at 9 9.23% against the corresponding previous period PAF of 95.74% which is about 4% higher.

Our PAF for 2nd Quarter FY’23 stands at 99.87% against the corresponding previous period PAF of 99 .00% which is about 1% higher.

■ For Half Year FY’23 , Company has earned Revenue from Operation of Rs. 5,482 Crore as against Rs. 4,916 Crore in the corresponding previous period which is 12% higher. In absolute figure, it is Rs. 566 Crore . The increase in revenue is mainly due to higher generation (Rs. 450 Crore approx.) and increase in revenue from Power Trading Busi ness by Rs. 111 Crore .

During Q2 FY’23 , Company has earned Revenue from Operation of Rs. 2,888 Crore as against Rs. 2,745 Crore in the corresponding previous period, which is about 5% higher . The increase in revenue is mainly due to higher generation and increase in revenue from Power Trading Business by Rs. 7 Crore . Increas e in revenue on account of high er generation is to the tune of Rs. 137 Crore .

■ Other Income for the Half Year FY’23 is of the order of Rs. 332 Crore vis-à-vis Rs. 374 Crore during the corresponding previous period which is about 11% lower (i.e. Rs. 42 Crore). This is mainly due to decrease in Late Payment Surcharge by Rs. 126 Crore which mean s that our collection position has improved.

Other income for Q2 FY’23 is of the order of Rs. 1 15 Crore vis-à-vis Rs. 171 Crore during the corresponding previous period which is about 33% lower to the tune of Rs. 5 6 Crore . This is also mainly due to decrease in Late Payment Surcharge by Rs. 1 02 Crore .

■ During Half Year FY’23 , the Generation Expenses have gone up from Rs. 578 Crore to Rs. 637 Crore i.e. Rs. 59 Crore which is mainly due to applicability of water cess in state of Uttarakhand and Sikkim .

During Q2 FY’23 , the Generation Expenses have gone up from Rs. 316 Crore to Rs. 367 Crore , i.e. by Rs. 51 Crore which is also mainly due to applicability of water cess in Uttarakhand and Sikkim.

■ During Half Year FY’23 , the Employees Cost has come down from Rs. 623 Crore to Rs. 598 Crore i.e. by Rs. 25 Crore . The decrease is mainly due to superannuation of employees , which is partly offset by increase due to increment, promotion etc.

During Q 2 FY’2 3, the Employees Cost has come down from Rs. 3 06 Crore to Rs. 291 Crore i.e. by Rs. 15 Crore and which is again due to superannuation of employees and partly offset by increase in DA etc .

■ During Half Year FY’23 , there has been decrease in the Finance Cost from Rs. 268 Crore to Rs. 244 Crore i.e. by Rs. 24 Crore which is mainly due to change in rate of interest by Rs. 1 1 Crore and decrease due to Repayment of Loans by Rs. 16 Crore .

During Q 2 FY’23 , there has been decrease in the Finance Cost from Rs. 134 Crore to Rs. 10 7 Crore i.e. by Rs. 27 Crore which is mainly due to change in rate of interest by Rs. 6 Crore and decrease d ue to Repayment of Loans by Rs. 8 Crore .

■ During Half Year FY’23 , the Depreciation & Amortization Expenses have gone up from Rs. 559 Cr

ore to Rs. 571 Crore i.e. by Rs. 12 Crore
which is mainly due to additional capitalization in certain power stations.
During Q 2 FY'23 , the Depreciation and Amortization Expenses have gone up from Rs. 280 Crore to Rs. 28 4 Crore i.e. by Rs. 4 Crore . This is mainly due to additional capitalization in certain power stations.

■ During Half Year FY'23 , Other Expenses have gone up from Rs. 595 Crore to Rs. 8 58 Crore i.e. by Rs. 264 Crore . This is mainly due to increase in Provision against impairment of investment in respect of

Loktak Downstream Hydro electric Power Corporation Limited by Rs. 106 Crore , fair value loss on financial assets amounting to Rs. 124 Crore and increase in CSR expenditure by Rs. 43 Crore which is partly offset by decrease in Insurance Expenses by Rs. 17 Crore .
During Q2 FY'23 , Other Expenses have gone up from Rs. 283 Crore to Rs. 352 Crore i.e. by Rs. 69 Crore . This is mainly due to increase in fair value loss on financial assets of R s. 38 Crore and increase in R&M expenses , Security Expenses and CSR expenses etc.

■ During Half Year FY'23 , MAT Credit of Rs. 264 Crore has been recognized in the books out of which net impact of Rs. 127 Crore has been on the profit of the company . In other words , Rs. 127 Crore has been added in the profit on account of MAT Credit recognition .
During Q2 FY'23 , MAT C redit of Rs. 138 Crore has been recognized in the books out of which net impact of Rs. 12 3 Crore has been on the p rofit of the company.

■ During Half Year FY'23 , we have earned Profit After Tax of Rs. 2 ,483 Crore vis-à-vis Rs. 2 ,217 Crore of corresponding previous period which is up by Rs . 266 Crore i.e. approx. 12% and the reasons for decrease and increase in the line items, we have just discussed in the forgoing paragraphs.
During Q2 FY'23 , we have earned Profit After Tax of Rs. 1,433 Crore vis-à-vis Rs. 1,305 Crore of corresponding previous period which is up by Rs. 128 Crore i.e approx 10% and the reasons for decrease and increase in the line items , we have just discussed in the forgoing paragraphs .

■ During Half Year FY'23 , the incentive position is as under :

Our PAF based Incentive during First Half of the FY'23 was Rs. 353 Crore as against Rs. 3 13 Crore in the corresponding previous Half Year. So, there is an increase of Rs. 4 0 Crore on account of P AF based incentive .
On account of Deviation Charges , we have earned Rs. 1 19 Crore during this current Half Year as against Rs. 85 Crore in the corresponding previous period. Thus, there is an increase of Rs. 34 Crore in Deviation Charges.
So, our total incentive on account of these two incentive s is Rs. 472 Crore for current Half Year as against Rs. 398 Crore earned in the corresponding previous Half Year . So, there is a n increase of Rs. 74 Crore in the current Half Year .

■ During Q2 FY'23 , the incentive position is as under:
On PAF based incentive, we have earned Rs. 181 Crore during this Q2 of FY'23 as against Rs. 187 Crore in the corresponding previous period . So, there is a marginal decrease of Rs. 6 Crore .
On account of Deviation Charges , we have earned Rs. 4 7 Crore in both the quarter s i.e. Q2 of FY'23 and Q2 of FY '22, Deviation Charges were Rs. 47 Crore . So, this is flat.
CAPEX of Rs. 2,646 Crore has been incurred during Half Year FY'23 against the target CAPEX of Rs. 8,061 Crore for FY'23 on consolidated basis.

■ The anticipated cost of Parbati -II Project is Rs. 11,13 5 Crore out of which we have already spent Rs. 10,02 5 Crore till September ’22. The estimated levelized tariff based on the anticipated cost is Rs. 6.19 per unit.

■ The revised cost of Subansiri Project is Rs. 19 ,992 Crore out of which we have already i

ncurred Rs. 1 6,395 Crore till September ’22. The estimated levelized tariff based on the anticipated cost is Rs. 5.00 per unit.

■ Other major highlights of the company are as under:

■ On realization front, NHPC has received Rs. 3,800 Crore from the beneficiaries against sale of energy during Half Year FY’23 as compared to Rs. 4,239 Crore in the corresponding period of previous year. Trade receivables as on 3 0th September ’22 stan ds at Rs. 5,854 Crore as against Rs. 4,621 Crore as on 31st March ’22. This includes Rs. 2,751 Crore as unbilled debtors as on 30th September '22 as against Rs. 1,961 Crore as on 31st March '22.

■ The Net Receivables out of total reported Trade Receivables as on 30th September ’22 are classified as under:
Total reported Trade Receivables are Rs. 5,854 Crore as on 30th September ’22. Out of this, Unbilled Debtors are Rs, 2,751 Crore . So, the amount of Billed Debtors is Rs. 3,103 Crore . Out of this amount , realization through b ill discounting from our disco ms is Rs. 1,114 Crore , so leaving 1,989 Crore as net receivable s. The Billed Debtors comprises only Rs. 113 Crore for more than 45 days and the rest amount around Rs. 3,000 Crore is less than 45 days.
So, this is all from my side. Now the forum is open for question and answer . Thank you.
Moderator: Thank you. Ladies and gentlemen , we will now begin with the question - and-answer session . [Operator Instructions] The first question is from the line of Apoorva Bahadur from Investec . Please go ahead .

Apoorva Bahadur: Thank you for the opportunity . Sir, wanted to check on th e completion of dam work at Subansiri. In cubic meters , how much has been completed ? And what is the total target ?
Y.K. Chaubey: In Subansiri, the total dam quantity is 20.56 lakhs cubic meter and out of that , 18.32 lakhs cubic meter concrete has been already done . So, that constitutes 89 %.
Apoorva Bahadur: And what is the monthly run rate typically over here over the last couple of months ?
Y.K. Chaubey: In a month , normally 60 ,000 or the 12 ,000 cubic meter concrete is done, but that all depends upon the season . Like in monsoon season , rate of concreting is low , because it gets disturbed with the rain and other thing s. But now, we have entered int o the non -monsoon period . That is basically working period and it is going to increase .
Apoorva Bahadur: So, what would be the typical run rate during non -monsoon periods if 12,000 cubic meter is in the monsoon period ?
R.P. Goyal: It can be 40 ,000. You can take average of 40 ,000.
Apoorva Bahadur: Sir, one four or four zero ?
R.P. Goyal: Four zero.
Apoorva Bahadur: Four zero from 12 ,000.
R.P. Goyal: In non monsoon period, we expect to place concrete at the rate of 40,000 cubic meter per month .
Y.K. Chaubey: Actually, it also depends that once we come up , it becomes reinforced concrete and lot of reinforcement is required to put there . So, if it is

reinforced concrete, then it goes slightly , I mean , it becomes less and if it will be a mass concreting , then a total concrete rate increases . So, it

all depends on which location we are doing concreting in that particular month or that way .
Apoorva Bahadur: Sir, also on Parbati on the tunneling work , if you can share similar numbers , how much has been done in cubic meters or in percentage terms, a nd what's the monthly run rate expected over there ?
Y.K. Chaubey: At present , we can say that balance around 550 -560 meter is there . Otherwise, HRT is completed . We have completed 30.95 kilometer out of 31.54 kilometer and 560 meter is left out and then , the entire HRT will be completed . So, this is on the execution part.
Apoorva Bahadur: And sir, how much do we expect to do , say, every month in the post monso

on season now ?
Y.K. Chaubey: At present , we are doing it 2 meter or 3 meter in a day. So, you can s ay 60-70 meter per month.
Apoorva Bahadur: So, we will t ake say less than 10 month s, 9-10 months probably to complete this.
Y.K. Chaubey: Yeah. We can say. But as geology improves because at pres ent, we are negotiating slightly poor condition in the daily blasting phase of it . So, that's why it's slow , but it may improve further as we negotiate the entire that band .
Apoorva Bahadur: Sir, also just wanted to check on this late payment surcharge thing . How much of our receivables have been converted over here ?
R.P. Goyal: Actually , overdue s in respect of J&K and Tamil Nadu to the tune of Rs. 1,400 Crore has been agreed to be paid in installments. So, from J&K we are getting Rs. 50 Crore per month in 28 installments and in case of Tamil Nadu , there is small amount of Rs. 20 Crore which we are getting in 40 installments. So, the total amount will be liquidated.

Apoorva Bahadur: So for both of these, it's a 48-month EMI or is it for a shorter term?
R.P. Goyal: No, in case of J&K, it is 28 installments and in case of Tamil Nadu, it is around 40 installments. But in case of Tamil Nadu, amount is very small.
Moderator: Thank you. The next question is from the line of Aniket Mittal from SBI Mutual Fund . Please go ahead .
Aniket Mittal: A couple of questions . So, one was just to understand on the employee level . I think if I look at over the past few years what we have done is , we have reduced our employees fairly significantly and that have kept check on our profitability as well. So, if you could just help me on that trajectory , you know, going forward , is there still room for us to as we build new projects , is there still room for us to divert some of the current employee to the new projects or there will be new employees that we will have to add ?
R.P. Goyal: Actually , earlier we were having over staffing. So, now we have entered in the ideal situation , but of course , due to coming of new projects , we require further manpower . So, we are in the process of engaging employees through open advertisements . But there is no alarming situation on account of number of employees . We are very much comfortable as of now .
Aniket Mittal: And j ust to understand on the employee front, when I , let's say , were to have a look at your actual O&M expense and compare that with the normal , is there any under recovery now over there or maybe are we doing better than the O&M now?
Y.K. Chaubey: Actually , under recovery issue was in the past and nowaday s, we are well within the O&M charges which we are receiving from C ERC. So, there is no issue of under recovery at present . Rather , we are sa ving something .

Aniket Mittal: The second question was on the Subansiri front . You stick to your
timelines of June '23, but just wanted to understand the recent , you
know, landslide that have happened over there . If you could just
elaborate a bit more on the impact that's happened on that project and
are there any restoration works that would be required ? And how are we
going about that ?
Y.K. Chaubey: Yeah . We have started the restoration work in last September and
October month s. There has been extended rainfall and some slide has
taken place in the diversion tunnel area . So now, there is no flood . Even
rain has stopped . So, we have planned our work and we will be going
ahead with our planning . For two months work has hampered , progress
has hampered and it has got impact . Earlier , we are determined to
complete it by March '23. So, one or two months it will go ahead and by
June'23 we are sure of completing it .
Aniket Mittal: So, it's largely the diversi

on tunnel that's being impacted . There are no
other structures that have been impacted here .
Y.K. Chaubey: Diversion tunnel and basically , the access going to the divers ion tunnel.
So, that access road has to be rebuilt so that we can reach to the diversion
tunnel and carry out our works . So, basically that will be taking some
time and because of that reason, we have put additional two months and
two units are likely to be commissioned by June '23.
Aniket Mittal: Just one last question . I think , recently , there's been an MoU that you
have signed with the Bharat Electronics on solar manufacturing . Could
you just, you know, throw some light on the rationale for that ? And what
is it that we are looking to do on that front ?
R.P. Goyal: Actually , it is just in initial stage of talks . No concrete proposal has come
from BEL and as per our understanding , we have signed a n MoU for
manufacturing o f panels for solar projects , but nothing concrete has
come as of now.

Moderator: Thank you. The next question is from the line of Mohit Kumar from
DAM Capital . Please go ahead .
Mohit Kumar: So, my first question is on which other projects which you were looking
to tender out in the next fiscal? Do you think Sawalkot will go to the
tendering process in th is fiscal?
Y.K. Chaubey: Yes, Sawalkot NIT already floated .
Mohit Kumar: Sawalkot is 1,856 Megawatt , right ? That's a large project .
Y.K. Chaubey: Yes.
Mohit Kumar: And this will get awarded in this fiscal?
Y.K. Chaubey: It will take some time , because some clearances are yet to be done there .
Though we have floated the NIT and we are in process of receiving the
bids, but maybe that will be extending some time and because we have
got time actually . Some clearances are still pending and that has to be
done first .
R.P. Goyal: Actually , it is expected to be decided in FY 23-24 only . In current year,
it will not be decided , because there are certain clearances yet to be
received.
Mohit Kumar: So, Dugar may happen in this stage too, right ?
R.P. Goyal: Dugar may happen by end of this FY. By March '23, we may expect.
Mohit Kumar: Secondly, sir, on the profitability side in this, what explains the increase
in profit from 1,305 Crore to 1,471 Crore in this standalone? And also
in JV there, also in the consolidated income, there is slightly higher
income, if I subtract consolidated, my standalone, that number
difference is 2.5 billion . Is it primarily related to the NHPC number ?
Can you just share the NHPC revenue by EBITDA and profit, if possible
for Q2 and this one?

R.P. Goyal : In standalone result s, the main reason of increase is recognition of MAT Credit in current quarter. i.e. amounting to Rs. 123 Crore . This is the main reason. In addition to that, there are impact of fair value loss of financial assets i.e. amounting to Rs. 38 Crore .
Mohit Kumar: Yeah. That's from the negative side.
R.P. Goyal : Negative side, yeah. Positive side is MAT Credit recognition a nd regarding your next question, for the half yearly increase in profit, the main reason is Rs. 127 Crore on account of again MAT Credit and increase in generation.
Mohit Kumar: On the consolidated number, sir.
R.P. Goyal : I am talking about standalone . In current half year, there is increase of 900 Million Units in generation. So, that has also tried to increase the profit. Regarding NHDC, in current half year, the total generation is 3,188 MUs as against 1,342 MUs in corresponding previous half year. So, there is an increase of 138% in the generation in current half year in NHDC . This has contributed a lot in consol idated Profit of the Group.
Mohit Kumar: Is it possible to share the NHDC 's quarterly number o n the revenue, EBITDA and PAT?
R.P. Goyal : Okay. First of all, I a

m sharing the generation figures for NHDC . In Q2 of FY'23 , the generation was 2,715 MUs as against 42 6 MUs in corresponding previous quarter. So, there is a tremendous increase in the generation of NHDC and it is the highest ever generation from NHDC so far. It pertains to second quarter . NHDC Profit is Rs. 416 Crore as against Rs. 258 Crore for the half year and Rs. 305 Crore as against Rs. 105 Crore for the second quarter.
Mohit Kumar: Can you repeat the quarter number, sir, again?

R.P. Goyal : Rs. 305 Crore is the PAT. Current quarter PAT is Rs. 305 Crore against Rs. 105 Crore in the corresponding previous quarter .
Mohit Kumar: Lastly, sir, on the receivable accounting, if you can just tell us, you know, what are the outstanding amount from J&K and Telangana? What are the outstanding amount principal plus late payment surcharge? And how the accounting has happened? Or what has led to the fair value, if you can just throw some more light on that?
R.P. Goyal : As I mentioned in my speech that on account of billed debtors, the amount is Rs. 3,103 Crore for the company as a whole. Out of this, J&K outstanding is Rs. 1,477 Crore . Out of that, around Rs. 1,250 Crore are being received in installments as earlier mentioned from PFC and REC directly at the rate of Rs. 50 Crore per month. So, you can consider Rs. 1,250 Crore as securitized through PFC and REC and balance is being received directly from J&K by way of adjustment of water cess a nd in cash. In respect of UP, outstanding is Rs. 813 Crore . It is also only current dues which is less than 45 days. In respect of West Bengal, it is Rs. 457 Crore . This is also current due s and old due s is zero. In respect of Punjab, the amount is Rs. 108 Crore . This is also current dues and old dues is zero. A small amount in respect of Rajasthan Wind Power i.e. Rs. 83 Crore and out of Rs. 83 Crore , Rs. 79 Crore is the old due s, which we are pursuing with the state and others are Rs. 165 Crore in total dues. Out of that, only Rs. 42 Crore is the old dues. As on date, if you want as on date position of debtors, that also I can explain . Total amount is Rs. 1,286 Crore . Out of th at, more than 45 days i s only Rs. 146 Crore and this is on account of debtors.
Moderator: Thank you. The next question is from the line of Anuj Upadhyay from HDFC Securities . Please go ahead.
Anuj Upadhyay: So, starting , firstly on Parbati, sir. Sir, it would take at least 8 to 9 months to complete the tunneling work . So, by when are w e expect ing the COD to get achieved, sir, in the case of Parbati?

Y.K. Chaubey: It is scheduled for December '23.

Anuj Upadhyay: So, I mean, post tunneling work, we are saying it won't take beyond two or three months to commission the project . Is my understanding correct, sir?
Y.K. Chaubey: I mean, the station will be comp leted. Only 560 meter is left a nd then we have to go for the lining part that is around 3 kilometers balance as on date. Rest all other components are ready. So, only these two components or these two activities ha ve to be completed and then project will b e commissioned.
R.P. Goyal: Actually, as per our plan, within 5 to 6 months we will complete the balance excavation of 560 meters left out HRT and the concreting lining work will be done simultaneously and in m any areas at a time. So, as per our plan, it will be completed by December '23, and we are hopeful to complete according ly.
Anuj Upadhyay: And this marginal delays are across both the --
Moderator: Sorry to interrupt. Mr. Upadhyay, may we request that you return to the question queue? There are participants waiting for their turn.
Anuj Upadhyay: I just ask one question.
Moderator: Sir, you may please proceed.
Anuj Upadhyay: Secondly, sir, with this marginal increase in bot

h delay , I would say, in both Subansiri and Parbati , are our CAPEX cost is same or there is marginal escalation across both these projects?
R.P. Goyal : It will impact only IDC and establishment part and there is no like lihood in increasing hard cost. Basically, IDC is the paid cost. So, that may increase.

Anuj Upadhyay: Lastly, sir, can you share the quarterly Incentive Incom e and the Deviation Charges for that?
R.P. Goyal : Our PAF Incentive for the current quarter is Rs. 181 Crore and Deviation Charges are Rs. 47 Crore . So, the total incentive for the current quarter is Rs. 228 Crore as against Rs. 234 Crore in the corresponding previous quarter.
Anuj Upadhyay: Rs. 234 Crore , right, sir?
Y.K. Chaubey: Yes.
Moderator: Thank you, sir. [Operator Instructions] As there are no further question s, I now ha nd the conference over to Mr. Rupesh Sankhe for his closing comments.
Rupesh Sankhe: Yeah. So, we thank NHPC management for giving us an opportunity to host this call. We also thank all the investors and analysts for joining this call. Thank you .
Y.K. Chaubey: Thank you very much.
Moderator: Thank you . Ladies and gentlemen, on behalf of Elara Securities Private Limited , that concludes th is conference call. We t hank you for joining us and you may now disconnect your lines. Thank you.

Call: Jun 2023

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[redacted]./Ref. No. NH/CS/199 [redacted]/Date: 06.06.2023

Manager/ [redacted],
Listing Department/ [redacted] ,
M/s BSE Limited/ [redacted],
Phiroze Jeejeebhoy Towers / [redacted],
Dalal Street, /[redacted],
Mumbai/ [redacted] -400 001
Scrip Code: 533098 General Manager/ [redacted],
Listing Department/ [redacted] ,
M/s National Stock Exchange of India Limited/
[redacted] ,
Exchange Plaza, / [redacted] ,
Bandra Kurla Complex/ [redacted],
Bandra (E)/ [redacted] ([redacted]) , Mumbai/ [redacted] - 400 051
Scrip Code: NHPC

ISIN No. INE848E01016

Sub: Transcript of Conference Call for discussion on financial resul ts for quarter and year ended on
March 31, 2023
[redacted]: 31 [redacted], 2023 [redacted]

Sir/ [redacted] ,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, it is to inform that the transcript of the Conference cal l with analysts and investors held on May 30, 2023, with respect to the financial results of the Company for the qu arter and year ended on March 31, 2023 is attached herewith and has also been made available on website o f the Company at the link:
https://www.nhpcindia.com/welcome/page/121 .

It is also confirmed that no Unpublished Price Sensitive Inform ation was shared in the above referred Conference Call.

This is for your information and records.
[redacted] [[redacted] ([redacted]) [redacted]] [redacted] ,2015 [redacted] 30 [redacted], [redacted]
[redacted] 31 [redacted], 2023 [redacted] 30 [redacted] ,
2023 [redacted]
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“NHPC Limited
Q4 FY’23 Earnings Conference Call ”
May 30, 202 3

MANAGEMENT : MR. R. P. GOYAL – DIRECTOR (FINANCE) – NHPC LIMITED

MODERATOR : MR. RUPESH SANKHE – ELARA SECURITIES PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the NHPC Limited Q4 FY’23 Earnings Conference Call hosted by Elara Securities Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conferenc e is being recorded. I now hand the conference over to Mr. Rupesh Sankhe from Elara Securi ties Private Limited. Thank you and over to you, sir.

Rupesh Sankhe: Yes. So good afternoon, everyone. On behalf of Elara Securities, we welcome you all for the Q4 FY’23 Conference Call of NHPC. So , I take this opportunity to welcome the management of NHPC represented by Mr. R. P. Goyal, Director (Finance) and his team. We will begin the call with a brief overview by the management followed by Q&A session. I will now h and ov er the call to Mr. R. P. Goyal sir for his opening remarks. Over to you, sir.

R P Goyal: Good afternoon, friends. The NHPC Board has adopted annual financial results for the period ended 31st March '23 in its meeting held on 29th May'23 and the same h as already been comm unica ted to exchanges. By now, I hope you all would have gone through the results in the quarterly and yearly set of numbe rs.

■ Detailed analysis of financial results of the company are as below :-

■ During FY’23 , our power stations have achieved generation of 24,619 million units as against 24,494 million units generated in corresponding period of the previous year, which is marginally higher by 125 million units.

During Q4 FY’23 , our power statio ns have achieved generation of 2,89 1 million units vis -à-vis 3,37 8 million units generated in corresponding period of the previous financial year, which is about 14% lower, i.e. 487 million units in absolute terms.

■ Our PAF for FY’23 stands at 88.75% against the corresponding previous period PAF of 88.19%.

Our PAF for Q4 FY'23 stands at 67.96% as against the corresponding previous period PAF of 76.76%.

■ For FY'23 , company has earned Revenue from Operation of Rs. 9,316 Crore as against Rs. 8,309 Crore in the corresponding previous period, which is 12% higher. In absolute terms, it is higher by Rs. 1,007 Crore . The increase in revenue is mainly due to better generation and sales pertaining to previous years, mainly on account of billing of third pay revision arrears of employees by Rs. 244 Crore and increase in unbilled revenue on account of effective tax rate by Rs. 344 Crore and security and other expenses by Rs. 118 Crore , which have been recognized in revenue.
During Q4 FY'23 , company has earned Revenue from Operation of Rs. 1,717 Crore as against Rs. 1,506 Crore in the corresponding previous period, which is about 14% higher. In absolute terms, it is higher by Rs. 211 Crore . The increase in revenue is mainly due to increase in unbilled revenue on account of the effective tax rate by Rs. 344 Crore .
■ Other Income for FY'23 is of the order of Rs. 835 Crore as against Rs. 1,026 Crore in corresponding previous period, which is about 19% lower. In absolute terms, it is lower by Rs. 191 Crore . This is mainly due to decrease in Late Payment Surcharge by Rs. 176 Crore .
Other income for Q4 FY'23 is of the order of Rs. 254 Crore , as against Rs. 502 Crore during the corresponding previous period which is about 49% lower. This is mainly due to decrease in dividend income by Rs. 97 Crore and decrease in income from insurance claim by Rs. 144 Crore .
■ During FY'23 , the Generation Expenses have gone up from Rs. 841 Crore to Rs. 936 Crore , i.e. increased by Rs. 95 Crore , which is mainly

due to applicability of water cess in state of Uttarakhand, Sikkim and Himachal Pradesh.
During Q4 FY'23 , the Generation Expenses have gone up from Rs. 134 Crore to Rs. 152 Crore , i.e. increase of Rs. 18 Crore , which is again mainly due to applicability of water cess in the state of Uttarakhand, Sikkim and Himachal Pradesh.
■ During FY'23 , the Employee Cost has come down from Rs. 1,441 Crore to Rs. 1,301 Crore , resulting in saving of Rs. 139 Crore . The decrease is mainly due to superannuation of 316 employees during the year.
During Q4 FY'23, the Employee Cost has come down from Rs. 498 Crore to Rs. 417 Crore i.e. down by Rs. 81 Crore , which is again mainly due to superannuation of employees during the period.
■ During FY'23 , there has been decrease in the Finance Cost from Rs. 532 Crore to Rs. 476 Crore , resulting in savings of Rs. 56 Crore , which is mainly due to change in rate of interest by Rs. 22 Crore and decrease due to repayment of loans by Rs. 32 Crore .
During Q4 FY'23 , there has been decrease in the Finance Cost from Rs. 133 Crore to Rs. 112 Crore , which is mainly due to change in rate of interest by Rs. 10 Crore and decrease due to repayment of loans by Rs. 8 Crore.
■ During FY'23 , the Depreciation and Amortization Ex penses have gone up from Rs. 1,126 Crore to Rs. 1,145 Crore , net increase of Rs. 19 Crore , which is mainly due to additional capitalization in power station s.
During Q4 FY'23 , the Depreciation and Amortization Ex penses have gone up from Rs. 280 Crore to Rs. 286 Crore , which is again mainly due to additional capitalization in certain power station s.
■ During FY'23 , Other Ex penses have gone up from Rs. 1,348 Crore to Rs. 1,708 Crore . This is mainly due to provision of Rs. 106 Crore against impairment of investment in one of our subsidiary company i.e. Loktak

Downstream Hydroelectric Power Corporation Limited. Also, there is increase in fair value loss on account of financial assets by Rs. 124 Crore , increase in R&M Ex penses by Rs. 32 Crore and increase in the CSR Expenses , Security Expenses etc.
During Q4 FY’23 , Other Expenses have gone up from Rs. 449 Crore to Rs. 486 Crore . This is mainly due to increase in R&M expenses and Security Expenses .
■ Total tax Expense s for the current year is Rs. 605 Crore , as against negative tax expense of Rs. 761 Crore during the previous year. This is the cumulative impact of current and deferred tax.
Current tax expenses for FY '23 is Rs. 761 Crore as against Rs. 723 Crore for FY'22, which is due to increase in taxable income. As far as deferred tax expense is concerned, during the previous year, we have recognized MAT Credit of Rs. 1,479 Crore , while during the current year, we have recognized MAT Credit of Rs. 417 Crore , out of which we have utilized MAT Credit of Rs. 329 Crore .
■ During FY’23 , we have earned PAT of Rs. 3,834 Crore as against Rs. 3,538 Crore of corresponding previous period, which is up by Rs. 296 Crore and in percentage term , it is 8% increase approx. a nd the reasons for decrease and increase in the items we have already discussed.
During Q4 FY’23 , we have earned PAT of Rs. 569 Crore as against Rs. 560 Crore of corresponding previous period, which is up by Rs. 9 Crore and the rea sons for decreas e and increase , we have already discussed.
■ During FY’23 , the incentive position is as under: -

■ We have earned Secondary Energy of Rs. 123 Crore during current year as against Rs. 138 Crore during corresponding previous financial year. So, there is a decrease of Rs. 15 Crore in secondary energy.

■ PAF base d incentive , we have earned Rs. 405 Crore during current year i.e. FY’23 as against Rs. 424 Crore during corresponding previous year. So, it is again lower by Rs. 19 Crore

.

■ Deviation Charges are Rs. 147 Crore during current year as against Rs. 190 Crore during previous year. So , it is also lower by Rs. 43 Crore .

■ During Q4 FY’23 , the incentive position is as below: -

■ Secondary Energy , we have earned Rs. 110 Crore in current Q4 as against Rs. 125 Crore in corresponding Q4 of previous year.

■ PAF base d Incentive , it is negative by Rs. 40 Crore in the current quarter as against Rs. 22 Crore in corresponding previous Q4.

■ Deviation charges also negative by Rs. 2 Crore as against Rs. 60 Crore we earned in corresponding previous year Q4.
So, the total of incentive is Rs. 68 Crore as against Rs. 207 Crore we earned during corresponding Q4 of previous year.
■ Capex of Rs. 6,961 Crore has been incurred during FY’23 against the target capex of Rs. 8,061 Crore on consolidated basis.

■ The Board of Directors has recommended the payment of final dividend at the rate of 4.5%. i.e. Re. 0.45 per equity share in a ddition to interim dividend at the rate of 14% resulting into total dividend at the rate of 18.5% a nd in absolute term, it is Rs. 1.85 per equity share on the face value of paid up equity shares of Rs. 10 each for the FY ’23.

■ On realization front, NHPC has received Rs. 7,435 Crore from beneficiaries on account of sale of energy during FY’23 as compared to

Rs. 8,691 Crore in the corresponding period of previous year.

■ Trade Receivables as on 31st March '23 stands at Rs. 5,887 Crore as against Rs. 4,621 Crore as on 31st March '22. This inc ludes Rs. 2,757 Crore as unbilled debtors as on 31st March'23, as against Rs. 1,961 Crore as on 31st March '22.
The net receivables out of total reported Trade Receivables as on 31st March is as under: -
■ Reported Trade Receivables in the account is Rs. 5,887 Crore . It consists unbilled debtors to the tune of Rs. 2,757 Crore . So , billed trade receivables is Rs. 3,130 Crore . Out of that, we have already received Rs. 948 Crore on account of bill discounting, but due to accounting compulsion, we have shown it a s outstanding as on 31st March. But in fact, we have already received the cas h to the tune of Rs. 948 Crore through billed discounting.

■ Then debtors dues converted into instalments under electricity late payments surcharge rules and other orders is to the tune of Rs. 1,619 Crore . This amount of Rs. 1,619 Crore will be received in instalments as per the orders of Government of India. So , net amount due is only Rs. 563 Crore , which consists debtors less than 45 days as well as the more than 45 days.

■ Unbilled debtors mainly include Impact of AFC billed vs AFC claimed as per Regulation 2019 -24 including Security Expenses of Rs. 1871 Crore, Unbilled sale for the month of March to the tune of Rs. 422 Crore, Energy Shortfall of Rs. 354 Crore .

■ Net Trade Receivables as on 28th May'23 stands at Rs. 787 Crore , which includes debtors for more than 45 days to the tune of Rs. 80 Crore only and the remaining amount is less than 45 days. The major receivables out of billed receivables are as under: -
Punjab - Rs. 178 Crore which consists debtors to the tune of Rs. 10 Crore only, which is more than 45 days. J&K - Rs. 171 Crore , more than 45

days debtors are only Rs. 63 Crore . Uttar Pradesh - total due is Rs. 120 Crore and whole amoun t is less than 45 days. Haryana - Rs. 73 Crore , whole amount is less than 45 days and West Bengal is Rs. 37 Crore , it is aga in within the limit of 45 days a nd others are Rs. 208 Crore .
■ On physical front, as we have been sharing that the active construction work at Subansiri Lower Project site is going on in full swing. Some of the major milestones have been completed towards commissioning of the project. I, alongwith other directors visited the project on 26th April'23 a

nd reviewed the ongoing construction activities. I feel pleasure to share that in a significant step towards completion of Hydro Mechanical works of the project, 3 nos. Radial Gates which are country's largest Spillway Radial Gates in terms of h ydraulic capacity, size and weight have been successfully operated.
I am very hopeful that we can commission 2 units of the project in second / third quarter of current financial year and balance 6 units are expected to be commissioned in second quarter of the next year, i.e. FY'25. The estimated cost of the project is Rs. 21,248 Crore , out of which we have already incurred Rs. 17,985 Crore till March '23. The estimated lev elized tariff based on the anticipated cost is Rs. 5.60 per unit.
■ In respect of Parbati -II HE Project, the project has achieved a major

milestone towards full commissioning of Powerhouse with restoration of Unit#3 and Unit#4 on 3rd March'23 and on 21st April'23 respectively. The HRT excavation progress hampered on TBM face due to enco untering of schist band resulting in cavity formation which required concrete backfilling. Further, breakdown of some components of TBM resulted in complete stoppage of excavation from 11th April'23. Repairing activities are under progress. We are trying o ur best to complete the remaining tunnelling works to complete the project by March'24. The anticipated cost of the project is Rs. 11 ,135 Crore out of which we have already spent Rs. 10 ,513 Crore till March'23. The

estimated levelized tariff based on the a nticipated cost is Rs. 6.14 per unit.

■ In respect of Dibang Multipurpose Project (2880 MW), investment approval for implementation of the Project has been accorded by the Government of India on 27th February'23. Further, LOT -2 package related to infrastructure works has also been awarded. The estimated cost of the project is Rs. 31 ,876 Crore which includes Grant of Rs. 6 ,715 Crore for Flood Moderation and enabling infrastructure works to be received from Government of India . Further, estimated lev elized tariff of the project is Rs. 4.46 per unit and the scheduled completion of the project is February'32.

■ As shared earlier that NHPC had acquired Lanco Teesta Hydro Power Limited (LTHPL)' Teesta -VI Project (500 MW) through NCLT Route. Estimated cost of the project is Rs. 5 ,748 Crore out of which we have already incurred expenditure of Rs. 2 ,305 Crore till March'23. Estimated levelized tariff of the project is Rs. 4.07 per unit and expected commissioning schedule of the project is Aug'26.
Further, we are in the process of merger of LTHPL with NHPC. In this regard, MCA has ordered to convene the meeting of Creditors and Shareholders of NHPC and we are in the process of convening the same.
■ As we have already shared that NHPC had acquired Jal Power Corpo ration Limited (JPCL)'s Rangit Project (120 MW) in Sikkim through NCLT route. The estimated cost of the project is Rs. 938 Crore out of which we have already incurred expenditure of Rs. 527 Crore till March'23 and estimated levelized tariff is Rs. 4.37 per unit. Further, we are in the process of merger of JPCL also with NHPC. The project is expected to be completed by August'24.

■ The Ratle HE Project, UT of J&K (850 MW) is being developed by Ratle Hydroelectric Power Corporation Limited (A Joint Venture of NHPC and JKSPDC in which NHPC is having 51% share). The contract for

Turnkey execution of the project has been awarded to M/s M egha Engineering and Infrastructure Limited on 18th January'22. The estimated cost of the project is Rs. 5,282 Crore. The work has already been started at site and we have incurred expenditure of Rs. 270 Crore till March'23. Estimated levelized tariff of t he project is Rs. 3.92 per unit. The project is expected to be completed by May'26.

■ Presently,

NHPC through its subsidiary CVPPL is executing three projects in Chenab Basin in UT of J&K.

■ Construction work at Pakaldul HE Project (1000 MW) is progressi ng well. The estimated cost of the project is Rs. 8 ,112 Crore out of which we have incurred expenditure of Rs. 2922 Crore till March’23. Estimated levelized tariff of the project is Rs. 4.28 per unit and the project is expected to be completed by September’26.

■ In respect of Kiru HE Project, we have incurred expenditure of Rs. 1 ,006 Crore till March’23 out of estimated cost of Rs. 4 ,288 Crore. Estimated levelized tariff of the project is Rs. 4.64 per unit and estimated completion date of Project is March’26.

■ Further, Hon’ble Prime Minister of India laid the foundation Stone of the Kwar Hydroelectric Project (540 MW) on 24th April’22. Civil work package has already been awarded in May’ 22 and the work has also been started at site. The estimated cos t of the project is Rs. 4 ,526 Crore out of which we have incurred expenditure to the tune of Rs. 382 Crore till March’23. Estimated levelized tariff of the project is Rs. 4.44 per unit and the project will be completed by November’26.

■ As we have shared that some of the largest Hydroelectric Projects in the Siang and Subansiri Basins have been allotted to N HPC by Ministry of Power in December’21. The Projects in Subansiri Basin viz. 2000 MW Subansiri Upper and 1800 MW Subansiri Middle shall be developed by NHPC on standalone basis while 10000 MW Upper Siang and 2700 MW Siang Lower in Siang Basin are to be developed in JV mode.

■ Apart from above, NHPC is working on 03 new projects in UT of J&K viz Sawalkot (1856 MW), Uri -I stage –II (240 MW), Dulhasti stage -II (260 MW) and Dugar Project (500 MW) in Himachal Pradesh.

■ In respect of Sawalkot HEP, agreement for handing over / takin g over was signed between NHPC and JKSPDC in December’21 & NHPC took over the Project. Ministry of Power accorded investment approval on 12th July’22 for incurring expenditure on pre investment activities for an amount of Rs. 973 Crore at November’21 price level. Process for obtaining forest clearance has been initiated. CEA vide letter dated 27th December’22 vetted the cost estimates at completion level for an amount of Rs. 22 ,705 Crore including Rs. 4 ,593 Crore for IDC and Rs. 1 ,124 Crore for enabling inf rastructure.

■ In respect of Uri -I Stage -II Project, DPR has been concurred by CEA on 7th March’23 amounting to Rs. 2 ,527 Crore at December’22 price level including Rs. 249 Crore for IDC and Rs. 26 Crore for enabling infrastructure. EIA/ EMP studies for Environment Clearance (EC) is in progress. Forest clearance is also in progress.

■ In respect of Dulhasti Stage – II Project, clearance of 7 out of 9 nos. of Chapters have been received and EIA/ EMP studies for Environment Clearance (EC) is in progress. No forest clearance is required and NOC has been obtained from Forest department. Further, Defence Clearance has also been accorded by Ministry of Defence.

■ DPR of Dugar Project has already been concurred by CEA on 26th April’22. Approval for Forest clearance is under process. Further, Draft PIB proposal has been submitted to Ministry of Power on 13th May’23.

■ To expand NHPC footprints in the neighbouring countries, an MOU has been inked with the Investment Board of Nepa l at Kathmandu on 18th August’22 for development of 750 MW West Seti and 450 MW Seti

River -6 hydroelectric projects. Now, Office of Investment Board, Government of Nepal has issued Survey License to NHPC for 450 MW Seti River -6 Project, Nepal on 16th March ’23. Further, the discussions for implementing 480 MW Phukot Karnali project in JV mode in Nepal are in final stages.

■ NHPC has received a Letter of Intent dated 16th May’23 from Gujarat Urj

a Vikas Nigam Limited for 200 MW capacity Solar Power Project at a tariff of Rs. 2.73 per unit within 600 MW Solar Park at Khavda. The estimated financial implication for the said Solar Power Project would be Rs.1,007 Crore.

■ NHPC bagged 1000 MW Capacity Solar Po wer Project at a Viability Gap Funding (VGF) of Rs. 44.90 Lakh/MW under CPSU Scheme, Phase-II, Tranche -III in the e-Reverse auction conducted by Indian Renewable Energy Development Authority (IREDA) on 23rd September’21. Further, EPC contracts have been aw arded for development of the project and transmission line for power evacuation to ISTS sub -station along with comprehensive operations and maintenance for 5 years.

■ An MoU has also been signed between NHPC REL and Govt. of Uttar Pradesh on 31st January’23 for setting up of 100 MW Floating Solar Power Projects in Uttar Pradesh.

■ NHPC is also exploring to develop Pumped Storage Projects in the state of Andhra Pradesh, Odisha, Jharkhand, Karnataka, Madhya Pradesh and Maharashtra. We have completed Pre Feasibi lity Report (PFR) of Indira Sagar Omkareshwar (525 MW) Pumped Storage Scheme. Also, PFR of Tekwa -2 Pumped Storage Scheme (800 MW) has been submitted. Further, the MOU between DVC and NHPC to “explore the formation of a Joint Venture Company (JVC) for exploring and setting up of hydropower and pumped storage project(s)” signed on 20th July’22. LOA for preparation of PFR of Panchet Hill (600 MW) PSP was issued

by DVC to NHPC on 16th November’22. PFR of Panchet Pump Storage Project (1000 MW) was submitted to DVC on 30th January’23. Observation were raised by DVC on the same which were duly replied. Some additional observation has also been received which are under process.

This is all from my side. Now the forum is open for Question -and-Answe rs.

Moderator: The first question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar : My first question is, sir, when do you expect the Subansiri to get commissioned? Ca n we expect to get commissioned in this quarter, I mean, in next quarter?

R P Goyal: Yes. We are expecting to commission two units of Subansiri in third quarter of this year i.e. FY’2 4 and balance units to be commission ed in second quarter of FY’25 .

Mohit Kumar : Understood, sir. Two in this fiscal year and the balance six in the next fiscal year. Is that right, sir?

R P Goyal: Yes.

Mohit Kumar : But we should be able to do it before the monsoon next season, next fiscal year. Is that right, sir?

R P Goyal: Full year benefit will be available in FY 20 25-26, but part benefit, financial benefit will be available in current financial year as well as in next financial year.

Mohit Kumar : Understood. My second question on the Parbati, sir, I think you

mentioned we are much ahead in terms of construction and
commissioning. Can we ass ume that all the 4 units will be commiss ioned
by the end of fiscal year '24? Is that a fair assumption?

R P Goyal: Yes. You are right. Actually, only 1 50 meters of excavation of HRT is
left as on today and lining of 3 kilometre HRT is to be done. Otherwise,
all the 4 units are already tested and commissioned and all the 4 units
will be commissioned in a single day. So you can expect the
commissioning of this project by end of March '24.
Mohit Kumar : Okay. Sir, my third question is, can you expect tender of Sawalkot in
FY '24? And are you looking to start work on any of the pump storage
hydro projects in F Y '24?
R P Goyal: Actually, we are still preparing PFR and exploring the execution of
pump storage projects. We have already submitted two PFR of pumps
storage projects, but modalities of execution of pump storage are yet to
be explored. So you can expect taking off one of the pump storage in
next financial year.
Mohit Kumar : And what about Sawalkot are you

looking to tender it out in FY '24?
R P Goyal: Tende ring of Sawalkot is expe cted in the next financial year i.e. 2024 -
25.
Moderator: The next question is from the line of Rupesh Sankhe.
Rupesh Sankhe: Yes. Sir, a couple of questions from my side. Firstly, what is our
regulated equity as on 31 March? And wha t are our capex target for next
3 years?
Management: Yes. So basically, the regulated equity as of now is Rs. 13,000 Crore .
And going forward, after commissioning of Subansiri Lower and
Parbati -II, it is likely to be Rs. 22,000 Crore after full commissioning of
these 2 projects. Going forward, our capex will be in the range of, on an
average, Rs. 8,000 Crore to Rs. 9,000 Crore . For example, current year
budget estimate is Rs. 10,857 Crore .
Rupesh Sankhe: Sir, second question is relate d to, sir, recently there was a media article
saying that we might merge 2, 3 public sector companies which are into
hydro space. What is your thought on that, sir?

R P Goyal: Actually, we are at the initial stage of exploration of this possibility and
nothing concrete has been finalized. We will in timate to the market in
the due course of time.
Moderator: The next question is from the line of Abhineet Anand from Emkay
Global Financial Services.
Abhineet Anand: Yes. Sir, can you j ust give us the incentive breakup for FY'23 and Q4?
Management: Yes. So basically, you want incentive breakup of Q4 versus Q4 of
previous year?
Abhineet Anand: Yes.
Management: Yes. So Q4 FY’23 , we had secondary energy of Rs. 110 Crore . PAF
Incentive, negative incentive we had Rs. 40 Crore and the deviation
charges were also negative to the tune of Rs. 2 Crore . So, total incentive
was Rs. 68 Crore as against Rs. 207 Crore in the previous quarter.
Abhineet Anand: So last year, Q4 '22, we had Rs. 207 Crore and this year for Q4, we are
having a negative Rs. 68 Crore .
Management: Yes. So last year, secondary energy, we had Rs. 125 Crore , PAF
incentive Rs. 22 Crore and deviation charges of Rs. 60 Crore . So, total
incentive during last fiscal Q4, it was Rs. 207 Crore . And this quarter,
FY’23 , we have Rs. 68 Crore total incentive.
Abhineet Anand: Okay. And can you also help me the yearly numbers?
Management: Yearly numbers? Of course. So the total secondary energy during
current fiscal i.e. FY’23 , it is Rs. 123 Crore , PAF incentive Rs. 405
Crore , deviation charges Rs. 147 Crore , total Rs. 675 Crore , as against

secondary energy of previous year, Rs. 138 Crore , PAF incentive, Rs.
424 Crore , deviation charges of Rs. 190 Crore . So, total incentive during
current fiscal Rs. 675 Crore , as against previous year's incentive of Rs.
752 Crore .

Abhineet Anand: Sir, just a small question. I mean, Q 4 of this year and last year, we have a similar PAT level, incentives are lower, other income is lower. And so can you just pinpoint wher e the number has been additional?
Management: Yes. So basically, if you look at the N APAF for our power station as a whole, it comes a round 77%, right? During this Q i.e. Q4 FY'23 , the actual PAF was 67%. So the PAF was substantially down, particularly in four projects like Rangit -IV,TLDP -III, Dulhasti and Kishangang a. That is the reason our PAF was lower in Q4 FY'23 and that is the major reason of negative incentive.
Abhineet Anand: Yes. So what I'm trying to understand is your incentive income is almost down Rs. 150 Crore for the quarter on a Y -o-Y basis from Rs. 207 Crore to Rs. 68 Crore . Your other income is also down significantly. So I mean, the PAT levels are flat. So one of the things I think employee cost would be lower, but any other thing, any one -off or something in the quarter which has led to a flattish PAT despite a lower incentive and lower other income?
Management: Yes. So major reason of thi

s flattish PAT is basically, if you look at the tax rate, the last year tax rate was Mat rate. This year, our tax rate is normal rate. So last year, the grossing up was at the rate of 18%, whereas this quarter, we have gross ed up at the rate to 28%. This has resulted additional revenue of Rs. 350 Crore and that is the main reason of our profitability, wh ich is flattish or you can say higher.
Abhineet Anand: Finally, just for my understanding, this PAT gross up at -- while revenues might be higher because of the gross up. At the PAT level, this wouldn't impact, right? Beca use that's a part of a entire..
Rajendra Goyal: We have grosse d up our tariff at normal rate, i.e. 28%. But by utilizing the available MAT Credit , we have paid lower tax. So , there is a mismatch betwee n revenue and tax actually paid.
Abhineet Anand: So basically, if I understand correctly , your gross up has happened at 28%, but your levy has happened at 22%.

Management: 18%.
Abhineet Anand: So if I have to conclude that the PAT, if I have to apply the same tax rate, at PBT, which is where the grossing of revenue has happened in tax, then the profit would be lower, right?
Rajendra Goyal: Flat, you can say.
Abhineet Anand: Okay and secondly, this capex, you said that while this year, it is going to be in excess of Rs. 10,000 Crore . How much of that is going to be in RE projects?
Management: Yes, Rs. 2,500 Crore , we have kept provision for RE project s.
Abhineet Anand: And this RE project is all PPA done and not in pipeline, right, something which you have already have the PPA?
Management: Yes. So major expenditure is under CPS E 1,000 megawatt , which is now going into a construction phase. And that is the reason we have kept Rs. 2,500 Crore on renewal projects during thi s financial year. So basically, this is consolidated capex. Because at stand -alone, it is Rs. 5,700 Crore . In addition to that , we have many joint venture projects and subsidiary projects where our capex is also going on.
Like, out of total nine under construct ion projects, six projects are under JVs and subsidiaries. There also construction activities are in full swing. So that is the reason this is the higher capex you are looking at.
Abhineet Anand: And when do you expect this CPS E, 5,000 megawatt to get

commissioned?
Management: CPSE 1,000 megawatt, FY’25 is our target.
Abhineet Anand: And as per your internal target, what kind of ROE you would be able to make on this project?
Management: So we have kept provision of 12.27% ROE in these projects.
Abhineet Anand: Based on the present cost that you have?

Management: Yes.
Rajendra Goyal: Cost is fixed. There is no price variati on in these contracts.
Abhineet Anand: So you mean to say, you will be making an ROE 12%, 12.5% on this?
Management: Yes.
Rajendra Goyal: Yes, we are expecting 12% at least.
Moderator: Thank you. The next question is from the line of Rupesh Sankhe. Please go ahead.
Rupesh Sankhe: Yes. So a couple of questions, again, sir. Firstly, sir, once we commission Parbati and Subansiri projects, our PAT, which is currently at Rs. 3,800 Crore , it will go up to around Rs. 5,500 Crore , Rs. 6,000 Crore . And we had a non -cash depreciation items there will be around Rs. 7,000 -odd kind of operating cash flows. And we have significant capex ahead, the large projects which are coming up. So what will be our dividend policy going ahead? And will be there a cash flow mismatch given the high capex ahead?
Rajendra Goyal: We will be maintaining a dividend at the current level i.e. 30% of PAT or 5% of net worth as per DIPAM guidelines. And keeping dividend level at the same level, dividend same level, we will be able to meet out our capex requirement.
Rupesh Sankhe: Okay. Sir, next question is related to r

enewable projects, sir. Is there any large pipeline project that you are thinking of in FY’25 ?
Rajendra Goyal: Actually, we are mainly focusing on hydro projects only, but we will be doing some solar projects also to support the Government of India initiative. You can say, we will be doing 80% of our capex in hydro and around 20% in solar or other renewable s.
Moderator: Thank you. The next question is from the line of Prashant Kshir sagar from Unived Corporate Research Private Limited. Please go ahead.

Prashant Kshirsagar: Just a question that you had mentioned about the commissioning of Subansiri 2 units in the second quarter, correct me if I'm wrong. So can you indicate which months you'll be commissioning, or is it July, August or September, which month you are planning?
Rajendra Goyal: We are planning to commission two units of Subansiri in third quarter, but we will be spinning the machines in the second quarter itself. So after t esting, we are expecting to commission two units in the third quarter of current financial year.
Prashant Kshirsagar: So by October or November, you are planning or how is it?
Rajendra Goyal: It may happen by November.
Moderator: Thank you. The next questi on is from the line of Abhineet Anand from Emkay Global Financial Services. Please go ahead.
Abhineet Anand: Yes. So if you can also help us, sir, in terms of dividend income or other income breakup in terms of dividend and other income?
Management: Yes. So this year, we have a dividend income of Rs. 375 Crore , which is higher by Rs. 75 Crore . And main sources of other income like, surcharge income has been lower by Rs. 175 Crore , but dividend income has been higher by Rs. 75 Crore . Interest on FD i.e . fixed interest on our surplus fund is also higher by Rs. 85 Crore . So, these are the major incremental thing in other income head.
Abhineet Anand: So you said, so only surcharge is lower by Rs. 175 Crore , other things are high, right?

Management: Yes, ex actly.
Abhineet Anand: And just trying to understand from a commissioning perspective, let's say that in November, you commissioned, two of your units out of eight, what part of this Rs. 21,000 Crore gets commissioned? Because there are units plus, there are ancillaries combined. So I'm just trying to

understand, is it fair to assume 2/8th of the full system or even more percentage -wise?
Rajendra Goyal: Actually 60% of the capital cost will get capita lized on commissioning of two units.
Abhineet Anand: How much, sir, sorry?
Rajendra Goyal: 60% will be capitalized.
Abhineet Anand: 60?
Rajendra Goyal: Yes. 60%. Because civil works are common. Dam is common and other constructions are also common.
Abhineet Anand: So 60% gets commissioned in Q3 of this year a nd the rest 40% commissioning?
Rajendra Goyal: Next year, yes.
Abhineet Anand: And for Parbati, it will be a single go, right, all four units in a single go?
Rajendra Goyal: You're right. It will go in single phase.
Moderator: Thank you. Ladies and gentlemen, that is the last question. I now hand the conference over to Mr. Rupesh Sankhe for his closing comments.
Rupesh Sankhe: Yes. We thank NHPC management for giving us an opportunity to host this call. We also thank all the investors and the analysts for joining this call. Good day and take care all.
Management: Thank you so much, Rupesh. Thank you so much.
Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Elara Securities Private Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2023

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Scrip Code: 533098 General Manager/ [redacted],
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Scrip Code: NHPC
ISIN No. INE848E01016
Sub: Transcript of Conference Call for discussion on financial results for quarter ended on June 30,
2023
[redacted]:30 [redacted] , 2023 [redacted]
Sir/ [redacted],
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations,
2015, it is to inform that the transcript of the Conference call with analysts and investors held on August 14,
2023, with respect to the financial results of the Company for the quarter ended on June 30, 2023 is attached
herewith and has also been made available on website of the Company at the link:
https://www.nhpcindia.com/assests/pzi_public/pdf_link/64e3658eab6c2.pdf
It is also confirmed that no Unpublished Price Sensitive Information was shared in the above referred
Conference Call.
This is for your information and records.
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[redacted]30 [redacted], 2023 [redacted] 14[redacted], 2023 [redacted]
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“NHPC Limited
Q1 FY24, Earnings Conference Call”

August 14, 202 3

ANALYST : MR. RUPESH SANKHE – ELARA SECURITIES PRIVATE LIMITED

MANAGEMENT : MR. R. K. VISHNOI – CHAIRMAN & MANAGING DIRECTOR - NHPC LIMITED
MR. R. P. GOYAL – DIRECTOR (FINANCE) - NHPC LIMITED

 Moderator: Ladies and gentlemen good day and welcome to the Q1 FY24, Earnings Conference Call of NHPC Limited hosted by Elara Securities Private Limited . As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rupesh Sankhe from Elara Securities Private Limited . Thank you and over to you Mr. Sankhe !

Rupesh Sankhe : Good morn ing everyone. On behalf of Elara Securities we welcome you all for the Q1 FY '24 conference call of NHPC. I take this opportunity to welcome the management of NHPC represented Mr. Rajeev Kumar Vishnoi – Chairman and Managing Director, Mr. R.P. Goyal – Director (Finance). So, we will begin the call with a brief overview by the management and followed by Q&A session. I will now hand over the call to Mr. R. K. Vishnoi Sir for his opening remarks . Over to you Sir!

R K Vishnoi : Thank you Rupesh and good morning everybody wh

o is connected to this conference. It is really my pleasure to interact w ith you on these quarterly financial results Q1 of FY'24 of NHPC. In fact before we really discuss the detail , let me broadly tell you that this particular quarter of FY'24, we have sustained the performance which we have achieved in the past few quarters and that is the broader impression which can be drawn. The details are available , I think all the participants must have gone through the numbers , but broadly let me tell you the major highlights . As far as generation is concerned , we have almost generated 5% lower than the

 corresponding quarter in the last FY '23 and that was mainly because of low er water availability in the r ivers, which is of course beyond the control of anybody is a natural resource and the plant a vailability factor which is the real meas ure of the performance of the plant , there we have performed very well and we have remained abo ve 90% in fact 94% this quarter also. N ow that shows that machines availability w ere there , had there been enough water in the river , we would have generated alm ost a similar amount of energy what we generated last year, but nevertheless in this next quarter particularly

July onwards we have been generating quite a good amount of energy . So, Q2 would be much better than corresponding Q2 of last year.

As regards to the revenue , let me tell you that revenue was approximately 3% higher than the corresponding quarter last year and that was mainly because though the generation was l ess because we had certain arrears due to the tariff finali zation of 2014 -19 period and we receive d certain amount on account of that , so the revenue was 3% higher than the corresponding quarter last year, but we have maintained the PAT. PAT is almost the same . So, broadly as I told in the beginning that we have almost sustained the same perfo rmance as in the corresponding quarter in the last financial year. So , this was broadly on the numbers. Then, there were other achievements on the physical terms also. This quarter where we a re trying to focus m ainly on two things, one is that we have two major assets which we want to capitali ze gradually and improve our balance sheet which are two projects . One is Subansiri and the other one is Parbati-II and second, in this financial year we are focusing more on the capital expenditure. The last year capi tal expenditure was of the order o f something like Rs. 7700 Crore . This year, we have kept the target of

something like 25% to 30% more than that and this particular quarter what we are discussing today, we have been able to achieve the target and subsequentl y also, we are doing that. So, this is a big thing what we are focusing. So , this financial year we will be achieving more of capex that is by ensuring the constant uninterrupted execution of the activities at all the projects w hich are under construction. So, this is just a broader impression of what we achieved in this quarter . I think then Director (Finance) I have with me. I n case he has to say anything , then otherwise we can hand it over to the participants for some questions or the queries.

R.P. Goyal : Good morning friends. I am going to share with you quarterly set of numbers with the detailed analysis. The NHPC Board has adopted quarterly financial results for the period ended 30th June'23 in its meeting held on 11th August'23 and the same has alread y been communica ted to exchanges.

Brief highlights of the financial results and important updates on the company are as under:

■ During Q1 FY '24, our power s tation s have achieved generation of 7787 million units as against 8165 million units generated in corresponding period of the previous year which is about 5% lower. This is mainly due to lower water availability in Kishanganga , Loktak and Dhauliganga Power S tations .

■ Our PAF for Q1 FY24, stands at 94.13% against the corresponding previous period of P AF of 98.57% which is about 4% lower . This is mainly due to less PAF in Kishanganga , Loktak and TLDP -IV Power S tations.

■ For Q1 FY '24, company has earned Revenue from O perations of Rs.2571 Crore as against Rs.2491 Crore in the corresponding

previous period, which is about 3% higher . The increas e in revenue is mainly due to increase in Interest from Beneficiaries on account of finalizatio n of tariff rate 2014 -19 by Rs.70 Crore.

■ Other Income for Q1 FY '24 is of the order of Rs.279 Crore as against Rs.216 Crore during the corresponding previous period, which is about 29% higher. This is mainly due to increas e in Dividend I ncome from NHDC by Rs.28 Crore and increase in insurance claim on account of Business Interruption L oss by Rs.34 Crore for Sewa -II Power S tation.

■ During Q1 FY '24, the Generation E xpenses have gone up from Rs.270 Crore to 518 Crore i.e by Rs.248 Crore which is mainly due to applicab ility of Water Cess in state of Uttarakhand , Sikkim and Himachal Pradesh.

■ During Q1 FY ’24, the Employee C ost has come down from Rs.30 7 Crore to Rs.297 Crore .

■ During Q1 FY ’24, there has been decrease in Finance C ost from Rs.137 Crore to 115 Crore that is by of Rs.22 Crore which is m ainly due to change in the average rate of interest by Rs.5 Crore and decrease due to rep ayment of loans by Rs.17 Crore .

■ During Q1 FY ’24, the D epreciation and A mortization expenses have come down from Rs.287 Crore to Rs.276 Crore which is mainly due to comp letion of 12 years of life of Sewa -II Power S tation in FY 2022 -23.

■ During Q1 FY’24, Other E xpenses have come down from Rs.507 Crore to Rs.370 Crore . This is ma inly due to Impairment of Investment of Rs.106 Crore in respect of Loktak Downstream Hydroelectric Power Corporation Limited, a subsidiary comp any during corresponding previous period . Further , CSR expens es have also decreased by Rs.30 Crore in current quarter .

 ■ During Q1 FY ’24, we have earned PAT of Rs. 1053 Crore as against Rs.1050 Crore of corresponding previous period which is marginally higher and the reasons for decrease increase in the line items we have just discussed.

■ During Q1 FY ’24, the incentive pos ition is as under :

■ PAF based Incentive is nil in this quarter as against Rs.171 Crore in corresponding period of previous year . Deviation charges are 12 Crore as against Rs.72 Cro re in corresponding previous period.

■ The PA F incentive for the quarter is nil due to change in methodology for recogni zing in centive income. The PAF incentive shall be recognized once the cap acity charges of a particular power station is fully recovered a nd thereafter, we will recogni ze the PAF incentive . So, the recognition of PAF will be back ended now.

■ Capex during Q1 FY24 is Rs. 1906 Crore as against Rs.1161 Crore in the corresponding period of previous year on consolidated basis.

■ The Annual General Meeting of the company for 2022-23 is scheduled to be held on 31st August’ 23.

■ Other major highlight s of the company:

■ On realization front , NHPC has received Rs.1647 Crore from the beneficiar ies against sale of energy during Q1 FY ’24, as compared Rs.1357 Cro re in the corresponding period of previous year. Trade receivables as on 30th June’23 stands at Rs.6736 Crore as against Rs.5887 Crore as on 31st March ’23. This includes Rs.3059 Crore as

 unbilled debtors as on 30th June’23 as against Rs.2757 Crore as on 31st March ’23.

■ The net receivable s out of total reported trad e receivables a s on 30th June’23 are as below :

Reported Trade Receivables are Rs. 6736 Crore .

This includes unbilled debtors Rs. 3059 Crore, so billed receivables are Rs. 3677 Crore . Out of that, debtors for bill discounting for which we have already received the amount from beneficiar ies but due to accounting compulsi on, we could not reduce the debtors . The amount is Rs.847 Crore on this account. Then debtor’s dues converted into installments unde r Electricity L ate Payment Surcharge and other orders of Rs.1483 Crore, so net amount of debtors dues is Rs.1347 Crore and out of that, more than 45 days are only Rs.363 Crore . So, our debtors position has improved a lot.

■ Unbilled Debtors mainly include impact of AFC bil led v/s AFC claimed a s per regulations 2019 -20 including security expenses of

Rs.1584 Crore , unbilled sale for the month of June, 2023 of Rs.851 Crore and e nergy shortfall o f Rs.347 Crore .

■ Net Trade Receivables as on 9th August '23 i.e. current position of the debtors stand s at Rs.1728 Crore only which includes more than 45 days d ues of Rs.230 Crore . The major r eceiv ables out of billed receivables are as under :

J&K - Rs.443 Crore , UP - Rs.349 Crore , Punjab - Rs.233 Crore , Haryana - Rs.139 Crore , West Bengal - Rs.110 Crore and others - Rs.454 Crore. So, total Billed D ebtors as on 9th August' 23 are 1728 Crore . Out of that , more than 45 days are for J&K - Rs.156 Crore , UP - only 10 Crore and other s - Rs.64 Crore . So, more than 45 days debto rs are only Rs.230 Crore .

 This is all from my side . Now, the for um is open for question and answers. Thank you .

Moderator: Thank you very much. We will now begin the question and answer session. W e will take the first question from the line of Mohit Kumar from IC ICI Securities. Please go ahead.

Mohit Kumar : Good morning Sir. My first q uestion is on what is the status of Subansiri and Par bati-II, are you on the track because I saw in the CEA that Parbati-II is slipping to FY 2025, is that correct?

R K Vishno i: Ya Mohit, Let me tell you first about Subansiri. Subansiri, in fact, physical progress is such that we are all set to now commission the project and we will restart the work immediately after the monsoon in the month of November and will try to complete everything including the commissioning of the unit in the month of January and February, so we propose to commission 2 units in FY'24. There seems to be no uncertainty as such in Subansiri , so this project is going to come in this FY'24.

As regards to Parbati-II, There, we had planned to commission at least couple of units in FY24, but because of the recent floods in Himachal Pradesh , now there were t orrential rains and because of which , it was almost a disaster kind of a situation. This project is the one which got impa cted the most and which has in fact, disturbed all the approaches, access routes, everything . So, there is certain kind of impact on the schedule and we are trying to minimi ze that . But yes, at th e moment there is very little possibility of commissioning the first unit in this financial year but we will still try to reassess the situation next month as soon as the monsoon is over and we will try

 to do something . But if it goes to FY'25, it will be early FY'25 in the month of April only.

Mohit Kumar : Under stood Sir. My second question is on the change in accounting specific for the PAF based incentive , is it reasonable for us to change the recognition and make it more back ended now ?

R.P. Goyal : No, there is no change in the regulations it has been changed at our own only . Actually what was happening that in first and second quarter , we were recognizing PAF incentive in some of the Power Stations , but in last quarter or third quarter of the financial year there were sit uations where we had to reverse the P AF

incentive due to non achievement of the N APAF. T hat is why, we have change d the system . We will recogni ze the P AF incentive in later quarters only to avoid the reversal.

Mohit Kumar : Sir my last qu estion, do you see any impact of the I EGC code which expected to happen on October 1, 2023. Would it impact our earnings in any way on account of PAF or DSM ?

R.P. Goyal : DSM has impact on our revenue due to change of the system.

Mohit Kumar : My question is on the I EGC code which is going to come applicable from October 1, 2023?

R K Vishnoi : I do not think , IEGC code is going to really impact much on this, but still I think we have to assess the situation. I think at the m oment we

are not in a position to co mment anything on this. So we will make a
statement maybe after ascertain ing what exactly is going to happen.
Mohit Kumar : Sure Sir. Understood Sir. Thank you and best of luck.
 Moderator : Thank you. We will take the next question from the line of Prashant
Kshirsagar from Unived Corporate Research Please go ahead.
Prashant Kshirsagar : Good morning Sir. Just a question on the Subansiri Middle and
Subansiri Upper hydro projects which you have been allotted. Just
want ed to recon cile the capacity of those projec ts. In your press
release you have stated that Subansiri Upper is 2000 megawatts
capacity and Subansiri Middle is 1800 megawatts while in the
annual report of yours on page 81, the capacity mentioned is
Subansiri Middle is 1720 megawatts and Subansiri U pper is 1500
megawatts. C an you help us with reconciliation , how was the figure?
R K Vishnoi : Actually, see these two projects have been recently taken over and
we are in the process of getting the DPRs also of these two projects.
So, the capacities which wer e earlier marked for these two projects
have been revised now and we foresee that we can install larger
capacity at these two plan ts though it will be clear once we update
the DPRs of both the projects. So at the megawatt , what we see is
that 2000 megawatt is the upper Subansiri capacity potential and
1800 megawatt is the middle Subansiri capacity potential. So, with
these two figures we are going ahead at the moment.
Prashant Kshirsagar : Yes, but in the annual report when you had mentioned 1500 for
Subansiri upper, so what was the basis of the calculation or is it just
that you did not have the data with you or how does it ?
R K Vishnoi : I think, we need to check in what respect that has been mentioned,
but this is the fact what I just mentioned to you.
Prashant Kshirsagar : Ok Sir, Second question is about Subansiri both Middle and Upper ,
Land acquisition has been done or is it because you have taken it
 over from the private players, so had they done the land acquisition
or just incurred the initial cost for that?
R K Vishnoi : So, that is an activity at a later stage . At the moment, they have done
some initial activities where some investigations have been done and
some kind of pre -DPR stage activities have been done. So, at that
stage itself , we have tak en over these two projects . So, all other
things we have to complete ourselves.
Prashant Kshirsagar : Ok sir, Thanks a lot. That was my question.
Moderator : Thank you. We will take the next question from the line of Rohit
Natarajan from Antique Stock Brokin g. Please go ahead.
Rohit Natarajan: Thank you for this opportunity. Sir my question is more to do with
the regulated equity we guided in the last quarter that the regulated
equity will be Rs.162 billion or Rs.16239 Crore by the end of FY'24,
now that the re are some slippage s expected from Parbati how d oes
that number look like, both for FY24, and FY '25?
R.P. Goyal : For the last quarter of FY'24, , there may be some addition into
regulatory equity on account of Subansiri lower, o

therwise it will
remain at the present level .
Rohit Natarajan: Ok, You mean to say , it will broadly remaining at Rs.13000 as such ?
R.P. Goyal : Yes. For the last one or two months, there may be some addition s.
Rohit Natarajan: But you are reasonably sure that this number will be by the end of
FY'25 going to Rs.22600 Crore , that number ?
R.P. Goyal : That is for sure .
 Rohit Natarajan: My second question is to do with the IPO or the stake sale of clean
energy arm if you could just elaborate on that part Sir?
R.P. Goyal : There is no plan at present as such , in case we add some capacity in
the solar or wind and that is transferred to our 100% subsidiary

company a nd if we require the resources then only we will go for
IPO of our subsidiary compan y, otherwise there is no plan as such.
Rohit N atarajan: My final question is on the pumped hydro storage project if you
could j ust elaborate how much is the Mo U that you have tied up till
date and which are the projects that are expected to go in
construction at least in the near term , what could be t he timelines for
it?
R.P. Goyal : You are asking about the Dibang pumped hydro.
Rohit Natarajan: Pump ed hydro storage project?
R K Vishnoi : Pump ed Hydro Storage in fact is the new business domain of NHPC
where we are trying to enter very aggressively and we have recently
signed one Mo U for the implementation of four projects about 7000
megawatts in the State of Maharashtra. Also , we have entered into
an Mo U with the State of Gujarat for development of PSPs and then
Government of Odisha and Government of Andh ra Pradesh. S o,
there are four states where we have already moved ahead and this is
going to be one big business opportunity for NHPC in the near future
because we see the pumped storage plant is the most emerging
opportunity in the power sector and you kn ow, we try to jump on it
at an early stage , so this is how we are doing now. Our al l teams are
there on the ground , they have started working on this . So, pump ed
storage is going to be the mainstay for NHPC now in the near future.
 Rohit Natarajan: Sir if you could give us some targets , as in the projects that you are
looking for in the near term as in one or two projects that will be
commissioned by FY'27 or FY '28, what is the timeline that you
would want to see in these projects?
R K Vishnoi : See any pump ed storage plant once you start th e cons truction
activity on the ground, it is going to take no t less than four to five
years. S o, that is after the start of construction activities but before
that, there are certain in vestigation matters, t here are certain
clearances, there are certain compliances. S o, all that we have started
doing. T hat peri od is something like one to one -and-a-half years. S o,
what we see now is the first pump ed storage commissioning may be
by the year FY'29, that is the first project whic h we can commission
in Maharashtra. That is the vision at the moment, but not before that.
Rohit Natarajan: Ok, What will be the costing like, w hat could be the costing per
megawatt , is it fairly good to say that number will be close to Rs.9
Crore per meg awatt or you know there are multiple figures that are
floating around , what is your assumption at this point in time?
R K Vishnoi : Yes, in fact if you see there are different kinds of pump ed storage
plant schemes . There is one which is on the main river stream where
if you really make a project , it is going to cost you much more than
what you are making off the stream. So, now we are focusing of f the
stream projects also which are costing us less. If you ask me per
megawatt cost, if it is on the river strea m, it is around Rs.8 Crore to
Rs.9 Crore per megawatt. B ut if it is off the stream , then it is Rs.6
Crore to R

s.6.5 Crore per megawatt . Now depending upon the type
of scheme, and then depending upon the topograph y, the particular
outcome of the investi gations there , of course this figure may vary
5% to 10% here and there, but this is broadly the number .
 Rohit Natarajan: Sure Sir. Thank you. That is it from my side.
Moderator : Thank you. We will take the next question from the line of Aniket
Mittal from SBI Mutual Fund . Please go ahead.
Aniket Mittal: Yes thank you. A few question s. Firstly in your opening remarks,
you mentioned that you are planning for 2 0% to 25% higher capex
refer FY2023 if you could one provide what that amount is for
FY24, and break that up across different plants?
R K Vishnoi : I think , the total is Rs.10857 Crore . The Director (Finance) will give
the detail.

R.P. Goyal : Total capex as we have planned is Rs.10857 Crore including our subsid iary and joint ventures and if you are inter ested in project wise numbers , I can share the same. The Parbati -II we have planned for Rs.595 Crore, Subansiri Lower we have planned Rs.787 Crore , Dibang Rs.712 Crore, then Teesta -IV our project which is under investigation Rs.25 Crore, Dugar Rs.320 Crore , then Sawalkot Rs.143 Crore, Subansiri Upper Rs.121 Crore. Subansiri Middle Rs.217 Crore, then S olar as a whole Rs.2517 Crore , then Pakal Dul in subsidiary company Rs.1215 Crore, Ki ru Rs.857 Crore, Kwar Rs.220 Crore, then Lanco Teesta -VI project Rs.1151 C rore, Rangit -IV Rs.455 Crore , Ratle Rs.454 Crore. That is all.
Aniket Mittal: The numbers that you have given for the subsidiaries and JV s those are your share of the capex or is it the entire capex?
R.P. Goyal : This is entire capex.
Aniket Mittal: The nex t question was in your opening remarks you also mentioned that there are certain ar rears that you have received for this quarter,

 just wanted to understand what has been the total amount for , for what purpose has it come an d is there any portion in that, that is sustainable in nature?
R.P. Goyal : That is a small number only Rs.80 Crore , which is on account of arrear sales including interest .
Aniket Mittal: This is like a onetime item that is coming ?
R.P. Goyal : Yes. This is one time.
Aniket Mittal: Just on P arbati, I wanted to understand what is the type of work that is remaining on the tunnel , has the tunnel be en completed , have we started with the lining work if you could throw some light there?
R K Vishnoi : Yes, the main issue was there in the Parbati was the excavation of the tunnel which was becoming too challenging and we were doing excavation by two differen t construction technologies. O ne was through tunnel boring machine, t he other was through drill and blasting method. Now, while we were about to complete this excavation and this all disaster took place last month. W e were left with hardly anything now, I think 65 meter is the only portion which is left for excavation now and we have made preparations to start lining immediately and we have also plann ed to do lining in an expeditious manner by deploying the most effici ent construction technology. So, that is what we are trying to do here , but this has been a set back the floods in July in Himachal . Otherwise , in Parbati -II, everything is in line, machine s are ready , the tunnel is also excavated fully almost except 65 meters, so we do not see any other uncertainty except that we get some time now to complete this excavation and start the lin ing.

 Aniket Mittal: What is the amount of lining work that is rema ining ?
R K Vishnoi : It is 2900 meters, so approximately 3 kilometers you can say.
Aniket Mittal: Just one clarification. Sir you mentioned that there could be some amount of regulated equity additi

on to Subansiri as the two units are commissioned. J ust to understand how the tariff get determined , would you take the entire capital cost divide that by four, how does that process work ?
R.P. Goyal : In fact, tariff will be fixed by dividing four. In case in two units, total capital expen diture will be divided by four and tariff will be fixed accordingly. So in the initial period, tariff will be high and in the books, expenditure will be more than what we would be able to recover in tariff, but that will be for some period only.
Aniket Mittal: So you will essentia lly take the estimated p roject costs for Subansiri and then divide it by four let us say commissioning two units each and count that as regulated equity?
R.P. Goyal : Yes for tariff purpose, actual expenditure will be divided by four and the tariff will be fixed accordingly.

Aniket Mittal: Thank you. Those are my que stions.
Moderator : Thank you. We will take the next question from the line of Riya Mehta from Equitas Investments . Please go ahead.
Riya Mehta: Thank you for giving me the opportunity. My first q uestion is in regarding with Subansiri when do we expect it to get commissioned and what kind of cost overruns are we seeing for Parbati-II as well as Subansiri ?
 R K Vishnoi : As I said in the beginning , for Subansiri Lower , we are all set to commission the project but due to all because of this intervening monsoon season that we had to put everything on hold to commission the project. Now, we will re start the activities in the middle of October and in another three months ' time, we will try to commission at least the first unit and the second unit subsequently . So as I said, as far as low er Subansiri is concerned, there is no uncertainty left now. T hese two units will come in this financial year.
Parbati-II, I just mentioned we had a plan to c ommission two units in this financial year but there has been a setback because of some flood s in Himachal Pradesh. S o I think, these two units will go in early FY'25.
Riya Mehta: What kind of cost overruns are we seeing becau se of this delay ?
R K Vishnoi : Subansiri as we are doing it on schedule , hardly any cost overrun except for three to four months IDC would be there , But regarding Parbati-II, there could be some additional costs which we will be incurring on making damages good which have happened because of the floods and some other expenditures like expeditiously completing the lining and then deploying some construction technologies which are normally nonc onventional. So because of that, some cost increase could be there but it is not really substantial which is going to cost much or impact much on the tariff .
Riya Mehta: In terms of pumped hydro storage project , what is the business model and what kind of margin s should we expect from these Mo Us and how long and when do we see this execution starting from ?
 R K Vishnoi : Pumped storage plants at the moment are an essential component of the gr id of the country. Now this particular asset can be used in many ways but as far as our margin is concerned , of course, it will be a r egulated margin but how we are going to use it, w hat models will we be implementing for this, there are several options like we can even combine this pump ed storage plant with renewable energy assets where we can have the unintermittent power from the renewable energy , day power which we can convert into round the clock power by using the pu mped storage plants and then finally supplying it to the consumer s like who needs round the clock power like the railways and the other industries. The other could be that the grid st ability where the transmission s ystem particularly whether it is state transmission system or t he nation

al transmission system.
Because of some kind of overload and under load c onditions, if we have to either inject the power or absorb the po wer then these are the assets which can immediately com e handy for this . There are ancillary serv ices where we can monetize the ancillary services for pump ed storage plants but what I am trying to say , it is much different from the normal hydropower projec t where we generate electricity and we supply the electricity . It is not only generation alone, it is the conversion of electricity from one form to the other and that could happen in many ways. It could assist the transmission system, it could assist the generators like the renewable power generators and it could also assist the DISCOMs where DISCOMs are under stress, so this is how these pump ed storage plants are very useful but in wha t manner we are going to use it, that will of course

depend upon where this particular asset is situated and what could be
the best use of that asset in that particular topography.
 Riya Mehta: What kind of margins we will be seeing in this kind of projects like
per megawatt or something RO I?
R K Vishnoi : Per megawatt cost as I said it will vary fro m anything between
Rs.6.5 Crore to Rs.8.5 Crore per megawatt that is the cost of
development, but as far as margins are concerned .
R.P. Goyal : ROI will be at the rate of 16.5 % as in the case of hydro project.
Riya Mehta: In case f rom Pump hydro project 16.5?
R.P. Goyal : 16.5.
Riya Mehta: These also include the escalation like we have in the normal project?
R.P. Goyal : That will be on cost plus basis s imilar to hydro project.
Riya Mehta: Thank you.
Moderator : Thank you. We will take the next question from the line of Nikhil
Abhyankar from ICICI Securities . Please go ahead.
Nikhil Abhyankar: Thank you sir. Thanks for the opportunity. Sir, we have been
handed to bid out renewable project for this yea r. So, what is the
expected bidding from our side this year and what all things are in
pipeline?
R K Vishnoi : So i n fact, there are different modes. We have already bidout
capacities of something like 1000 MW under CPSU scheme, but at
the moment recently we have bid out for 3 gigawatt i.e. 3 000
megawatt capacity. T hat is a part of the total 10 gigawatt capacity
which you have to roll out this particular financial year. S o, 3
gigawatt we have already done it and 7 gigawatt will come
 gradually. That is mandate which has been given to NHPC and a s
soon as, we finalize this capacity, then immediately we will roll out
the further tender for this.
Nikhil Abhyankar: Of this 7, the entire tendering process is also yet to start ?
R.P. Goyal : For 3 gigawatt we already started tendering process . NIT has be en
floated but one thing I want to clarify that there will be no capex
from our side, we will be just intermediary .
Nikhil Abhyankar: Understood, but we are confident of achieving 10 gigawatt this
fiscal?
R.P. Goyal : Yes.
Nikhil Abhyankar: Sir, any update on Sawalkot tender?
R K Vishnoi : Sawalkot is a project in the pipeline and there are certain last stage
compliances and some kind of understanding with the state
government which is almost no w through. We are ready with the
tender document and very shortly , we will issue the NIT for the civil
works as well as the other packages for Sawalkot .
Nikhil Abhyankar: Sir you mentioned that the consol idated capex is around Rs.109
billion so what will be the standalone number?
R.P. Goyal : Rs.5700 Crore .
Nikhil Abhya nkar: Sir just a last question if I may add. You mentioned that we might
even look at monetizing ancillary services for pumped hydro storage ,
so how will it actually happen , so will it be on by bilateral basis,
short term , medium and long term agreements o r will it b

e through
exchanges?
 R K Vishnoi : See, the Government ha s issued the guidelines now and there are
certain more guidelines which are in the making at the moment
where the developer of pump ed storage plant would be free to enter
into bilateral agr eement with any of the industry directly or the end
user also and he is also free to co nvert that power into either repeat
power or round the clock power and sell it through the exchanges .
So, both the options are available and this has been thrown open now

and this has been left to the market. S o, this is how it is going.
Nikhil Abhyankar: Sir right now can you s ee, is there any trac tion in the a ncillary market to exchanges or even say bilateral markets?
R K Vishnoi : Yes, already we have started filling th e demand and as you know the compl iances are getting stricter day -by-day. T hese requirement of compliances on account of a ncillary services are becoming more stringent and because of which the importance and significance of this pump ed storage p lant asset is coming to fore .
Nikhil Abhyankar: Understood. Can you quantify the bids that we are already quoting in anc illary markets?
R K Vishnoi : Nothing of that sort has been done yet but see, first we are focusing on starting t he project and then, we will focus on what model we will enter into the market.
Nikhil Abhyankar: Ok sir, Thank you and all the best.
Moderator : Thank you. We will take the next question from the line of Gopal Nawandhar from SBI Life . Please go ahead.

 Gopal Nawandhar: Sir I want to know the renewable projects which are getting commissioned in FY'24, FY'25 and FY' 26 and the projects we target to bid for our capex for the next two to three years?
R.P. Goyal : At present, we are working on one Kalpi solar power project (65 megawatt) in our subsidiary i.e. BSU L and then, we are working in CPSE scheme (1000 megawatt). Out of that , 300 megawatt is being constructed by Tata Power in Bikaner , that will be commission ed in the current financial yea r and the rest of the capacity 700 megawatt will be commissioned in FY24 -25. W e have just received a letter of award from Gujarat for 200 megawatt solar capacity for which we are in the process of awarding EPC contract. This is the solar capacity which is likely to come up in FY23 -24 & FY24 -25. One more 88 megawatt Floating Solar P roject is being done by ou r subsidiary company i.e. NHDC. That will also come up in the current financial year.
Gopal Nawandhar: Any target we have in terms of the bidding for every year , for the next two to three years?
R.P. Go yal: Actually , we are keeping our R eturn on E quity at least 12% . So in case we a re able to achieve this 12% ROE, only then we will take solar projects. That is why , we have not kept the higher target for solar capacity. We are doing selective projects only .
Gopal Nawandhar: If you can just highlight some of these regulations which are going to come for next year . How do you see i mpact of these regulations on NHP C, do you see any more incentives being given to hydro or is there any expectations of return bei ng cut or something which you can just give some highlight?

 R.P. Goyal : In nutshell , we will not be loser on account of new regulations to come. There may be some benefit, but we are waiting for the draft regulations as of now. We have given our c omments. We are demanding more Return on E quity but that is to be seen.
Gopal Nawandhar: Sure Sir. Thanks a lot Sir.
Moderator : Thank you. We will take the next question from the line of Riya Mehta from Equitas Investments . Please go ahead.
Riya Mehta: Thank you fo r the followup. We have signed the Pump Storage MoUs, so any concrete plans from when these revenues will st

art
flowing or what kind of opportunity are we seeing further on this and what will be the revenue potential from this?
R K Vishnoi : As I said, these are the first mem orandum of understanding with the state government where we have agreed to develop these pump ed storage plants in the particular state. Now, NHP C will start work on the ground and the first thing is of course the investigations, what kind of project, what kind of scheme and then how this scheme can be optimized o n account of cost and timeline. S o, all these things

will be done and they may be comp leted in next one to one -and-a-half year 's time. Once that is complete, then we will start th e construction also but before that , of course , there will be another agreement with the state government where the permissions for starting the construction and then finally fe tching the power and then operating the plant in that particular state would be there. Then the mode of operation of this pump ed storage plant would also be added there. So at the moment , we are at a very early stage but yes we have already set the ball rolling.

Riya Mehta: Sir in terms of cost of borrowing what was your average rate ?

R.P. Goyal : Our average rate is around 7. 7% as of now .

Riya Mehta: So for the September since we see torrential rains in the month of July as well , do we expect little lower PAF or something like that?

R K Vishnoi : In fact , there were couple of plants wh ich remained shut down for about a week or 10 days but then because of the more water availability , we generated quite a good amount of energy in the month of July. So as far as PLF is concerned, PL F is not going to go down but PA F certainly it got impacte d.

Riya Mehta: Sorry, What was impacted I cannot hear you?

R K Vishnoi : PAF the plant availability factor . That seems to be available , that got impacted because the plants remain shut down for about a week or 10 days.

Riya Mehta: Thank you.

Moderator : Than k you. We will take the next question from the line of Prashant Kshirsagar from Unived Corporate Research . Please go ahead.

Prashant Kshirsagar : Thanks for the followup question Sir. Just wanted to clarify one thing that you will be preparing fr esh DPR and technocommercial due diligence for Subansiri middle and upper now or is it that you will rely on the earlier DPRs done by professional consultant EY?

R K Vishnoi : See, NHPC is a very compet ent engineering organization. S o, we will first update the DPR and review the DPR ours elves and we will try to optimize not only the cost , rather technical competence of the project also. We will update the DPR completely for both the

projects. Of course , there will be guidance from the previous DPR but not completely.

Prashant Kshirsagar : In the question and answer session , you mentioned the capital expenditure to be done for Subansiri middle and upper also . So, what kind of capex is this if you can help us?

R K Vishnoi : This is just the cost incurred and takeover of the se two projects because the earlier developers have spent a lot of amount on development of these projects . So, there was a scheme of Government of India that whatever amount is visible on the site or which is meaningful at the moment can be reimbursed to them and the project can be taken over . So, it is that capex which we are proposing now.

Moderator : Thank you Sir. Ladies and gentlemen due to time constrains , that would be the last question for today. I would now like to hand the conference over to Mr. Rupesh Sankhe for closing remarks. Over to you!

Rupesh Sankhe : We thank Mr. R K Vishnoi Sir for giving us an opportunity to host this call and we also thank all the investors and analysts for joining this c all.

Moderator : Thank you very much Sir .

R.K. Vishnoi: Thank you e

verybody who participated in this conversation.

Moderator : Thank you Sir! Ladies and gentlemen on behalf of Elara Securities Private Limited that concludes this conference. We thank you for joining us. Y ou may now disconnect your line s.

Call: Nov 2023

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ISIN No. INE848E01016

Sub: Transcript of Conference Call for discussion on financial resul ts for quarter ended on
September 30, 2023
[redacted]: 30 [redacted] , 2023 [redacted]

Sir/ [redacted] ,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, it is to inform that the tr anscript of the Conference cal l with analysts and investors held on November 08, 2023, with respect to the financial results of the Company for the quarter ended on September 30, 2023 is attached herewith and has also been made available on website o f the Company at the link:
https://www.nhpcindia.com/assests/pzi_public/gallery/1700040327 .pdf.

It is also confirmed that no Unpublished Price Sensitive Inform ation was shared in the above referred Conference Call.
This is for your information and records.

[redacted] [[redacted] ([redacted]) [redacted]] [redacted], 2015 [redacted] 30 [redacted], [redacted]
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[redacted], 2023 [redacted] 08 [redacted], 2023 [redacted]:
https://www.nhpcindia.com/assests/pzi_public/gallery/1700040327 .pdf.

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“NHPC Limited
Q2 FY’2 4 Earnings Conference Call ”
November 08, 202 3

MANAGEMENT : MR. R. P. GOYAL – DIRECTOR (FINANCE) – NHPC
LIMITED
MR. R.K. CHAUDHARY – DIRECTOR (TECHNICAL) –
NHPC LIMITED

MODERATOR : MR. RUPESH SANKHE – ELARA SECURITIES PRIVATE
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the NHPC Limited Q2 FY’24 Earnings Conference Call hosted by Elara Securities Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistanc e during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rupesh Sankhe from Elara Securities Private Limited. Tha nk you and over to you, sir.
Rupesh Sankhe: Good afternoon everyone. On behalf of Elara Securities, we welcome you all for the Q2 FY’24 Conference Call of NHPC. So, I take this opportunity to welcome the management of NHPC represented by Mr. R.P. Goyal, he is the Director (Finance) , Mr. R.K. Chaudhary. he is the Director (Technical). We will begin the call with a brief overview by the management followed by Q&A session.
I will now hand over the call to management for opening remarks. Over to you, sir.
RP Goyal: Good afternoon, friends. The NHPC Board has adopted a Half Year ly financial results for the period ended 30th September ’23 in its meeting held on 6th November ’23 and the same has already been communicated to exchanges. By now, I hope you all would h ave got a good chance to go through the quarterly and Half Year ly set of numbers. The detailed number analysis of financial results of the company is as follows :-
■ During the Half Year FY’24 , our power stations have achieved generation of 16,797 million units as against 18,303 million units generated in the corresponding period of the previous ye ar, which is lower by about 8% i.e. 1,506 million units. This is mainly due to lower water availability and intense rain and flood in some parts of Himachal Prade sh in August ’23, which has impacted the generation in the region, especially the outage of all units of Parbati -III Power Station.
During the 2nd quarter FY’24 , our power stations have achieved generation of 9,010 million units as against 10,138 million u nits generated in the

corresponding period of the previous year, which is lower by about 11% or 1,128 million units due to reasons that I have just shared with you.
Parbati -III Power Station is now fully operational. However, you may be aware that on the night intervening 3rd and 4th October ’23, our power stations / projects in the Teesta Basin were unfortunately hit by unprecedent ed flash floods in North Sikkim. As such, our 510 megawatt Teesta -V Power Station and 500 megawatt Teesta -VI HE project, which i s under construction, have suffered damages. This has impacted TLDP -III and TLDP -IV Power Stations also leading to forced outage. We have made every effort s possible to restore these projects. TLDP -IV has already been made operational and TLDP -III is likely to be restored very shortly. Restoration of Teesta -V Power Station is being planned in the shortest possible time, which may be completed in around one year period. However, the assets and business interruption loss of power stations are fully i nsured under mega -insurance policy, which has been taken from New India Assurance Company. As such, financial implications of this calamity on NHPC would not be much.
■ PAF for Half Year FY’24 stands at 91.93%, corresponding previous period of 99.23%, which is about 7% lower. This is mainly due to lower water availability and outage of some of power s tations like Parbati -III, Kishan ganga and Chamera -II.
Our P AF for 2nd Quarter FY’24 stands at 89.78% against the corresponding previous period PAF of 99.87%, which is about 10% lower on account of same reasons.
■ For Half Year FY’24 , Company has earned Revenu

e from Operations of Rs.
5,056 Crore as against Rs. 5,327 Crore in the corresponding previous period, which is about 5% lower or by Rs. 271 Crore . The decrease in revenue is mainly due to lower generation.
During Q2 FY’24 , Company has earned Revenue from Operations of Rs. 2,485 Crore as against Rs. 2,836 Crore in the corresponding previous period, which is about 12% lower by Rs. 351 Crore . The decrease in revenue is again mainly due to lower generation.
■ Other Income for Half Year FY’24 is of the order of Rs. 408 Crore in comparison to Rs. 332 Crore during the corresponding previous period, which

is about 23% higher by Rs. 76 Crore . This is mainly due to increase in Dividend Income by Rs. 37 Crore and increase in realization of Business Interruption Loss against insurance claim of Sewa -II Power Station by Rs. 34 Crore .
Other Income for Q2 FY’24 is of the order of Rs. 129 Crore in comparison to Rs. 115 Crore during the corresponding previous period, which is about 12% higher by Rs. 14 Crore . This is also mainly due to increase in dividend income by Rs. 9 Crore .
■ During Half Year FY’24 , the Generation Expenses have gone up from Rs. 637 Crore to Rs. 915 Crore means by Rs. 278 Crore , which is mainly due to applicability of Water Cess in Uttarakhand, Sikkim and in Himachal Pradesh. However, this has no impact on profitability of the company as this is a pass - through item from our end.
During Q2 FY’24 , the Generation Expenses have gone up from Rs. 367 Crore to Rs. 397 Crore means by Rs. 30 Crore , which is again mainly due to applicability of Water Cess in Uttarakhand, Sikkim and in Himachal Pradesh.
■ During Half Year FY’24 , the Employee Cost has gone up from Rs. 598 Crore to Rs. 619 Crore means by Rs. 21 Crore . The increase is mainly due to increase on account of increment, promotion, etc. by Rs. 30 Crore , which is partly offset by decrease in expenditure on account of superannuation of employees.
During Q2 FY’24 , the Employee Cost has gone up from Rs. 291 Crore to Rs. 321 Crore means by Rs. 30 Crore , which is mainly on account of increment, promotion, etc.
■ During Half Year FY’24 , there has been decrease in the Finance Cost from Rs. 244 Crore to Rs. 229 Crore means by Rs. 15 Crore , which is mainly due to change in rate of interest.
During Q2 FY’24 , there has been increase in the finance cost from Rs. 107

Crore to Rs. 115 Crore means by Rs. 8 Crore due to highe r interest on short - term loans.

■ During Half Year FY'24 , the Depreciation and Amortization Expenses have come down from Rs. 571 Crore to Rs. 553 Crore means by Rs. 18 Crore , which

is mainly due to completion of 12 years of life of Sewa -II Power Station in FY 2022-23.

During Q2 FY'24 , the Depreciation and Amortization Expenses have come down from Rs. 284 Crore to Rs. 277 Crore means by Rs. 7 Crore , which is again mainly due to completion of 12 years of life of Sewa -II Power Station in FY 2022-23.

■ During Half Year FY'24 , Other Expenses have come down from Rs. 858 Crore to Rs. 725 Crore means by Rs. 133 Crore , which is mainly due to impairment of investment of Rs. 106 Crore in respect of Loktak Downstream Hydroelectric Power Corporation , a subsidiary company during corresponding previous period. Further, CSR Expenses have also de creased by Rs. 39 Crore .

During Q2 FY'24 , Other Expenses have gone up from Rs. 352 Crore to Rs. 355 Crore showing marginal increase.

■ During Half Year FY'24 , MAT Credit of Rs. 529 Crore has been recognized and MAT Credit of Rs. 175 Crore has been utilized during the period . This has resulted in a positive impact of Rs. 354 Crore on the PAT of the Company .

During Q2 FY'24 , MAT Credit of Rs. 519 Crore has been recognized and MAT Credit of Rs. 77 Crore has been utilized d

uring the period . This has resulted in a positive impact of Rs. 442 Crore on the PAT of the Company .

■ During Half Year FY'24 , we have earned PAT of Rs. 2,500 Crore as against Rs. 2,483 Crore of corresponding previous period, which is up by Rs. 17 Crore or 1% approx. And t he reasons for decrease and increase in the line items, we have just discussed.

During Q2 FY'24 , we have earned PAT of Rs. 1,447 Crore as against Rs. 1,433 Crore of corresponding previous period, which is up by Rs. 14 Crore or 1% approx. and the reasons for decrease and increase in the line items , we have just discussed.

■ During Half Year FY'24 , the Incentive position is as under: -

We have earned Secondary Energy to the tune of Rs. 6 Crore as against zero in the corresponding previous period . PAF based Incentive is zero against Rs. 353 Crore in the corresponding Half Year . Deviation Charge s are Rs. 21 Crore

as against Rs. 119 Crore in the corresponding previous period. So, total of three incentives during current Half Year is Rs. 27 Crore as against Rs. 472 Crore in the corresponding previous Half Year .

During Q2 FY'24 , the incentive position is as under :-

We have earned Secondary Energy of Rs. 6 Crore as against zero in the corresponding previous period. PAF based Incentive in the current quarter is zero against Rs. 181 Crore in the corresponding previous period and Deviation Charge s are Rs. 10 Crore against Rs. 47 Crore in the corresponding previous period . So, total of three incentives is Rs. 16 Crore as against Rs. 228 Crore in the corresponding previous period.

The P AF based Incentive for the quarter and Half Year is nil due to change in methodology for recognizing incentive income. The P AF Incentive shall be recognized once capacity charges of a particular power statio n is fully recovered. So, it will be back -ended.

■ CAPEX of Rs. 4,095 Crore has been incurred during Half Year '24 against target CAPEX of Rs. 10,857 Crore for FY'24 on consolidated basis .

■ Other major highlights of the company are as under :-

On realisation front, NHPC has received Rs. 5,065 Crore from the beneficiaries against sale of power during Half Year FY'24 as compared to Rs. 3,800 Crore

in the corresponding period of previous year. Trade receivables as on 30th September’23 stands at Rs. 5,970 Crore as against Rs. 5,850 Crore as on 30th September'22. This includes Rs. 2,685 Crore as Unbilled Debtors as on 30th September’23 as against Rs. 2,751 Crore as on 30th September ’22.
The net receivables out of total Reported Trade Receivables as on 30th September’23 are as under :-
Total reported Trade Receivables are Rs. 5,970 Crore . Out of that, Unbilled Debtors is Rs. 2,685 Crore . So, balance bill ed receivables are Rs. 3,285 Crore . The break -up of bills receivable is as under :- Debtors for bill discounting is Rs. 965 Crore for which we have already received the cash but due to accounting compulsion, it will be reversed in the coming period on repayment of the instalment by the disco ms. So, it is coming as outstanding as on date. Debtors'

dues converted to instalments under the Late Payment Surcharge Rules , it is Rs. 1,132 Crore . This amount is being realised in instalments as per the Ministry of Power orders . So, net amount due is only Rs. 1,188 Crore and out of that, dues more than Rs. 367 Crore .
Unbilled debtors mainly include Impact of AFC billed as against AFC claimed as per Regulation 2019 -24 including Security Expenses of Rs. 1314 Crore, Unbilled sale for the month of September of Rs. 744 Crore and Water Usage charges of Rs. 469 Crore etc. So, all these three items will be billed in the coming period.
Net trade receivables as on 5th November ’23 stands at Rs. 1,124 Crore , which includes more than 45 days dues of Rs. 142

Crore only.

■ On physical front, as we have been sharing that the active construction work at Subansiri Lower Project site is going on in full swing, I am very hopeful that we can commission two units of the project in fourth quarter of current financial year and remain ing six units are expected to be commissioned one -by-one by May '25. The estimated cost of the project is Rs. 21,248 Crore out of which, we have already incurred Rs. 19,459 Crore till September’23 . The estimated levelised tariff based on the anticipated co st is Rs. 5.6 per unit.

■ In respect of Parbati -II HE project, we have achieved a major milestone towards full commissioning by the day lighting of 31.5 km long Head Race Tunnel of the project. We are trying our best to complete the project by September'24. The anticipated cost of the project is Rs. 11,063 Crore out of which we have already incurred Rs. 10,686 Crore till September’23 . The estimated levelised tariff of this project will be around Rs. 6.09 per unit.

■ In respect of Dibang Multipurpose Project, lot 1, lot 2, lot 4 and lot 6 packages have already been awarded to different contractors related to package for design engineering and infrastructure work, construction of HRT and works have already been awarded. The balance packages which are yet to be awarded are relating to civil work of dam and three packages of hydro -mechanical works. These packages will also be awarded in current financial year itself . The estimated cost of the project is Rs. 31,876 Crore , which includes grant of Rs. 6,735 Crore from Government of India for flood moderation and enabling infrastructure works, out of which we have already incurred Rs. 2,268 Crore

till September’23 . Further, estimated levelised tariff of the project is Rs. 4.46 per unit and the scheduled completi on of the project is February’ 32.

■ In respect of Lanc o Teesta Hydro Power Limited consisting Teesta 6 project of 500 megawatt, work was progressing well at site. However, due to flash flood in the region on 4th October'23, the work was affected to some extent. However, all assets and works of the project are ensured under Construction All Risk Policy. The estimated cost of this project is Rs. 5,748 Crore , out of which we have already incurred expenditure of Rs. 2,974 Crore till September’23 . Estimated levelised tariff of the project is Rs. 4.07 per unit and expected commissioning schedule of the project is August '26. Further, we are in the process of me rger of Lanc o Teesta Hydro Power Limited with NHPC and second motion application has already been filed with M CA.

■ Jal Power Corporation Limited consisting Rangit IV project of 120 megawatt is also progressing well. The estimated cost of the project is Rs. 938 Crore out of which we have already incurred expenditure of Rs. 792 Crore till September’23 . Estimated levelised tariff of the project is Rs. 4.37 per unit. Further, we are in the process of merger of this company also with NHPC. The project is expected to be co mpleted by August'24.

■ In respect of Ratle HE project , UT of J&K of 850 megawatt capacity, that work is going very well at the project site. The estimated cost of the project is Rs. 5,282 Crore and we have incurred expenditure of Rs. 431 Crore till Septemb er’23 . Estimated levelised tariff of the project is Rs. 3.92 per unit and the project is expected to be completed by May'26.

■ Presently, NHPC through its subsidiary company i.e. CVPP PL is executing three projects in Chenab basin of UT of J& K. Construction work at Pakal Dul 1,000 megawatt project is progressing very well. The estimated cost of the project is Rs. 8,112 Crore out of which we have incurred expenditure of Rs. 3,410 Crore till September’23 . Estimated levelised tariff of the project is Rs. 4.28 per unit and the project is expected to be completed by Septembe

r'26.
In respect of Kiru HE Project 624 megawatt, we have incurred expenditure of Rs. 1,314 Crore till September 23 out of estimated cost of Rs. 4,288 Crore . Estimated levelized tariff of the project is Rs. 4.64 per unit and estimated completion of the project is March'26.

In respect of Kwar hydroelectric project of 540 megawatt capacity, the work is progressing very well at site. The estimated cost of the p roject is Rs. 4,526 Crore out of which we have incurred expenditure of Rs. 497 Crore till September’23 . Estimated levelized tariff of the project is Rs. 4.44 per unit and the project is likely to be completed by November'26.
Apart from above under construc tion projects, NHPC is also working on some projects such as Teesta -IV 510 megawatt, Sawalkot 1,856 megawatt, U ri-I, Stage –II 240 megawatt, Dulhasti. Stage -II 260 megawatt, Kirthai II 930 megawatt and Dugar project 500 megawatt which are at different stag es of clearances.
■ In respect of our hydroelectric projects in Nepal, DPR preparation is under progress for 750 megawatt West Seti project and the Inception Report submitted by NHPC has been accepted by Investment Board of Nepal in respect of 450 megawatt Seti River -6 hydroelectric project. Further, an MoU has been signed with Vidhyut Utpadan Company Limited, Nepal on 1st June’23 for development of Phukot Karnali Hydro Electric Project 480 megawatt in Nepal.

■ PPAs for all under construction projects of NHPC including its subsidiaries have been signed or consent has been received from the disco ms for the same.

■ In respect of 1000 megawatt capacity solar power project , the work is progressing very well in respect of 300 megawatt project in Bikaner, Rajasthan and land acquisition is in progress in respect of 600 megawatt project in Gujarat and 100 megawatt project in Andhra Pradesh.

■ NHPC is also exploring to develop some Pumped Storage Projects in the state of Andhra Pradesh, Odi sha, Jharkhand, Madhya Pradesh, Gujarat, and Maharashtra. Following progress has been achieved by the NHPC in PSP so far:-

In Madhya Pradesh, Government of Madhya Pradesh has already allotted the Indra Sagar Omkareshwar 525 megawatt PSP to our subsidiary c ompany i.e. NHDC on 7th June’23 and PFR has been submitted by NHPC to Central Electricity Authority on 13th June’23. Further PFR of Tekwa -2 Pumped Storage Project of 800 megawatt has also been submitted to Government of MP and C EA.

In Maharashtra, MoU has been signed with Department of Energy, Government of Maharashtra on 6th June’23 for the development of pump storage schemes and other renewable energy source projects in the state of Maharashtra. The MoU envisages development of four pump storage projects aggregating to 7,350 megawatt namely Kalu of 1,150 megawatt, Savitri 2,250 megawatt, Jalond 2,400 megawatt and Kengadi of 1,550 megawatt and other renewable energy source projects in the state. PFR of Savitri PSP has been submitted to Government of Mahara shtra and C EA on 11th and 20th September ’23 respectively and preparation of PFR of other three PSPs are under process.

In Odisha, MoU has been signed between NHPC and Government of Odisha through GRIDCO Limited on 23rd June'23 for development of pump stora ge projects and renewable energy in the state of Odisha. The MoU envisages setting up of self -identified pump storage projects of at least 2,000 megawatt and setting up of renewable energy projects which consists ground mounted as well as floating solar pr ojects of 1,000 megawatt or above in the state.

In Andhra Pradesh, MoU has already been signed between Government of Andhra Pradesh and NHPC on 4th March'23 for investment for development of 2,000 megawatt PSPs in Andhra Pradesh in joint venture mode. In l ine with above MoU, NHPC signed an MoU on 27th August'23 with Andhr

a Pradesh
Power Generation Corporation Ltd . for implementation of pump hydro storage projects and renewable energy projects under joint venture mode of Andhra Pradesh. The MoU envisages implementation of two identified pump storage projects namely Kamlapadu 950 megawatt and Yaganti 1,000 megawatt P SP in the first phase.

This is all from my side. Now the forum is open for question and answer. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question and answer session. The first question is in the line of Marsal Lewis , an individual investor. Please go ahead.

Marsal Lewis: Yes, sir. Can you please advise that how much is our renewable portfolio? Currently, how much project we are executing? How much is already live? And what's our vision for the next two years, by the end of fiscal year'24 -25?

RP Goyal: As of now, we have commissioned only two renewable energy projects, one 50 megawatt solar project and another 50 megawatt wind power project We are in the process of construction of 1,000 megawatt solar project as of now at our own balance sheet and 65 megawatt is being developed in one of our subsidiary companies, i .e. Bundelkhand Saur Urja Limited . Another 88 megawatt is being developed in another subsidiary, i.e. NHDC. And we have just w on a bid for 200 megawatt in Guj arat. So this is our portfolio as of now, which is under construction in the renewable sphere.

And we are not much aggressive on renewable energy front. We are basically a hydro company. But keeping at least 12% ROE, we will be taking solar or wind project s. Otherwise, we will not take up solar or wind project.

Moderator: Thank you. The next q uestion is on the line of Krishna Duttar, an individual investor. Please go ahead.

Krishna Duttar: My question is regarding the dip in revenue in this quarter. Can you please explain?

RP Goyal: Dip in revenue?

Krishna Duttar: Yes.
RP Goyal: Our generation during this quarter was 9,010 million units against 10,138 million units in corresponding previous quarter. So it was down by 1,128 million units. That is why our revenue was lower in the current quarter – second quarter of current year.
Moderator: The next question is from the line of Marsal Lewis, an individual investor. Please go ahead.
Marsal Lewis: Yes, sir. Can you please advise regarding our portfolio of hydro, how much capacity is already live, how much capacity we are in the e xecution mode, and how much is, for example, in the pipeline for which the project is not yet awarded? And then can you also give, f or example, what is the cost of project or cost of funds? Sorry, like total project cost, how much? And then whether everything is tied up or not?
RP Goyal: Mr. Lewis, we have already commissioned 6,971 me gawatt in hydr o and w e are likely to commission our Parbati -II of 800 megawatt and Rangit -IV 1 20

megawatt in FY'24 -25 and 2,000 megawatt will be added in FY25 -26 by commissioning our Subansiri Lower Project 2,000 megawatt with 624 Kiru Project also in FY '25-26. In FY '26-27, we will be commissioning Pakal D ul 1,000 megawatt, K war 540 megawatt, Ratle 850 megawatt, and T eesta-VI 500 megawatt. And thereafter in hydro, we will commission our Di bang Project of 2,880 megawatt in 2031 -32. So by end of 31 -32, our total installed capacity in hydro will be 16,285 megawatt.
Marcel Lewis: And sir, how much is the existing capacity?
RP Goyal: Existing is 6,971 megawatt of hydro.
Marcel Lewis: And how much we are going to install during the current year, FY23 -24, and FY'24 -25? Remaining like you can say, remaining two quarters and FY'24 - 25?
RP Goyal: By March end, we will be commissioning two units of Subansiri but revenue will come in next year.
Marcel Lewis: No problem. I just want to know about t he

megawatt. So how much more megawatt you will commission during this year?
RP Goyal: By end of March 24, we will be commissioning 500 megawatt in respect of Subansiri Lower Project and rest units will come in FY '25-26.
Marcel Lewis: So 24-25, how much you will commission 24 -25?
RP Goyal: By end of 24 -25, we will be commissioning around 2,500 megawatt.
Marcel Lewis: So means, no, like other than this for 25 -26, you said 200 0 one and 644 one. So that is separate?
RP Goyal: This comes in 8 00 megawatt Parbati -II, Rangit -IV 120 mega watt, and 6 units of Subansiri . 6 units means 1,500 megawatt. So 1,500, 800 and 120, it will be around 2,420 megawatt .
Marcel Lewis: Okay, sir. And then, sir, what about this, the cost of funds, like the entire funding is tied up or like do you see any, for example, okay, let me take one more question. So for example, the project under execution, which will be commissioned during 2023 -2024, 2024 -2025, 2025 -2026, whether the entire required project cost has been fund ed, has been sanctioned?

RP Goyal: As per C ERC regulation, our funding pattern is 70 -30. 70 % is Debt and 30% from our internal accruals, equity part. So , we raise loans on our balance sheet strength and there is no issue of financing. We have complete tied up for loan part, and we have sufficient internal accruals for in fussing equity part. So , there is no issue of funding.
Marcel Lewis: So, sir, like rega rding, because see now we need to go very, like, you know, fine-tune our cost. So since you have got many projects in the hand, so are you able to secure some better interest rate like for the new loan you are getting?
RP Goyal: We are raising loans at the cheapest rate. Recently we have raised Rs. 2,000 Crore loan at the rate of 7.54% per year, and that is variable. And we are

keeping cl ause regarding prepayment at any time without any repayment
charges. So , we are able to raise the loan at the cheapest ra te in the market.
Marcel Lewis: What rate did you say, sir? Like, a little bit of a disturbance, I couldn't hear. What was the interest rate?
RP Goyal: Interest rate is 7.54%.
Marcel Lewis: Oh, very good, very good, very good, beautiful, beautiful. And the n this, other than this, any cost escalation? Any cost escalation? Just like, let me finish, let me finish, one second.
RP Goyal: Cost escalation is generally pass through in the tariff.
Marcel Lewis: Okay, very good, sir, very good. So like one suggestion , sir, your PPT is not available in the stock exchange. Since you are such a big company having thousands of megawatts of like power projects, I think PPT, if you can give, we can get all information with PPT, sir.
Management: Yes, so basically PPT is available at our website, nhpc.co.in. Even for 10 years, you can access those PPT.
Marcel Lewis: Sir, I tried, every time we are trying, Yes, it's not very user -friendly also. So what is the harm if you can send one PPT copy?
Management: Yes, Yes, Yes, we have been…
Marcel Lewis: Everybody send them, sir.

Management: No issue. We have been sharing with BSE, NSE also and this time also we'll share, don't worry.
Marcel Lewis: No, no, I'm saying please share this before the commencement of
Management: We have noted your suggestion and it will be done.
Management: Immediately after con -call, we'll share our PPT.
Marcel Lewis: Not after con -call, you should -- you must do before it, so that we can read it and then we can ask only basis of that.
Management: Okay, noted.
Moderator: Thank you. The next question is from the line of Dhruv Machal from HDFC, AMC. Please go ahead.
Dhruv Machal: Yes, sir. Thank you so much. Sir, the first question is, the levelized tariff for two projects have increased marginally although, but have increased despite
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e project cost remaining the same versus what you were communicating last two quarters . So what's c ausing this increase?
Management: So basically, you see, Parbati -II, it was earlier 6.14. It has been decreased now to coming around Rs. 6.09. So there is slight reduction in the capital cost of Parbati -II.
Dhruv Machal: Okay. 6.09. I thought it is 6.9. It is 6.09.
Management: 6.09. And Subansiri, we have been sharing at the same level. So , there is not much change in Subansiri, per se.
Dhruv Machal: And sir, the second question is the unfortunate thing with Teesta VI, I think now. So you have already spent Rs. 2,900 Crore and I think a large part of that will, you'll have to reconstruct is what our basic understanding is. So do you get the whole amount from insurance company or how does this work?
RP Goyal: Mr. Dhruv, there is no loss to our already constructed part of the project. Only loss is in shape of filling up debris in our reservoir, our tunnel and washing out of our one of the stores. So there is no much loss. We estimate the loss at around Rs. 250 Crore and it is fully insured through our Contractors All Risk Policy.

Dhruv Machal: Okay. So the loss of Rs. 250 is insured and you will recover that amount?
RP Goyal: Yes.
Dhruv Machal: And sir, the last question is on the MAT credit. So you have a negat ive tax amount this quarter. So , does it lead to a benefit on PAT or it becomes a pass - through in tariffs?
RP Goyal: No. It will be in the benefit through PAT. MAT pertains to NHPC only. It is not a pass -through to beneficiaries.
Dhruv Machal: Okay. But I thought whatever tax impact you have to ultimately get effective

tax, it does not become a pass -through in tariffs?
RP Goyal: Generally, MAT credit or any tax item is pass -through in the tariff. But the tariff period for 9 -14, there was a clause that whatever tax you have taken, that is final. So in 9 -14 period, we had paid higher tax for MAT. That's why we are able to recognize MAT credit and taking benefit of that.
Dhruv Machal: Okay. Probably, I will understand this better, sir, from you later. Thank you so much and all the best. Thanks.
Moderator: Thank you. The next question is from the line of Abhishek Khanna from Kotak Secu rities. Please go ahead.
Abhishek Khanna: My all questions answered. It was on the MAT credit only. It's been answered. Thank you.
Moderator: Thank you, sir. The next question is from the line of Abhineet Anand from Kriti Investments. Please go ahead.
Abhi neet Anand: On the pump storage hydro, any of the projects where elementary study has been done and what tariff does it imply?
RP Goyal: We have prepared our PFR for Indira Sagar and Omkareshwar Project and the tentative tariff for generation, it is coming around Rs. 5 per unit and the pumping cost will be additional.
Abhineet Anand: What that number could be, sir?
RP Goyal: You can take Rs. 2.75 maximum.

Abhineet Anand: So, effectively, the overall tariff will be anywhere like Rs. 8. And this is for what p eriod, sir? I mean for four hours, is there something like that count?
RP Goyal: Six hours .
Abhineet Anand: Six hours of peaking?
RP Goyal: Yes.
Abhineet Anand: Okay. Thanks. That was my question.
Moderator: Thank you. The next question is from the line of Bhavesh Patel from Patel Investments. Please go ahead.
Bhavish Patel: Thank you for the opportunity and good performance. My question is about confirmation on our cost of equity. We expect in terms of the return on the equity around 12% or so. And the sec ond part is overall general La Nina condition, do we expect similar situation even next year? And will that impact our generation? In case you can answer, that will be good. Thank you.
Management: Yes, certainly. So, you see, if you look at the cost o

f equ ity of the company, so that is basically your perspective, how much what you call the market rate of return . If you take 10 years, 15 years, accordingly it will vary. Accordingly, if you consider five years beta or one year beta, so accordingly it will var y. But broadly, I can share with you the cost of equity, you can consider about 12%.
Bhavish Patel: Okay. Thank you. And about La Nina condition, because people are expecting that even next year, the water or the rain might be lesser. So, will that impact our generation like it has done this year?
Management: Yes. So, if you look at the design energy , it is designed in such a way that if in any particular financial year, we are not able to achieve the design energy , there is a provision in CERC regulation to claim shortfall of energy also. So, if generation is not more than design energy, certainly there will be loss of incentive. So, broadly, whatever return on equity we are earning as of now, which is broadly 16% to 16.5% and if you add on incentive, that goes up to 19% to 20% also. So, in case of water availability is an issue, that much return cannot be achieved, but 16.5% kind of insulated return you can.
Bhavish Patel: All right. That helps. Thank you very much.

Management: Sure.
Moderator: Thank you. The next question is in the line of Rupesh Sankhe. Please go ahead.
Rupesh Sankhe: Yes. Sir, couple of questions from my side. Firstly, in the last two quarters, our incentive income is almost nil. So, how do we see the incentive incomes in the coming quarters ? Because we do see that availability factor will be lower than

the last 2Q FY23. That was the first question.
And secondly, sir, now we have a huge pipeline on the renewable energy side, as well as the hydro projects, pump hydro storage. So, how do we se e the equity contribution? Are we comfortable position to have for equity contribution? Or we need to have some equity dilution going right?
Management: Yes. So, first question regarding incentive, Rupesh, we have been sharing that the accounting or method of recognition of incentive has been changed. Earlier, we used to recognize the P AF incentive also on monthly basis. So, we found that in later half of the year, when P AF is basically lower than even the trend of PAF in first six months , So negative numbe rs even goes in negative. So, that does not show the true picture of the incentive number. That is the reason we changed our accounting. Now, we will start recognizing incentive income. Definitely, incentive income would be there depending upon our actual PAF. But that will come in second half year of the financial year. Because in first half year, our focus is on recovery of capacity charges. In the same line, if you remember earlier, we used to recognize even secondary energy also simultaneously but we ch anged it . Once design energy achieved for a power station, then we started recovering secondary energy. So, in the similar line, now accounting for P AF incentives also has been changed. Are you clear with that?
Rupesh Sankhe: Yes, sir. On the capex side? Yes.
Management: Now, capex side, you see, as of now, our average capex is in the range of Rs. 8,000 to Rs. 10,000 Crore , right? It is on consolidated basis. And in most of our projects under subsidiaries, like we have already contributed 100% equity in Teesta -VI, 100% equity in Rangit -IVs, 100% equity in Pakal Dul, Kiru. So, going forward, our equity contribution in our subsidiary companies are not much. Even at a stan dalone level, if you look at the equity requirement, it will

vary between Rs. 2,500 to Rs. 3,000 Crore max. That much equity is freely available with NHPC even after havin g discharge obligation of repayment of loan and dividend distribution to the shareholder. So, NHPC is quite
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omfortable so far equity component is concerned.
Rupesh Sankhe: Okay, sir. On the pump hydro storage that JV we have formed with Andhra Pradesh, how it will be the economics there in terms of return on equity?
RP Goyal: Return on equity will be as per hydro projects only, and it will be 16.5%.
Rupesh Sankhe: Okay, tha nk you, sir.
Moderator: Thank you. We will move to the next question that is on the line of Mohit Surana from Monarch Networth Capital. Please go ahead.
Mohit Surana: Hello, sir. My question is more general and related to realizations. In years when we hav e generation more than the design capacity, the extra energy that we produce, does that go at the same realization at the same average selling price set by the regulator? I mean, the tariff or the tariff would be very low for the extra generation.
RP Goyal : No, no, secondary energy, which is beyond the design energy, it goes at the rate of maximum Rs. 1.20 per unit or the energy charg es, which ever is low er. So, it is not the same rate.
Mohit Surana: You said Rs. 1.20 per unit.
RP Goyal: Maximum. If the energy char ges are low, then it will be at the rate of energy charg es only.
Mohit Surana: Understood. Thank you.
Moderator: Thank you. Ladies and gentlemen, that is the last question. I now hand the conference over to Mr. Rupesh Sankhe for his closing comm ents.
Rupesh Sankhe: Yes. So, we thank NHPC management for giving us an opportunity to host this call. We also thank all the investors and the analysts for joining this call. And happy Diwali to everyone.
RP Goyal: Thank you. Thank you, Mr. Rupesh, and hap py Diwali to you and all the investor community. Thank you.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Elara Securities, that conclude this conference call. We thank you for joining us and you may now disconnec t your lines. Thank you.
Management: Thank you so much.

Call: May 2024

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Scrip Code: NHPC

ISIN No. INE848E01016

Sub: Transcript of Conference Call for discussion on financial resul ts for quarter and year ended on
March 31, 2024
[redacted]: 31 [redacted], 2024 [redacted]

Sir/ [redacted] ,

In reference to our earlier letter dated 20.05.2024 and pursuant to Regulation 30 o f the SEBI (Listing
Obligations and Disclosure Requirements) Regulations, 2015, it is to inform that the transcript of the
Conference call with analysts and investors held on May 20, 202 4, with respect to the financial results of the
Company for the quarter and year ended on March 31, 2024 is att ached herewith and has also been made
available on website of the Company at the link: https://www.nhpcindia.com/welcome/page/121 .

It is also confirmed that no Unpublished Price Sensitive Inform ation was shared in the above referred
Conference Call.
This is for your information and records.

[redacted] 20.05.2024 [redacted] [[redacted] ([redacted])
[redacted]] [redacted] ,
2015 [redacted] 30 [redacted], [redacted] 31 [redacted], 2024 [redacted]
[redacted] 20 [redacted], 2024 [redacted]
[redacted]: https://www.nhpcindia.com/welcome/page/121 .

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"NHPC Limited
Q4 FY'2 4 Earnings Conference Call "
May 20 , 202 4

MANAGEMENT : MR. R. P. GOYAL – CHAIRMAN AND MANAGING DIRECTOR AND DIRECTOR (FINANCE) – NHPC LIMITED
MR. UTTAM LAL -- DIRECTOR (PERSONNEL) – NHPC LIMITED
MR. R.K. CHAUDHARY – DIRECTOR (TECHNICAL) AND DIRECTOR (PROJECTS) – NHPC LIMITED

MODERATOR : MR. RUPESH SANKHE – ELARA SECURITIES PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, an d welcome to NHPC Limited Q4 FY'24 Earnings Conference Call hosted by Elara Securities Private Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need ass istance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rupesh Sankhe from Elara Securities. Thank you, and over to you, sir.

Rupesh Sankhe: Good afternoon, everyone. On behalf of Elara Securities, we welcome you all for the Q4 FY '24 conference call of NHPC. I take this opportunity to welcome the management of NHPC represented by : Mr. R.P. Goyal sir, who is Chai rman and Managing Director and also Director (Finance) and we have Mr. Uttam Lal, Director (Personnel); also Mr. R.K. Chaudhary, Director (Technical) and Director (projects) . So, we will begin the call with a brief overview by the management followed by Q&A session.

I will now ha nd over the call to Mr. R.P. Goyal sir for his opening remarks. Over to you, sir.

RP Goyal: Thank you, Rupesh. Good afternoon, friends. The NHPC Board has announced annual financial results for the period ended 31st March '24, in its meeting held on 17th May'24 and the same has already been communicated to stock exchanges. By now, I hope you all would have got chance to go through the quarterly and yearly set of numbers.

■ Detailed analysis of financial results of the company is as follows:

■ During FY'24, our power stations have achieved generation of 21,773 million units as against 24,619 million units generated in corresponding period of previous financial year which is lower by about 12% i.e.

2,846 million units. This is mainly due to heavy flash flood in Teesta basin in October '23, which has resulted into complete shutdown of

Teesta -V Power Station . The restoration works are underway and are expected to be completed by March ’25.
Further, overall lower water availability and intense rain and flood in some parts o f Himachal Pradesh in August ’23 has also impacted the generation in the region, especially the outage of all units of Parbati -III Power Station , which were got fully operational in the month of September ’23.
During fourth quarter ’24, our power stations hav e achieved generation of 2,304 million units as against 2,891 million units generated in correspond ing period of the previous year whic h is lower by about 20% i.e. 587 million units lower due to the reasons which I just explained.
■ Our PAF for FY ’24 stands at 77.6 0% against the corresponding previous period PAF of 88.75%, which is lower by around 11%. This is mainly due to outages of some of our power stations like Teesta -V, Parbati -III, Kishanganga, Chamera -III and lower water availability.
Our PAF for fourth quarter for FY ’24 stands at 54.65% against the corresponding previous period year PAF of 67.96% which is about 13% lower on account of same reasons .
■ For FY ’24, company has earned Revenue from Operations of INR8,405 Crore as against INR9,316 Crore in the corresponding previous period, which is about 10% lower or by INR911 Crore . The decrease in revenue is mainly due to lower generation.
During f ourth quarter FY ’24, company has earned Revenue from Operations of INR1,652 Crore as against INR1,717 Crore in the corresponding previous period, which is about 4% lower or by INR65 Crore . The decrease in revenue is again mainly due to lower generation.

■ Other income for FY ’24 is of the order of INR1,620 Crore in comparison to INR835 Crore during th e corre sponding previous period wh

ich is about 94% higher or by INR785 Crore . This is mainly due to increase in dividend income by INR121 Crore from one of our subsidiaries i.e NHDC and increase in realization of business interruption loss against insurance claim by INR108 Crore and increase in income from exchange rate variation by INR74 Crore . Further, there is income from insurance claim of INR382 crore on account of material damage mainly in respect of Teesta -V power station. However, this has no impact on profit as the same has also been booked in Other Expenses as well.
Other income for fourth quarter FY ’24 is of the order INR591 Crore in comparison to INR254 Crore during the corresponding previous period, which is about 133% higher or INR337 Crore . This is mainly due to increase in dividend income by INR97 Crore , realization of business interruption loss against insurance claim against Teesta -V Power Station of INR112 Crore , increase in income from exchange rate variation by INR41 Crore and other m iscellaneous items.
■ During FY ’24, the Generation Expenses have come down from INR936 crore to INR814 Crore , means by INR122 Crore due to lower generation a nd reversal of water cess booked earlier in respect of Himachal Pradesh and Sikkim.
During fourth quarter FY ’24, the Generation Expenses have come down from INR152 Crore to negative INR247 Crore means by INR399 Crore mainly due to reversal of water cess during the current quarter in respect of Himachal Pradesh and Sikkim to the tune INR412 Crore in view of outcome of the Honorable High Court of Himachal Pradesh against imposition of water cess.
Basically, we h ave won the case in the High Court of Himachal against the Government of Himachal Pradesh and we a re expecting to win the case in case of Sikkim also.

■ During FY ’24, the Employee Cost has come down from INR1,301 Crore to INR1,297 Crore means by INR4 Crore , which is almost flat. During fourth quarter FY ’24, the Employee Cost has come down from INR417 Crore to INR369 Crore , means by INR48 Crore , which is mainly on account of retirement of employees.
■ During FY ’24, there has been decrease in the Finance Cost from INR476 Crore to INR425 Crore , means by INR51 Crore , which is mainly due to change in rate of interest and repayment of loan s. During fourth quarter FY’24, there has been decrease in the Finance Cost from INR112 Crore to INR95 Crore , means by INR17 Crore which is again mainly due to change in rate of interest and repayment of loans.
■ During FY ’24, the Depreciation and Amortization Expenses have come down from INR1,145 Crore to 1,111 Crore means by INR34 Crore , which is mainly due to completion of 12 years of life in respect of Sewa -II power station in FY 2022 -23. So , the expense in de preciation charges in respect of Sewa -II has come down drastically.
During fourth quarter, the Depreciation and Amortization Expenses have come down from INR286 Crore to INR280 Crore means by INR6 Crore , which is again mainly due to completion of 12 years of life of Sewa -II Power Station in FY 20 22-23.
■ During FY ’24, Other Expenses have gone up from INR1,708 Crore to INR2,316 crore means by INR608 Crore . This is mainly due to increase in Insurance Expenses by INR125 Crore and increase in Interest on Arbitration / Court Cases by INR183 Crore . Further, there is accounting of material damage of INR441 Crore mainly in respect of Teesta -V Power Station , which has been offset by insurance claim of INR382 Crore as shown under Other Income .

During fourth quarter, Other Expenses have gone up from INR486 Crore to INR788 Crore means by INR302 Crore . This is mainly due to increase in Insurance Expenses by INR49 Crore , increase in Interest on Arbitration/ Court Cases by INR183 Crore , increase in Interest to Beneficiaries

by INR49 Crore etc.
■ During FY ’24, MAT Credit of INR529 Crore has been recognized and MAT Credit of INR355 Crore has been utilized during the period. This has resulted in a positive impact on profitability by INR174 Crore . During f ourth quarter FY ’24, MA T Credit of INR129 Crore has been utilized during the period. This has resulted in a negative impact of INR129 Crore on PAT for the quarter.
■ During FY ’24, we have earned PAT of INR3,744 Crore as against INR3,834 Crore of corresponding previous period, which is down by INR90 Crore i.e. around 2% a nd the reaso ns for decrease / increase in the line items , we have just discussed.
During fourth quarter FY ’24, we have earned PAT of INR698 Crore as against INR569 Crore of corresponding previous period, which is up by INR129 Crore or 23 % approx and the reasons , we have just discussed.
■ During FY ’24, the incentive position is as under :-
■ We have earned Secondary Energy of INR102 Crore as against INR123 Crore in the corresponding previous year.

■ PAF Incentive for FY ’24 is INR316 Crore as against INR405 Crore of corresponding previous year , so this is down by INR89 Crore .
■ Deviation Charges are INR41 Crore for FY'24 as against INR147 Crore we earned in FY'23. So , it is also low er by INR106 Crore . So, total incentive on these three accounts for FY '24 is INR459 Crore as against INR675 Crore we earned in the corresponding previous year. So , there

is a dip of INR216 Crore in respect of all of the incentives.

■ During fourth quarter FY ’24, the incentive position is as under: -

■ We earned the Secondary Energy to the tune of INR80 Crore as against INR110 Crore in the corresponding previous quarter. So , it is also lower by INR30 Crore .

■ PAF based incentive is INR252 Crore as against INR349 Crore in the corresponding previous quarter, so it is lower by INR97 Crore .

■ Deviation Charges are INR7 Crore against negative INR2 Crore in the corresponding previous quarter, so this is up by INR9 Crore . So total incentive for the current fourth quarter of FY'24 is INR339 Crore as against INR457 Crore in the corresponding previous quarter. So there is total dip of INR118 Crore , so far the quarter is concerned.

■ We incurred capex of INR8,652 Crore during FY ’24, against target capex of INR10,857 Crore on consolidated basis.

■ The Board of Directors have recommended the payment of final dividend at the rate of 5%, i.e. INR0.50 per equity share in addition to interim dividend at the rate of 14%, resulting in tot al dividend at the rate of 19% i.e. INR1.90 per equity share on the face value of paid up equity share of INR10 each for the financial year 2023-24.

■ Other major highlights of the company are as follows:

■ On realization front, NHPC has received INR9,606 Crore from the beneficiaries against Sale of the Energy during FY ’24 as compared to INR7,435 Crore in the corresponding period of previous year. Trade Receivables as on 31st March ’24 stands at INR3,984 Crore as against INR5,887 Crore as on 31st March ’23. This includes INR2,263 Crore as unbilled debtors as on 31st March ’24 as against INR2,757 Crore as on 31st March ’23.

■ The net receivables out of total reported Trade Receivables as on 31st March ’24 are as under :- Reported trade receivables are INR3,984

Crore . This includes unbilled debtors INR2,263 Crore . If you subtract the unbilled debtors, then ne t billed receivables are INR1,721 Crore . This includes INR191 Crore , for which, we have already received the money through bill discounting, but due to accounting compulsion , it is being disclosed as outstanding debtors. Then INR712 Crore is on account of debtors for which we will be receiving money in instalments as per late surcharge rules notifi ed by the Ministry of Po

wer and we are receiving this INR712 Crore in the coming period in instalments . So, net amount due as on 31st March ’24 is only INR818 Crore and more than 45 days dues are only INR277 Crore as on 31st March ’24. So, position of outstanding debtors is very comfortable.

■ Unbilled debtors, mainly include impact of Effective Tax Rate on Return on Equity of INR521 Crore , Unbilled Sales for the month of March to the tune of INR500 Crore , Energy Shortfall of INR425 Crore . Impact of AFC billed and recoverable as per new regulations 2019 -24, including Security Expenses of INR415 Crore , Normative IDC claimed for Kishanganga Power Station of INR144 Crore and Water Usage Charges of INR104 Crore .

■ Net Trade Receivables as on 16th May’24 stands at INR1,192 Crore , which includes more than 45 days dues of INR160 Crore only.

■ On physical front, as we have been sharing that the active construction work at Subansiri Lower Project Site is going on in full swing. Recen tly, we achieved a major breakthrough in the completion of the project , with the successful installation of Spillway Radial Gates number 7, 8 and 9, along with sealing arrangement on 25th April '24. We are very hopeful that we can commission 3 unit s of the project by March '25 and rest of the units one -by-one by May '26. The estimated cost of the project is INR21,248 Crore , out of which we have already incurred INR20,834 Crore till March '24. The estimated levelized tariff based on the anticipated cost is INR5.60 per unit.

■ In respect of Parbati -II Project , as we have already shared that we have achieved the daylighting of 31.5 -kilometer long Head Race Tunnel of the project . We are trying our best to complete the project by December '24. The anticipated cost of the project is INR12,160 Crore out of which we have already spent INR11,127 Crore till March '24. The estimated levelized tariff based on the anticipa ted cost is INR6.59 per unit.

■ In the respect of Dibang Multi -Purpose Project, 2,880 megawatt, contracts related to Design and Engineering , infrastructure work, construction of HRT and E&M work s already have been awarded. We have achieved the crucial Dirki Nalla diversion, a significant stride towards ensuring all -weather road access to the project site. The estimated cost of the project is Rs. 31876 Crore which includes Grant of Rs. 6735 Crore for Flood Moderation and enabling infrastructure works out of which we have alrea dy incurred Rs. 2307 Crore till March'24. Further, estimated levelized tariff of the project is Rs. 4.46 per unit and the scheduled completion of the project is February'32.

■ In respect of L anco Teesta Hydro Power Limited's Teesta -VI Project , as we have sh ared that work was progressing well at site. However, due to flash flood in the region on 4th October, '23, the work was affected to some extent. Now , the work is progressing well. However, all assets and work s for this project are insured under Constructio n All Risk Policy . The estimated cost of the project is INR5,748 Crore out of which we have already incurred expenditure of INR3,444 Crore till March '24. Estimated levelized tariff of the project is INR4.07 per unit and expected commissioning schedule of the project is December '27. Further, we are in the process of merger of LTHPL with NHPC . Second motion application has been filed with MCA and the hearing of the same is on 30th May'24.

■ Jalpower Corporation Limited 's Rangit -IV Project is also progressi ng well. The estimated cost of the project is INR1,871 Crore out of which

we have already incurred expenditure of INR1,007 Crore till March '24. Further, we are in the process merger of this company also with NHPC. The project is expected to be completed by May'25.

■ In respect of Ratle HE Project,

UT of J&K , 850 megawatt , the work is going well at the project site. The estimated cost of the project is INR5,282 Crore and we have incurred expenditure of INR672 Crore till March '24. Estimated levelized tariff for the project is INR3.92 per unit and the project is expec ted to be completed by December '26.

■ Presently, NHPC through its subsidiary CVPP L is executing three projects in Chenab Basin of UT of J&K :-

■ Construction work at Pakal Dul HE Project of 1,000 megawatt is progressing well. The estimated cost of the project is INR8,112 Crore out of which we have incurred expenditure of INR4,187 Crore till March ’24. The estimated levelized tariff of the project is INR4.28 per unit a nd the pro ject is expect ed to be completed by September '26.

■ In respect of Kiru HE Project , we have incurred expenditure of INR1,730 Crore till March ’24 out of estimated cost of INR4,288 Crore . Estimated levelized tariff of the project is INR4.64 per unit and estimated comple tion of the project is September '26.

■ In respect of Kwar Hydroelectric Project , 540 megawatt, the work is progressing at site. The estimate d cost of the project is INR4,526 Crore out of whic h we have incurred expenditure of INR631 Crore till March ’24. Estimated levelized tariff of the project is INR4.44 per unit and the projec t will be completed by December '27.

■ Apart from above under -construction projects, NHPC is also working on some projects such as Teesta -IV, 510 -megawatt; Sawalkot, 1,856 megawatt ; Uri -I Stage -II, 240 -megawatt; Dulhasti Stage -II, 260 megawatt ; Kirthai -II, 930 -megawatt; and Dugar Project , 500 megawatt, which are at the different stages of clearances.

■ In respect of our hydroelectric projects in Nepal, DPR preparation is under progress for 750 -megawatt West Seti Project and the Inception Report submitted by NHPC has been accepted by Investment Board of Nepal in respect of 450 -megawatt Seti River -6 Hydroelectric Project . Further , Review Report of DPR has been submitted to Vidhyut Utpadan Company Limited, Nepal on 30th March ’24 in the respect of Phukot Karnali Hydroelectric Project, 480 -megawatt in Nepal.

■ PPAs for all under construction projects of NHPC including its subsidiaries have been signed or consent has been received from the discoms for the same.

■ In respect of 1,000 megawatt capacity Solar Power Project s, the work is progressing well in respect of 300-megawatt project in Bikaner, Rajasthan a nd land acquisition is in progress in respect of 600 -megawatt project in Gujarat and 100 -megawatt project in Andhra Pradesh.

■ NHPC has received Letter of Intent for setting up of 200 -megawatt Grid Connected Solar Photovoltaic Power Projects located in GSEC ’s Renewable Energy Park (Stage -III) at Khavda, Gujarat at the rate of INR2.66 per unit through Tariff -based competitive bidding from Gujarat Urja Vikas Nigam Limited on 14th March ’24.

■ NHPC is also exploring to develop some of the solar projects i n the states of Andhra Pradesh, Odisha, Jharkhand, Madhya Pradesh, Gujarat, Tripura, Punjab and Maharashtra with total indicative capacity of approx 20,000 megawatt. We have submitted PFR of Indirasagar -Omkareshwar, 525 megawatt; Tekwa -2, 800 megawatt; and Satpura -2, 1,500 megawatt pumped storage projects situated in the state of Madhya Pradesh. Further, PFR of Savitri Pumped Storage Project 1,800 megawatt and Kengadi PSP , 600 megawatt situated in Maharashtra have also been submitted. For other projects, as of now, the PFR is in progress.

This is all from our side. Now the forum is open up for question and answers. Thank you.
Moderator: The first question is from the line of Mohit Kumar from ICICI Securities.
Mohit Kumar: Sir, my first question is on the Subansiri and Parbati -II.

If I remember , earlier the schedule was March '24 for Parbati -II and June '24 for Subansiri. I t looks like it has slipped, Parbati -II to December '24 and Subansiri complete p lant commissioning in May '26. Is that number correct, sir?
RP Goyal: Yes, yes.
Mohit Kumar: Why there's so much delay at Subansiri, sir, I think you were looking to complete this project in FY '25, if I am not wrong?
RP Goyal: Our Director (Technical) , Mr. Chaudhary will answer this question.
RK Chaudhary : Yes, you have correctly mentioned that earlier Subansiri commissioning and the Parbati commissionin g was as you have mentioned. In Subansiri, during the last year in October, there was a subsidence in Diversion Tunnel 1, which triggered a hill slope slide on the left bank and that damage d a portion of the hill slope and also damage d the portion of the Diversion Tunnel 1. Diversion Tunnel 1 , unfortunately , got connected with the river at the second poi nt, apart from the diversion tunnel inlet. So , a lot of restoration works is necessitated and we started the w orks and we are on the job. Now , major portion of the restoration works are completed. Although hill slope restoration work is still going on. In Diversion Tunnel 1, there was a lot of seepage and it was even to the tune of 8 to 9 cumecs. Now it has come down to less than 1 cumec , and we have completed the blind portion of the plug in Diversion Tunnel 1. Now we are hopeful and we are going well. The balanced portion of Diversion Tunnel 1 plug shall be taken up after the current monsoon season. So , this is the

main reason of shifting the commissioning schedule of the Project Subansiri Lower.
So for P arbati is concerned , there was delay in excavation. But now the excavation of the Parbati -II is completed, day lighting was achieved and only concrete lining is left . We are presently going ahead with the concrete lining with the help of 4 steel gantri es and we are going well and we are comfor table. We are confident that we wi ll achieve the commissioning by December '24.
Mohit Kumar: When do you expect the first unit of Subansiri to be up and running?
RK Chaudhary : March '25 because the unit is ready. Uni t 1, Unit 2 and Unit 3 is almost ready. Unit 3, just we are going to lower the stator and thereafter rotor. Unit 1 and 2 already boxed up. So , only this civil works and some portion of hydro mechanical works will be complete d and we are hopeful that we are going to commission the first, second and third unit in March '25.
Mohit Kumar: Understood. My second question is, what is our capex target for FY'25? And is there any chance of starting the work on any pumped storage hydro projects?
RP Goyal: Our capex target for FY '25 is to the tune of INR11,761 Crore and this expenditure does not include any expenditure on pumped storage projects because it will take some time to complete the DPR of our first pump storage projec t i.e. Indra Sagar Omkareshwar pumped storage project. So , we have not kept any expenditure for pump storage facility in this financial year.
Mohit Kumar: Is it possible to give the breakup of this capex , sir?
RP Goyal: Certainly. We have kept INR456 Crore for the Parbati -II Project. Then , INR1,000 Crore for Subansiri Lower; INR950 Crore for Dibang. Then ,

we have kept around INR950 Crore for new upcoming projects, which include Sawalkot, Dugar, Dulhasti Stage -II, etc.

Then we have kept INR1,623 Crore for solar projects, which include 1000 CP EC Scheme projects and other projects which we have won in bidding process in Gujarat. So , INR1,623 Crore is planned for solar projects and total capex in NHPC stand -alone basis INR5,131 Crore . Then we have planned INR3,371 Crore for our Chenab Valley projects, which consists 3 projects i .e. Pakal Dul, Kiru a

nd Kwar . For
Pakal Dul, we have kept INR1,750 Crore ; Kiru, INR1,181 Crore ; and Kwar, INR427 Crore . Then , we have kept INR550 Crore for our solar projects, which we a re doing in our one of the subsidiaries i.e. BSUL . It consists 3 -4 projects, which are at different stages.
Then we have kept INR1,198 Crore for our Lanco Teesta -VI Project in the state of Sikkim and for Rangit -IV, INR460 Crore . For Ratle, we have kept INR950 Crore . So, this is the breakup of INR11,761 Crore capex which we have planned for FY 2024-25.
Mohit Kumar: So one clarification as I'm talking ab out your joint venture projects, are you talking about the equity requirement or the total capex ?
RP Goyal: So this is total capex . It include s loan also .
Moderator: Next question is from the line of Anuj Upadhyay from Investec India.
Anuj Upadhyay: So this question again belongs to Subansiri and Parbati. Because of the delay in the COD, that is the commissioning date, I believe there is a revision in the tariff rate on the upper direction. I'm aware that the PPA has been signed, but how will the beneficiaries are placed to take up this project at a revised tariff rate?
RP Goyal: First of all, PPAs ar e in place. In case of Subansiri, rate is slightly higher, i.e. around INR5.60 per unit . But we will do some reengineering to lower the tariff and to get the power sold and in respect of Parbati -II, the rate is INR6.59 per unit . So, we will do some reengineering to lower the tariff. We will accept lower operation maintenance charges for the first 5 years and we can plan for a longer

period of depreciation. So we will try to keep it within the range of INR6 and there will be no loss to the company. So far Subansiri is concerned, the latest tariff is coming at INR5.60 per unit and that is well within the saleable range and there will be no loss to the company on account of ROE or any other things.
Anuj Upadhyay: Okay. So this will be on a cost -plus basis, right, si r? There's nothing as such a fixed price...
RP Goyal: In case of Dulhasti , in the year of 2007, the tariff was INR5.50 per unit, and there was no issue. So , this tariff will also not be the issue in selling the power.
Anuj Upadhyay: Okay, sir. Secondly, on the capex , you mentioned the capex for FY ’25 would be INR11,76 1 Crore on a consol basis. Is it right, sir?
RP Goyal: Correct.
Anuj Upadhyay: An approximate figure for FY '26 as well?
RP Goyal: For FY '26, our capex is in the range of INR13,317 Crore . So, again, it will be in the same range. Th ere is a plan for INR13,000 Crore plus.
Anuj Upadhyay: Got it, sir. So roughly, it's like INR25,000 Crore is what we are planning over the next 2 years. And how...
RP Goyal: In the next 7 to 8 years, it is in the same range. We will be incurring capex in the range of INR13,000 to INR15,000 Crore every year.
Anuj Upadhyay: Okay, okay. And sir, how well our cash flows are placed to meet the equity capex requirement of this quantum? I just saying INR13,000 Crore is a roughly capex requirement that entails roughly INR3,000 Crore to INR3,500 -odd Crore at an equity requirement, considering

70-30 kind of a debt equity investment. So how well our cash flows are placed? Could be helpful you can take us through that?
RP Goyal: We are very comfortable on account of cash flow because only 30% is to be a rranged for equity. So keeping in view of our internal accruals,

there will be no issue of cash flow. We have to arrange maximum equity of around INR4,000 Crore annually .
Anuj Upadhyay: Okay. So INR4,000 Crore equity can be , I mean like internal cash flow can be easily made through the operation.
RP Goyal: Our current PAT is in the range of INR3,800 Crore and the depreciation is in the range of around INR1,200 Crore. So our internal

cash accrual is in the range of INR5,000 Crore . So after deducting the outflow on account of dividend, around INR3,200 Crore is available for capex on account of equity. So going forward, our PAT will increase and our internal accrual wil l also increase for meeting out capex .
Moderator: Next question is from the line of Bhavesh Patel from Patel Investments.
Bhavesh Patel : My question is regarding the recent news of us signing of floating solar power -related technology player. When do we ex pect implementation of this and where initially, if you have any idea?
RK Chaudhary : Recently, we have signed MOU with a Norway company, Ocean Sun. So, both NHPC and Ocean Sun will identify the water bodies where we can go ahead with the floating solar. So as of now, first of all, the job is to identify the water bodies and business opportunities and jointly, Ocean Sun Norway and NHPC is going to develop the floating solar. Presently, we are executing the floating solar o f 88 megawatt in Omkareshwar reservoir through NH DC.
Also, we are exploring in Rengali, Odisha, 300 -megawatt floating solar. So last few months back, we went for the tendering.
Unfortunately, there was only 1 tender. So again, we are going for the retender ing.
Bhavesh Patel : Okay and you mentioned about 20,000 megawatt hydro storage power plants over the next 10 years? Is that a fair assessment?

RP Goyal: Yes. It is in the survey and investigation stage. So, firstly, we will take up those projects which a re easy. And as per our plan, within 2 years, work will start on the ground in case of 3 -4 projects with the capacity of around 5,000 to 6,000 megawatt in th e pumped storage space and these projects will be commissioned by FY '30.
Bhavesh Patel : All right . And again, we will continue with our dividend distribution policy, which is the current one?
RP Goyal: We will continue to pay dividend as per our policy and which is as per DIPAM guidelines only.
Moderator: Next question is from the line of Prashant from Unived Corporate Research.
Prashant: Yes. Just wanted to reconfirm with the Subansiri hydroelectric project. When will , as you mentioned, the unit should be commissioned in March ’25. So, all the units would be commissioned in 1 month or it will be staggered?
RP Goyal : Basically, 3 units of this project will be commissioned in the month of March ’25 and balance 5 units will be commissioned one by one by May'26.
Prashant: May'26. Yes. My question is whether all the 3 units will be commissioned in March?
RP Goyal : Yes, because 3 units are going to be ready by March ’25. Basically , some civil work and some hydromechanical work is pending.
Otherwise, ou r 2 units are boxed up already and third unit is also going

to be boxed up by October or November '24. So from electromechanical side, there is no issue in th ese 3 units. Only the balance civil work and HM works is to be completed. So , that's why I'm saying that 3 units will be commissioned at a time in the month of March '25.

Prashant: But is there a possibility that 1 or 2 units may be commissioned before March or, say, Jan, Feb or something.
RP Goyal: Because civil works and HM relate d works is to be completed and these balance works are expected to be completed by February or March '25. That's why there is no possibility of commissioning 1 or 2 units before that.
Prashant: And secondly, si r, regarding one of the project Bursar , the company has written off also an amount. Is there a possibility of revival from the government side of that project?
RK Chaudhary : For Bursar, we have prepared the DPR and in 2008, that project was declared as a national project by the Ministry of Water Resources and we completed the DPR and submitted the DPR to CEA, CWC and Ministry of Jal Shakti. So what is happening

, if all the cost of the Bursar is going to be loaded for the power generation, then the rate of the power generation is coming quite high . So, the second aspect is storage. A portion in the cost is for the storage for irrigation purpose and unfortunately , for command area for the irrigat ion in Jammu & Kashmi r and Himachal Pradesh, the government is not getting the required command area for irrigation. But still we feel that the country should go ahead with that because the storage project is very rare in our country, very scarce and wherever the storage pr oject is available, we should develop it. So once the Government rethink s and the Government direct s NHPC, then certainly, we would like to develop Bursar.
RP Goyal: Prashant, for your clarity, I want to say that this project will be viable only when the Government will provide grant for the storage component. Otherwise, tariff is coming very high. It is coming in the range of INR25 to INR30 per unit. So , in case Government wants to consider this project from a strategic point of view or any other point of view, only then it will happen. Otherwise, we have already provided the expenditure, which we had incurred in the past.

Prashant: One more question, sir, is on the Dibang project. When do you expect the work to start at the ground level in that project?
RK Chaudhary : In Dibang project, the work had already started on the ground. The construction of the roads, bridges, culverts in the package awarded to L&T already going on well on the ground and one more package for the construction of powerhous e and other adits, tunnels awarded to Patel and GR Infra, a joint venture and those works are also going on well on the ground . Recently , myself and the Chairman Sahab visited the project. Works are going well and we are getting ready to float the tender for construction of the main concrete dam.
Prashant: So I just wanted to ask you, is all the land acquisition for the project over?
RP Goyal: Total land acquisition has already been done, and we have ordered all the packages except civil works for Dam and 2 small packages of hydromechanical work, which will also happen in the next 3 -4 months.
Moderator: Next follow -up question is from the line of Mohit Kumar from ICICI Securities.
Mohit Kumar: My question is on the EPC tender. Sir, are you looking to aw ard EPC tender for Sawalkot and Dugar this year?

RP Goyal: Yes. We are in the process for awarding the work for Sawalkot subject
to approval by the CC EA. So , we have already taken up the issue with
the J&K Government as well as Ministry of Power for approv al of this
project. So far, Dugar is concerned, as you know, Government of
Himachal Pradesh has withdrawn all the concessions which were
agreed by them and for which , we are in the court. So it depends on
outcome of the court case and follow -up of the Hima chal Government
to provide concessions. Otherwise, this project may not be viable .
Mohit Kumar: So is it right to say that we are looking to award both the projects in 1
single EPC package?

RP Goyal: Yes, we are in the process of tendering. Tenders have al ready been
quoted for Dugar a nd for Sawalkot, we are preparing packages. So we
will be doing the tendering work simultaneously. In case Government
approval is received or the court verdict is in our favor, only then we
will award but we are preparing simu ltaneously.
Mohit Kumar: Understood. My second question is on this, on the last year, I think we
did a fair amount of tendering on behalf of discom for purchasing
renewable power, right? So what is the progress on the PPAs for those
tenders ? And how much tenders are you looking to award in this
fiscal?
RP Goyal: We have already signed PPA and PSA for 3,000 megawatt capacity in
the REI mode an

d for 1,400 megawatt , the process is going on. So you
can say that we will be able to sign PPA and PSA for 4,400 megawatt
against th e capacity, which was allocated by the MNRE to the tune of
10,000 megawatt .
Mohit Kumar: 10,000 megawatt you have conducted bids for 7,400 megawatt ? Is that
right?
RP Goyal: 4,400 megawatt .
Moderator: Next question is from the line of Rajesh Mangal Agrawal from Rajesh
Mangal and Company.
Rajesh Agrawal: Yes. Sir, I'm a retail investor and many congratulations to you that
retail investors have too much faith in NHPC right now. Say in last
December quarter, number of r etail investors was 10.32 lakhs a nd it is
almost increased 3x. Right now, the retail investors in March ’24
quarters is 33.35 lakhs. Sir, I am going to your website and I think, this
March ’24 presentation is missing there. Am I correct?
RP Goyal: Sorry , you are talking about number of shareholders .
Rajesh Agrawal: No, I am talking about Investor Presentation for March ’24.

Management: Okay. So March ’24 presentation will be uploaded after this con call.
So most likely, you would be getting the presentation by end of the
day.
Rajesh Agrawal: But sir, I think it will be better for future to present the investor
presentation beforehand so that investor can go through it. And if at all,
anything he want to discuss with you , then he c an.
RP Goyal: Mr. Rajesh, we have noted your suggestion. It will be done in the
future.
Rajesh Agrawal: Okay. Second question is, sir, what is the expected ROE, return on
equity for financial year 2024-25?
RP Goyal: You're talking about company level?
Rajes h Agrawal: Yes, Consolidated level.
RP Goyal: At company level, it will be in the range of 10% to 11%.
Rajesh Agrawal: 10% to 11%. Yes. Okay and may I know, sir, what revenue , top line
growth we will achieve during 2024-25 by way of the new
commissioning of our plants, etc .?
RP Goyal: As we have discussed, there is no new capacity being added prior to

March ’25. So, there will not be any increase in the top line because
capacity is the same. Only few megawatt of the solar can be added.
Rajesh Agrawal: Okay and last question is, sir, we have shown it in our company that
the capital work in progress is around INR29,800 Crore . Okay. So can
you throw some light on this INR29,800 Crore ?
RP Goyal: There are 2 big projects in our case. One is Subansiri, 2,000 mega watt
and capital work in progress is in the range of INR21,000 Crore plus.
And again, Parbati -II, 800 megawatt , in which the expenditure incurred
is in the range of INR11,000 Crore plus. So taking these 2 projects,
total INR32,000 Crore is coming a nd bal ance is in the other projects
like Dibang and other projects.

Rajesh Agrawal: Yes. No issue, sir. Sir sorry for the question again. So when we wish to
commence this plant, all these big 2 plants?
RP Goyal: As we've told, Parbati -II will be commissione d in the month of
December ’24.And 3 units of Subansiri will be commissioned in
March ’25 a nd balance 5 units will be commissioned in phased manner
by May '26.
Rajesh Agrawal: Okay. Okay. And last one, sir, I have missed in the con call about this
floating solar power plant and 300 megawatt in Rengali and 88
megawatt in Omkareshwar. So when do you expect to commissioning
this project and earning revenue from this?
RP Goyal: So far, 88 megawatt Omkareshwar project is concerned, it will be
commissi oned by October ’24. But so far, 300 megawatt Rengali is
there, it is in the re -tendering stage and in case everything goes well,
we will be commissioning this project in FY 20 26-27.
Rajesh Agrawal: FY 26-27. Sir, whom d o you give this 88 Omkareshwar contract?
RP Goyal: We have given contract to Tata.
Rajesh Agrawal: Tata Power?
RP Goyal: Tata Power.
Moderator: N

ext question is from the line of Sourin Mehta , individual investor.
Sourin Mehta : Congratulations, sir. I'm very proud that you have given clarity about
the Subansiri and Parbati Projects and I wish to know that as Met
Department has predicted normal to excess rainfall. Will it affect our
company in a positive way?
RP Goyal: Mr. S ourin, excess monsoon impacts us in a negative sense and lower
monsoon also impact s in a negative sense in respect of our power
stations, which are under operations. But moderate monsoon is always
welcome. So in case excess monsoon comes, our construction projects
gets affected.

Moderato r: Ladies and gentlemen, due to time constraint, we will take the last
question from the line of Bhavesh Patel from Patel Investments.
Bhavesh Patel: And my question was additional capacity coming up and you answered
that in the earlier question. So once a gain, all the very best for the
upcoming execution and continue on the great work the company
doing, and we are really excited.
Moderator: I now hand the conference over to Mr. Rupesh Sankhe for closing
comments.
Rupesh Sankhe: Thank you, Goyal sir, thank you for giving us an opportunity to host
this call and thank the analyst s for joining this call .
RP Goyal: Thank you.
Moderator: Thank you very much. On behalf of Elara Securities Private Limited,
that concludes this conference. Thank you for joining us, a nd you may
now disconnect your lines. Thank you

Call: Nov 2024

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Sub: Transcript of Conference Call for discussion on financial results for the quarter and half-year ended September 30, 2024
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Sir/ ■■■■■,

In reference to our earlier letter dated 05.11.2024 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, it is to inform that the transcript of the Conference call with analysts and investors held on November 08, 2024, with respect to the financial results of the Company for the quarter and half-year ended on September 30, 2024 is attached herewith and has also been made available on website of the Company at the link:
https://www.nhpcindia.com/assests/pzi_public/gallery/17319254910.pdf .

It is also confirmed that no Unpublished Price Sensitive Information was shared in the above referred Conference Call.

This is for your information and records.

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"NHPC Limited
Q2 FY'25 Earnings Conference Call "
November 0 8, 202 4

MANAGEMENT : MR. R.K. CHAUDHARY – CHAIRMAN AND MANAGING DIRECTOR – NHPC LIMITED
MR. R.P. GOYAL – DIRECTOR (FINANCE) – NHPC LIMITED
MR. UTTAM LAL – DIRECTOR (PERSONNEL) – NHPC LIMITED
MR. SANJAY KUMAR SINGH - DIRECTOR (PROJECTS) – NHPC LIMITED

MODERATOR : MR. RUPESH SANKHE – ELARA SECURITIES PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to NHPC Limited Q2 FY'25 Earnings Conference Call , hosted by Elara Securities Private Limited. As a reminder, all participant line s will be in listen -only mode and there will be an opportunity for you to ask quest ions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please no te that this conference is being recorded.
I now hand the conference over to Mr. Rupesh Sankhe from Elara Securities Private Limited. Thank you and over to you, sir.
Rupesh Sankhe : Yes. Good afternoon, everyone. On behalf of Elara Securities, we welcome you all for the Q2 FY'25 conference call of NHPC. I take this opportunity to welcome the management of NHPC represented by Mr. R.K. Chaudhary sir, Chairman and Managing Director; Mr. R.P. Goyal sir, Director (Finance); Mr. Uttam Lal, Director (Personnel); and Mr. Sanjay Kumar Sin gh, Director (Project s). So, we will begin the call with a brief overview by the management followed by Q&A session.
I will now hand over the call to Mr. R.K. Chaudhary sir for his opening remarks. Over to you, sir.
R.K. Chaudhary : Good afternoon, friends. The NHPC Board has adopted Half Year ly Financial R esults for the period ended 30th September '24 in its meeting held on 7th Novem ber'2 4 and the same ha s already been communicated to Stock E xchanges. By now, I hope you all would have got chance to go through the Quarterly and Half Year ly set of numbe rs. First, I will just touch upon major highlights and then detailed analysis of the results shall be discussed by our Director (Finance), Shri R.P. Goyal ji.
■ Brief highlights of the financial results and important updates on the company are as enumerated below: -

■ During Half Year FY'25, our power stations have achieved generation of 15,013 million units as against 16,797 million units generated in corresponding period of the previous year, which is lower by about 11%

or 1,784 million units. This is mainly due to heavy flash f lood in Teesta basin in October '23, which has resulted into complete shutdown of Teesta -V Power Station, which had generated 1,928 million units in the corresponding previous year. The restoration works at the power stat ion was going o n, but in August '24, a landslide occurred at the power station site affecting the Tail Race Tunnel outlet structure and the GIS Building . Necessary remedial actions have already been started and the restoration works are ex pected to be completed by Q3 FY '26.

■ Our Plant Availability F actor for Half Year FY'25 stands at 82.68% against the corresponding prev ious period Plant Availability F actor of 91.93%, which is about 9% lower. This is mainly due to lower water availability, complete shutdown of Teesta -V Power Station , partial shutdown of TLDP -III Power Station due to flash flood and high silt in the river, less inflow in various power stations and outage of unit at Uri - I Power Station.

■ During Half Year FY '25, Company has earned Revenue from O peration of Rs. 4,969 Crore as against Rs. 5,056 Crore in the corresponding previous year, which is about 2% lower.

■ During Half Year FY'25, Company has earned Profit After T ax of Rs. 1,929 Crore as against Rs. 2,500 Crore of corresponding previous period, which is 23% lower.

■ On physical front, as we have been sharing that the active construction work at Subansiri Lower Project Site is going on in full swing. Recently, we have achieved a major milestone in the completio n of the project with the successful lowering of the Rotor of Unit 3 weighing 673 tons on 17th October '24. Overall, 94% physical progress of the project has been achieved. We are very hopefu

l that we ca n commission three units of the project by March '25 and rest of the units one by o ne by May'26. The revised cost of project at completion is under process. We have incurred Rs. 22,027 Crore till Septem ber'24 . The estimated levelized tariff based on the anticipated cost is Rs. 5.60 per unit.

■ In respect of Parbati -II HE Project , as we have already shared that we have achieved the daylighting of 31.5 kilometer long Headrest Tunnel of the project . All the major works of the project except 159 meter overt lining and 3,630 meter invert lining of HRT have been co mpleted. Overall , 98% physical progress of the project has been achieved. We are trying our best to complete the remaining overt lining and invert lining of HRT and com mission the project by February '25. The anticipated cost of the project is Rs. 12,160 Crore , out of which we have already spent Rs. 11,879 Crore till Septem ber'24 . The estimated levelized tariff based on the anticipated cost is Rs. 6.73 per unit.

■ In respect of Dibang Multipurpose Project (2,880 MW), five ou t of seven packages related to De sign and Engineering I nfrastruc ture Works, Construction of HRT and P owerhouse, E&M Works and HM Work of Pressure S haft have been awarded. The rem aining two packages related to D am and HM Works are in the tendering stage. We have already shared that we have achieved a significant stride towards ensuring all - weather r oad access to the project site. The estimated cost of the project is Rs. 31,876 Crore , which includes grant of Rs. 6,716 Crore for Flood Moderation and Enabling Infrastructure W orks, out of which we have already incurred Rs. 2,525 Crore till Septem ber'24 . Further , estimated levelized tariff of the project is Rs. 4.46 per unit and the scheduled comple tion of the project is February '32.

■ In respect of Lanco Teesta Hydro Power Limited ’s Teesta -VI Project (500 MW), as we have shared that work is progressing well at site. Work for construction of new bridge is under progress for making permanent approach to Powerhouse . Further, concreting at Barrage area and excavation of HRT is also in pr ogress. Overall , 64% physical progress of the project has been achieved. The estimated cost of the project is Rs. 5,748 Crore , out of which we have already incurred expenditure of Rs. 3,732 Crore till Septem ber’24 . Estimated levelized tariff of the project is Rs. 4.07 per unit and expected commissioning sche dule of the project is December '27. Further, we are in the process of merger of LTHPL with

NHPC and the order for the merger is pending with Ministry of Corporate Affai rs.

■ Jal Power Corporation Limited ’s Rangit -IV Project (120 MW) is also progr essing well. On 22nd July’24, the project has successfully achieved the daylighting of the HRT. Overall , 80% physical progress of the project has been achieved. The estimated cost of the project is Rs. 1,828 Crore , out of which we have already incurred expenditure of Rs. 1,241 Crore till Septem ber’24 . Further, we are in the process of merger of JPCL also with NHPC and First Motion Application has been filed with Ministry of Corporate Affai rs. The project is expec ted to be completed by December '25.

■ In respect of Ratle HE Project, Union Territory of J&K (850 MW), the work is progressing well at the project site. Overall , 17% physical progress of the project has been achieved. The estimated cost of the project is Rs. 5,282 Crore and we have incurred expendi ture of Rs. 784 Crore till Septem ber’24 . Estimated levelized tariff of the project is Rs. 3.92 per unit and the project is expec ted to be completed by December '27.

■ Presently , NHPC through its subsidiary Chenab Valley Power Projects Limited is executing three projects in Chenab Basin , Union Territory of J&a;

mp;K: -

■ Construction work at Pakal Dul HE Project (1,000 MW) is progressing well. Overall , 60% physical progress of the project has been achieved. The estimated cost of the project is Rs. 8,112 Crore , out of which we have incurred expenditure of Rs. 5,092 Crore till Septem ber’24 . Estimated levelized tariff of the project is Rs. 4.28 per unit an d the project is expect ed to be completed by September '26.

■ In respect of Kiru HE Project (624 MW), overall 45% physical progress of the project has been achieved. We have incurred expenditure of Rs. 1,867 Crore till Septem ber’24 out of estimated cost of Rs. 4,288 Crore .

Estimated levelized tariff of the project is Rs. 4.64 per unit and estimated completion of the project is Septem ber’2 6.

■ In respect of Kwar Hydroelectric Project (540 MW), the work is progressing at site. Overall , 17% physical progress of the project has been achieved. The estimated cost of the project is Rs. 4,526 Crore , out of which we have incurred expenditure of Rs. 770 Crore till Septem ber’24 . Estimated levelized tariff of the project is Rs. 4.44 per unit and the project is schedu led to be completed by December '27.

■ Apart from above under -construction projects, NHPC is also working on some projects such as Teesta -IV (520 MW), Sawalkot (1,856 MW), Uri-I Stage -II (240 MW), Dulhasti Stage -II (260 MW), Kirthai -II (930 MW) and Dugar Project (500 MW), which are at different stages of clearances.

■ In respect of our Hydroelectric Projects in Nepal, final Detailed Project Report for the West Seti Hydroelectric P roject (800 MW) has been submitted to the Investment Board of Nepal on 18th October '24 in line with our commitment under the M emorandum of Understanding . Further, an MoU has been signed between NHPC and Rastriy a Prasaran Grid Company Limited, Nepal for grid connectivity for West Seti Hydroelectric Project on 13th May'24. The Inception R eport submitted by NHPC has been accepted by Investment Board of Nepal in respect of 460 MW West Seti River -6 Hydroelectric P roject and the DPR is under preparation. Further, Review Re port of DPR h as been submitted to Vidhyut Utpadan Company Limited , Nepal in March '24 in respect of Phukot Karnali Hydroelectric Project (624 MW) in Nepal.

■ PPAs for all under construction projects of NHPC including its subsidiaries have been signed or consent has been received from the discoms for the same.

■ In resp ect of 1,000 MW capacity Solar Power P rojects allotted under CPSU Scheme -II, the works are progressing well in respect of 300 MW

Project in Bikaner, Rajasthan. In a significant development, Ministry of Power has conveyed approval for laying transmission line for evacuation of power to be genera ted from the project to Bikaner -II Pooling Station addressi ng execution challenges due to G reat Indian Bustard (GIB) issue. Further, land acquisition is in progress in respect of 600 MW Project in Gujarat and 100 MW Project in Andhra Pradesh.

■ NHDC, the subsidiary of NHPC has fully commissioned 88 MW Floating Solar Power P roject at Omkareshwar Reservoir on 10th Octo ber'24 with the Commercial Operation (COD) obtained on 29th October '24. The cost of the project is Rs. 589 Crore and the tariff of the project is Rs. 3.22 per unit.

■ NHPC has awarded the EPC Contract for 200 MW Grid Connected Solar Power P rojects (Stage -I) located in 600 MW Solar P ark at Khavda, Gujarat to M/s Apollo Green Energy Limited on 5th August '24. The cost of the project is Rs. 929 Crore and tariff of the project is Rs. 2.73 per unit. The project is expected to be commissioned by August'25.

■ NHPC has awarded the EPC Contract for 50 MW Floating Solar Power Project in Kerala's West Kallada District to M/s Ap ollo Green Energy Limited on 26th July'24. Further, the Lease

Deed for transferring the
water body or land was executed between NHPC and the concerned agency in Kerala, a company owned by land water body owne rs on 7th September' 24. The cost of the project is Rs. 260 Crore and tariff of the project is Rs. 3.04 per unit. The project is expected to be commissioned by February '26.

■ NHPC has signed an MoU with the Government of Rajasthan during the Rising Rajasthan Investor M eet on 30th September '24 with an investment plan of Rs. 50,000 Crore . The MoU envisaged development of Pumped Storage Projects, Renewable Energy (Solar / Floating Solar / Wind) Power Pr ojects and Battery Energy Storage S ystem in the state of Rajasthan.

■ NHP C is also exploring to develop Pumped Storage P rojects in the state of Andhra Pradesh, Odisha, Jharkhand, Madhya Pradesh, Chhattisgarh, Gujarat, Tripura, Punjab and Maharashtra. We have submitted Pre-Feasibility Report of Indirasagar Omkareshwar (640 MW), Tekwa -2 (800 MW) and Satpura -2 (1,500 MW) Pumped Storage S cheme situated in Madhya Pradesh. Further , Pre-Feasibility Report of Savitri Pump ed Storage Project (1,800 MW), Kengadi PSP (600 MW) situated in Maharashtra, Masinta PSP (1,000 MW) situated in Odisha and Kuppa PSP (900 MW) situated in Gujarat have also been submitted. For other projects, preparation of PFR is in process. The Detailed Project Report for Savi tri PSP is under preparation.
This is all from my side. Now , I request Director (Finance), Shri Goyal Ji to discuss financial results in detail .
R.P. Goyal: Good afternoon, friends. I am going to share with you detailed Quarterly and Half Year ly set of numbe rs with the detailed analysis. The NHPC Board has adop ted Half Year ly Financial Results for the period ended 30th September '24 in its meeting held on 7th November '24 and the same has already been communicated to Exchanges .
■ Brief highlights of the financial results and important upda tes on the company are as under: -

■ During Half Year FY'25, our power stations have achieved generation of 15,013 million units as against 16,797 million units generated in corresponding period of the previous year, which is lower by about 11% or 1,784 million units.
During Q2 FY'25 , our power stations have achieved generation of 8,034 million units as against 9,010 million units generated in corresponding period of the previous year, which is lower by about 11% or 976 million units.

■ Our PAF for Half Year FY'25 stands at 82.68% against the corresponding previous period PAF of 91.93%, which is about 10% lower.
Our PAF for Q2 FY'25 stands at 84.87% against the corresponding previous period PAF of 89.78%, which is about 5% lower.
■ For Half Year FY'25 , Company has earned Revenue from Operations of Rs. 4,969 Crore as against Rs. 5,056 Crore in corresponding previous period, which is about 2% lower or by Rs. 87 Crore . The decrease in revenue is mainly due to lower generation.
During Q2 FY'25 , Company has earned Revenue from O perations of Rs. 2,551 Crore as against Rs. 2,485 Crore in the corresponding previous period, which is about 3% higher or by Rs. 66 Crore . The increase in revenue is due to increase in Sales pertaining to previous yea r by Rs. 170 Crore and Unbilled Revenue towards Insurance and Security Expenses by Rs. 169 Crore , which is further offset by decrease in Energy Charges by Rs. 190 Crore and decrease due to reimbu rsement of Water Cess by Rs. 85 Crore .
■ Other I ncome for Half Year FY'25 is of the order of Rs. 739 Crore in comparison to Rs. 408 Crore during the corresponding previous period, which is about 81% higher or by Rs. 331 Crore . This is mainly due to increase in realization of Business Interruption L oss against Insurance Claim by Rs. 155 Crore mainly related to Teesta -V Power Station. Further , there is increase in Provision Not Required Written Back by Rs. 104 Crore , which mainly pertain s to reve rsal of provision in respect of expenditure incurred on Bu rsar Project of Rs. 99 Crore and increase in Dividend I ncome by Rs. 54 Crore .

Other Income for Q2 FY'25 is of the order of Rs. 370 Crore in comparison to Rs. 129 Crore during the corresponding previous period, which is about 187% higher or Rs. 241 Crore . This is mainly due to realization of Business Interruption L oss against Insurance Claim by Rs.

138 Crore pertaining to Teesta -V Power Station and increase in Dividend I ncome by Rs. 67 Crore .

■ During Half Year FY'25 , the Generation E xpenses have come down from Rs. 915 Crore to Rs. 595 Crore means by Rs. 320 Crore , which is mainly due to non -creation of liability against Water Cess for the power stations located in the State of Himachal Pradesh where the relevant Act has been deemed unconstitutional by the Honorable High Court of Himachal Pradesh and in the State of Sikkim , where management is of the opinion th at obligation to pay Water Cess beyond what has already been paid is at best contingent in nature.

During Q2 FY'25 , the Generation E xpenses have come down from Rs. 397 Crore to Rs. 313 Crore means by Rs. 84 crore, which is again mainly due to same reason I just mentioned.

■ During Half Year FY'25 , the Employee Cost has gone up from Rs. 619 Crore to Rs. 629 Crore means by Rs. 10 Crore , which is almost flat.

During Q2 FY'25 , the Employee C ost has come down from Rs. 321 Crore to Rs. 318 Crore means by Rs. 3 Crore , which is almost flat.

■ During Half Year FY'25 , there has been increase in the Finance C ost from Rs. 245 Crore to Rs. 526 Crore means by Rs. 281 Crore which is mainly due to increase in Interest on Arbitration / Court C ases of Rs. 338 Crore , which is further offset by decrease due to change in Weightage Average Rate of Interest by Rs. 15 Crore and decrease due to Repayment of L oans by Rs. 20 Crore . As per CERC Regulations 2024-29, the applicable Interest on Arbitration / Court C ases has to be recovered from the beneficiaries after CERC Order for which petitio ns are being filed.

During Q2 FY'25 , there has been increase in the Finance C ost from Rs. 126 Crore to Rs. 298 Crore means by Rs. 172 Crore whic h is mainly due to increas e in Interest on Arbitration/ Court C ases of Rs. 203 Crore , which is further offset by decrease due to change in Weighted Average

Rate of Interest by Rs. 7 Crore and decrease due to Repayment of L oans by Rs. 9 Crore .

■ During Half Year FY'25 , the Depreciation and Amortization E xpenses has remained same at Rs. 553 Crore as against corresponding period of previous year.

During Q2 FY'25 , the Depreciation and Amortization E xpenses have come down from Rs. 277 Crore to Rs. 271 Crore means by Rs. 6 Crore , which is almost flat.

■ During Half Year FY'25 , Other E xpenses have gone up from Rs. 709 Crore to Rs. 899 Crore means by Rs. 190 Crore , which is mainl y due to increase in Insurance E xpense s by Rs. 108 Crore , increase in R&M Expense s by Rs. 30 Crore and increase in CSR Expenses by Rs. 11 Crore . As per CERC Regulation 2024-29, the applicable Insurance Expenses and S ecurity Expenses are recoverable from beneficiaries after CERC Order for which petition is being filed.

During Q2 FY'25 , Other E xpenses have gone up from Rs. 344 Crore to Rs. 489 Crore means by Rs. 145 Crore , which is mainly due to the increase in Insurance E xpenses by Rs. 64 Crore and increase in R&M Expenses by Rs. 18 Crore .

■ During Half Year FY'2 5, Tax E xpenses have gone up from negative Rs. 30 Crore to Rs. 668 Crore means by Rs. 698 Crore . This is mainly due to the reason that during corresponding previous period , MAT Credit of Rs.

529 Crore was recognized. During this period, no MAT Credit has been recognized, whereas MAT Credit of Rs. 221 Crore has been utilized. This has resulted in a negative impact of Rs. 221 Crore on the PAT of the Company .

During Q2 FY ’25, Tax E xpenses have gone up from negative Rs. 273 Crore to Rs. 360 Crore means by Rs. 633 Crore . This is mainly due to the reason that during corresponding previous year period , MAT C redit of Rs. 519 Crore was recogniz ed. During this period, no MAT C redit

has been recognized , whereas MAT C redit of Rs. 141 Crore has been utilised . This has resulted in a negative impact of Rs.141 Crore on the PAT of the Company .

■ During Half Year FY’25, we have earned PAT of Rs. 1,929 Crore as against Rs. 2,500 Crore of corresponding previous period, which is down by Rs. 571 Crore or 23% approx. and the reasons for decrease/increase in the line items , we have just discussed.

During Q2 FY’25 , we have earned PAT of Rs. 905 Crore as against Rs. 1447 Crore of corresponding previous period, which is down by Rs. 542 Crore or 37% approx. and the reasons for decrease/increase in the line items, we have just discussed.

■ During Half Year FY’25, the Incentive on account of Secondary E nergy and Deviation C harges were Rs. 27 Crore , which is equal to the amount in corresponding previous Half Year period , so this remains flat.

During Q2 FY’2 5, the I ncentive on account of Secondary Energy and Deviation C harges w ere to the tune of Rs. 16 Crore , which is again equal to the amount in the corresponding previous year period. So, there is no increase or d ecrease on account of these two incentives.

■ The PAF Incentive for the Q uarter and Half Year is Nil due to change in methodology for recogni zing incentive income. The PAF I ncentive shall be recognized once the capacity charges of a particular power station is fully recovered.

■ CAPEX of Rs. 4,812 Crore has been incurred during Half Year FY’25 against target CAPEX of Rs. 11,762 Crore for the whole Financial Year 2024 -25 on Consolidated basis.

■ The Company has paid final dividend at the rate of 5% i.e. Rs. 0.50 per equity share for the Financial Year 2023-24 in the month of Septem ber’24 , which is in addition to interim div idend at the rate of 14% i.e. Rs. 1.40 per equity share resulting in total div idend at the rate of 19%

i.e. Rs. 1.90 p er equity share on the face value of paid -up equity shares of Rs . 10/- each.

■ Other major highlights of the Company are as under: -

■ On realization front, NHPC has received Rs. 4,588 Crore from the beneficiaries against Sale of Energy during Half Year FY’25 as compared to Rs. 5,065 Crore in the corresponding period of previous year. Trade Receivables as on 30th September’24 stands at Rs. 4,266 Crore as against Rs. 5,970 Crore as on 30th September’23. This includes Rs. 2,812 Crore as Unbilled Debtors as on 30th September’24 as against Rs. 2,685 Crore as on 30th September’23 .

■ The net receivables out of total report ed Trade Receivables as on 30th Septmeber’24 are as under: -

The reported Trade R eceivables are Rs. 4,266 Crore , which includes Unbilled D ebtors of Rs. 2,812 Crore . So, Billed Receivables works out to Rs.1,454 Crore . Out of that , Rs. 209 Crore is on account of Debto rs

Dues Converted into Instalments under Electricity L ate Payment
Surcharge R ules. So, net receivables are Rs. 1,245 Crore , which stands
billed to the beneficiaries and out of that , Debtors more than 45 days are
only Rs. 499 Crore . So, there is no issue on account of Debto rs/
Outstanding Receivables .
■ Unbilled D ebtors mainly include Impact of AFC Billed and Reco verable
as per regulations 2019 -24 in cluding Security E xpenses of Rs. 756
Crore , Unbilled S ales for the month of September'

24 which is Rs. 716
Crore , Impact of Effective Tax Rate on Return on Equity of Rs. 459
Crore and Energy Shortfall of Rs. 376 Crore .

■ Net Trade R eceivables as on 5th November '24 stands at Rs. 870 Crore ,
which includes more than 45 days debto rs of Rs. 118 Crore only.
This is all from my side. Now , the forum is open for question and
answe rs. Thank you.

Moderator : We will now begin the question -and-answer session. The fi rst question
is from the line of Ragini from Elara Capital. Please go ahead.
Ragini Pande: So sir, what is the under recovery in Teesta -V Hydro Plant ?
R.P. Goyal : Yes. As you know, our Teesta -V Power Station is down since
October '23 due to flash flood in the Teesta Basin . But our Business
Interruption Loss is fully insured for one year perio d and one year period
has completed in Septem ber'24 . So, after Septem ber'24 , we will not be
getting any Business Interruption Loss from Insuran ce Company and
whatever expenditure is being incurred , that will go to the Profit and
Loss Account . So you can say , there is loss of revenue in the respect of
Teesta -V.
Ragini Pande: Sir, what was the amount you said, loss? What's the loss amount?
Management : Yes, Ragini, so on annual basis, the total AFC of Teesta -V is around Rs.
450 Crore and the recoverable amount from Insurance Company is Rs.
410 Crore , out of which we have already recovered Rs. 250 Crore so far.
So, if you consider on annual ba sis, the total loss on account of Teesta -
V without Business Interruption Loss (BI loss) Claim would be around
Rs. 450 Crore . But since for 12 months indemnity period , our insurance
policy is there, so recoverable amount stands at Rs. 410 crore. So, in a
way you can say that under recoveries are around Rs. 40-50 Crore only.
Ragini Pande: Okay a nd when will this plant begin operations?
R.P. Goyal : As per our latest estimate, this plant will commence generation by
Decem ber'2 5. Reason being, this plant suffered a second inciden t in
August'24.
Ragini Pande: Okay a nd sir, for the project s for which the PPA exi st or for which you
signed the Power Purchase Agreement . Is there any issue in signing the
Power Supply Agreement for a Renewable P roject , as a Renewable
Energy Implementation Agency ?

R.P. Goyal : So far Hydro Power Stations are concerned, our power is totally tied up
and there is no issue of signing of PPA. But in case of Renewable Energy
from Solar or Hybrid Mode , wherever the Solar Power is in the range of
Rs. 2.60, Rs. 2.65 per unit , there is no issue. But in case of some of the
tende rs in REI A Mode , we are facing problems in signing PPA. But
there is no risk from NHPC side because we are implementing these
project s in REI A Mode only.
Ragini Pande: So, I mean , is there a risk of cancellation of PPA for such renewable
projects?
R.P. Goyal : No. Whatever PPA has been signed , they are being honoured. But in
case of future in REI A Mode , if tariff is in viable range, PPA will be
certainly signed. But if tariff is high, certainly DISCOMs may refuse to

sign.
Ragini Pande : Okay, I will join back the queue.
Moderator: Thank you. The next question is from the line of Rupesh Sankhe from Elara Capital. Please go ahead, sir.
Rupesh Sankhe: Good afternoon, sir. A couple of questions. Fi rstly sir, on Regulated Equity . What is the Regulated Equity you are expecting post commissioning of JV , Standalone Projects , let's say, in the next 3 to 4 years? And second question is sir, we have significant CAPEX ahead over next 7 to 8 years. So, how are we placed in terms of cash flows to meet this equity CAPEX contribution? That is the second question.
Management: Yes, Rupesh. So, since we have been discussi ng regarding this Regulated Equity , you are aware that currently the Company is place

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at the Regulated Equity level of almost Rs. 13,000 Crore . Now going forward, we have the capacity addition from Parbati-II, Subansiri, then Rangit -IV and then couple of projects from our JV side, subsidiary side also. So, if you look at the year wise capacity addition and their resultant Regulated Equity , I can share with you by end of FY ’25, after

commissioning of Parbati -II, our Regulated Equity will be Rs. 16,500 Crore from the current level of Rs. 13,000 Crore .
Then in FY’2 6 after commissioning of Rangit -IV, the resultant Regulated Equity will be Rs. 17,000 Crore a nd by FY’2 7 after full commissioning of Subansiri and Pakal Dul (1,000 MW), the resultant Regulated Equity will be Rs. 25,365 Crore . And by FY’2 8 which is a major year from the commissioning pe rspective, we are going to commission three projects, Teesta -VI (500 MW), Kwar (540 MW) and Ratle (850 MW). So, Regulated Equity will be Rs. 28,590 Crore . So, meaning thereby , in next four yea rs, our Regulated Equity is going to be more than doubl e. So, current level of Rs. 13,000 Crore is going to be Rs. 28,500 Crore .
R.P. Goyal: Regarding your question about cash flow for incurring CAPEX , our present Debt Equity Ratio is in the range of 0.84 only. So, there is no issue of cash flow. After commissioning of these ongoing projects, we will have sufficient internal accruals for infus ing equity in the upcoming projects and for raising debt, we have no issue because we are very under leveraged.
Rupesh Sankhe: Okay, sir. Thank you.
Moderator: Thank you. The next question is from the line of Anuj Upadhyay from Investec Capital. Please go ahead.
Anuj Upadhyay: Thanks for the opportunity, sir. Sir, if you can share details on the Secondary Charges , UI and Incentives for the quarter in comparison to the last year corresponding quarter , that would be helpful. That would be my fi rst question.
R.P. Goyal: During this Half Year , we have earn ed Secondary Energy Charges to the tune of Rs. 3 Crore as agai nst corresponding previous period of Rs. 6 Crore a nd Deviation Charges , we have earned Rs. 24 Crore in this Half Year as against Rs. 21 Crore in the corresponding previous period. And for the Quart er, the Secondary Energy Charges is again Rs. 3 Crore as

against Rs. 6 Crore in the corresponding previous period. Deviation Charges are Rs. 13 Crore as against Rs. 10 Crore in the corresponding previous period. Any other detail?
Anuj Upadhyay : Okay, nothing on Incentive , sir?
R.P. Goyal: As I told you, we have changed the system of recognizing PAF Incentive . PAF Incentive will be recognized after achieving NAP AF. So, whatever the PAF Incentive will be, that will be realized majority in the fourt h quarter.

Anuj Upadhyay : Okay a nd sir, just a follow -up on the previous question where you are referring that the Insurance Cover is for the 1 year on the interruption for the Teesta. So as against Rs. 450 Crore of our fixed cost, we have recovered Rs. 410 Crore and Rs. 40 Crore is roughly under recovery until September?

R.P. Goyal: But out of this Rs. 450 Crore , we will be recovering Rs. 410 Crore after absorbing Rs. 40 Crore on account of Excess Clause . So out of Rs. 410 Crore , we have already recognized Rs . 250 Crore up to Sep tember Quarter a nd balance Rs. 160 Crore will be recognized in the coming period.

Anuj Upadhyay : Got it, sir, But this Insurance Cover is only for the 1 year since the plan t has gone for the outages. So sir, from here on, as you mentioned, the COD is expected in Decem ber'2 5, that is say another 15 months from now. So , is it fair to assume that for next 1 year or 15 months, your under recovery would cross closer to around Rs. 450 – 500-odd Crore .

R.P. Goyal: Yes, sir. So , you correctly unde rstood.

Anuj Upadhyay :

And there is no cover for this ?

R.P. Goyal: Yes, there is no cover b ecause cover is limited to 1 year only.

Anuj Upadhyay : Fair point sir. This was helpful sir. Thank you.

Moderator: Thank you. The next question is from the line of Rupesh Sankhe from Elara Securities Private Limited. Please go ahead sir.

Rupesh Sankhe: One more question, sir. Can you just give us update on the Dibang Project , sir and any awarding of EPC tender for the Sawalkot and Dugar ?

R.K. Chau dhary: For Dibang Project , as I explained, five contract packages out of the seven contract packages have already been awarded and the works are going well on the project site. We have established the permanent access which is without interruption to t he project site. So , that is one a nd the progress on the various underground structures, the dive rsion tunnel, these are going well.

Presently, we are in the process of tendering the Dam Contract and we are hopeful that by another 2-3 months , we will be able to award the Dam Package . And thereafter, only one package will be left, Hydromechanical . So that will take some time and it is required to be awarded after few months, so no issue. So , Diba ng is going well. No problem is there. Any more q uestions?

Rupesh Sankhe: Sir, regarding this E PC tender for Sawalkot and Dugar?

R.K. Chaudhary: Sawalkot and Dugar . Dugar, we have already floated tender for Civil Works and the last date was 11th November . So just at the request of few bidde rs, we have extended the bids. Now , we have recommended to extend the bid by another three weeks. And Sawalkot, we are just in the process of floating the tender for Infrastructure and Dive rsion Tunnel Works and also floating tender for the Consultancy Work s for Design and Drawings of the Dam Package .

Rupesh Sankhe: Thank you for the updates.

Moderator: Thank you. The ne xt question is from the line of Kaushal from Antique Stock Broking. Please go ahead.

Kaushal: Thanks for the opportunity. S ir, I joined the call a little late, so pardon for repetition. Can you share the Adjusted PAT number for this quarter and the same period last year?

Management : Yes. So in the Adjusted PAT adjustment, you can just con sider one item, which is reve rsal of provision of Bu rsar which is around Rs. 104 Crore . Apart from that, all other items are regular in nature. So accordingly, you can find out the Adjusted PAT.

R.P. Goyal : Mr. Kaushal, our Operating Profit is comparable with last year. The dip is only on account of MAT Credit which we recognized last year and

which is not available in current year. Otherwise, our Operating Profit is just comparable with last year.
Kaushal : Okay and then this Rs. 100 Crore which you mentioned .
R.P. Goyal: Rs. 100 Crore is on account of reve rsal of one provision which we created in past and which has been reve rsed during current year b ecause it is recoverable from the Government of India.
Kaushal : Okay. So , this is more like a Prior Period Income booked this quarter ?
R.P. Goyal: Yes, you can say.
Kaushal: Okay. So to that extent , I mean, like ideally from Rs. 905 Crore , we should subtract this Rs. 100 Crore to come to Adjusted PAT. Is that fair unde rstanding?
R.P. Goyal: No, Rs. 905 Crore does not consider this Rs. 100 Crore . Rs. 100 Crore was recognized in fi rst quarter.
Kaushal : Got it, sir a nd this Other Income increase that we see, so that is primarily the Insurance Claim that i s getting booked out here?
R.P. Goyal: Yes, it is on account of Business Interruption Loss in respect of Teesta -V and Dividend Income which is higher by Rs. 54 Crore in Current Half Year .

Kaushal : Okay and in the call, you did mention that for this Insurance Claim of Rs.

250 Crore is booked until now, so which means the incremental to reaching Rs. 410-odd Crore , which is almost like Rs. 160-odd Crore . So we'll be booking in the next 12 months?
R.P. Goyal: Rs. 160 Crore will be booked in the next two quarte rs on the basis of certainty, we receive from Insurance Company . For Rs. 250 Crore , either amount has been received or we have received their acceptance . But for Rs. 160 Crore , we have to receive the consent of the Insurance Company in coming period.
Kaushal : Right a nd then this AFC is roughly Rs. 450-odd Crore , but as far as expenses are concerned, say to the extent of , I can unde rstand like there won't be any O&M since the project is not in operation. So what are the fixed charges that you need to incur? I mean that probably has to be there for the next, let's say, Decem ber'2 5. So what a re the fixed charges that is incurred?
R.P. Goyal: In our case, generally it is fixed cost. Operation & Maintenance Staff is there, which will remain there a nd Interest , Finance Charges will be there, Depreciation will be there. So , 90% cost are in the nature of fixed cost and it will be incurred in the coming period. There is no variable part as such in our case.
Kaushal : No, my question was more to do with like because this AFC has ROE component. So I can und erstand there won't be any ROE, b ut there are certain fixed costs which will lead to under recovery, maybe like interest you need to pay to the banks, some annual depreciation accounting, you will continue. So to that ext ent, I was trying to unde rstand. Sir, one question on this Rs. 460 Crore AFC, what is the ROE component ?
R.P. Goyal: ROE is Rs. 228 Crore . Annual expenses in the range of Rs. 220 Crore .
Kaushal : Got it, sir a nd then this Parbati -II again , I think there is quarter delay. That's fair to unde rstand, right, commissioning?

R.P. Goyal: As per our plan, it was to be commissioned in Decem ber'24 . But hydro has some chall enges. That's why we are shifting our goal posts to February '25, we are starting filling the reservoir and we are testing gates etc. of the reserv oir, dam a nd our balance of activities are being completed. We are very much hopeful that we will be commiss ioning this project in February '25.
Kaushal : Right, sir and then what could be an ideal phasing of this 4 units? I mean, February and then how?

R.P. Goyal: All the units will be commissioned at a time in a single stroke, because units have been tested and these will be operated one by one with the available water. So , commission ing will happen in single stroke only.
Kaushal : Okay, sir and then even fo r Subansiri Lower , the Quarter 1 of FY '27. So again, it is a one stroke or phasing will be there in that ?
R.P. Goyal: In respect of Subansiri , as per our p lan, we will be commissioning three units by March'25 a nd rest five units will b e commissioned in pha sed manner and the complete project will be commissioned by May'26.
Kaushal: May'26? Okay. Got it. Sir , that's all from my side. Thank you very much.
Moderator: Thank you. The next question is from the line of Nikhil from UTI Mutual Fund. Please go ahead.
Nikhil: Sir, my first question is regarding the Note 8 of Standalone Financial Results . So, we are basically booking the Insurance Claims and then again we are expanding them through to Other Expense . Can we understand why we are doing that?
R.P. Goyal: Mr. Nikhil, it is as per Accounting Guidelines and Accounting Standards . The Loss is to be booked under Other Expenses . These two activities are separate activities. Happening of loss is one activity and recovering the Insurance Claim is a separate activity. So , if you

recognize the Claim on account of Insurance , it is being shown under Other Income .

Nikhil: So, of the total AFC of around Rs. 450 Crore , how much are we recovering from the insurance?
R.P. Goyal: Out of Rs. 450 Crore annual AFC, we are expecting to recover Rs. 410 Crore after deducting Excess Clause .
Nikhil: So, Rs. 40 Crore is from?
R.P. Goyal: Rs. 40 Crore will be under recovery. Out of Rs. 410 Crore , we have already recognized Rs. 250 Crore a nd balance Rs. 160 Crore , we will recognize in the coming period of this Financial Year .
Nikhil: Unde rstood and sir, m y second question is regarding we were looking to monetize a nd securitize ROE for Dulhasti?
R.P. Goyal: Yes.
Nikhil: So, are we on track on that a nd how much cash flow should we expect from that?
R.P. Goyal: We have already completed this exercise and we have realized Rs. 2,300 crore -plus on account of this Securitization .
Nikhil: Rs. 2,300 Crore . For how many yea rs have you securitized?
R.P. Goyal: We have securitized for 8 years period and the total amount which we have realized is Rs. 2,348 Crore .
Nikhil: Rs. 2,348 Crore . Sir , the Regulated Equity for this plant will be somewhere around Rs. 1,500 -odd Crore , right?
R.P. Goyal: No, in ca se of Dulhasti , the Regulated Equity is Rs. 2,050 Crore .
Nikhil: Rs. 2,000 -odd Crore . Okay an d you touched upon this point earlier as well. For solar plants, you mentioned the tariffs somewhere aroun d Rs. 2.60, you're getting the PPAs, b ut even for the complex projects, the

FDR E or the Hybrid Projec ts, the PPA s igning, is it taking some time because from the presentation, I can see that a lot of them have not signed yet ?
R.K. Chaudhary: Yes. For FDRE , we are getting the tariff of Rs. 4.73 or Rs. 4.75 and we are getting DISCOMs, the PPA s are being signed, only 1,200 MW was pending. So , we are in discus sion with Uttar Pradesh DISCOM a nd we are hopeful that within a short period , we are going to sign the PPA for remaining unsigned capacity.
Nikhil: So sir , till date as intermediary, how muc h capacity have we tendered

out and for how much have we signed the PPA, if you can give us?
R.K. Chaudhary: Yes, just I will give.
R.P. Goyal: We have tendered around 9,000 MW capacity. Out of that, we have signed PPA or we have received consent for aroun d 7,000 MW. For balance, we are in touch with DISCOMs and we are hopeful to receive their consent. Otherwise also, there is no r isk to NHPC because this is in REIA Mode only. We have no CPAEX in this.
Nikhil: Sir and we will be earning 7 p aisa per unit.
R.P. Goyal: Yes, 7 paisa fixed.
Nikhil: Sure. That’s all from my side. Thanks and all the best.
Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question, I now hand over to Mr. Rupesh Sankh e for closing comments.
Rupesh Sankh: Yes, we thank the NHPC management for giving us an opportunity to host this call and we really appreciate for the detailed presentation there on the website. And we also thank all the investo rs and the analysts for joining this call.
Management: Thanks a lot, Rupesh.

Moderator: Thank you. On behalf of Elara Securities Private Limited, that concludes the conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

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Sub: Transcript of Conference Call for discussion on financial results for the quarter and year ended on March 31, 2025
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Sir/ ■■■■■,
In reference to our earlier letter dated 21.05.2025 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, it is to inform that the transcript of the Conference call with analysts and investors held on Wednesday, May 21, 2025, with respect to the financial results of the Company for the quarter and year ended on March 31, 2025 is attached herewith and has also been made available on website of the Company at the link:
https://www.nhpcindia.com/assests/pzi_public/gallery/17484344190.pdf .

It is also confirmed that no Unpublished Price Sensitive Information was shared in the above referred Conference Call.

This is for your information and records.

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"NHPC Limited Q4 FY'25 Earnings Conference Call”

May 21 , 2025

MANAGEMENT : MR. R. K. CHAUDHARY – CHAIRMAN & MANAGING DIRECTOR , NHPC LIMITED
MR. R.P. GOYAL – DIRECTOR (FINANCE), NHPC LIMITED
MR. UTTAM LAL – DIRECTOR (PERSONNEL), NHPC LIMITED

MODERATOR : MR. RUPESH SANK HE – ELARA CAPITAL

Moderator: Ladies and gentlemen , Welcome to the N HPC Limited Q4 FY ’25 Earning Conference Call hosted by Elara Capital.
As a reminder, all participant line s will be in listen -only mode and there will be an opportunity for you to ask question at the end of today's presentation. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.
I would now like to hand the conference over to Mr. Rupesh Sank he from Elara Capital. Thank you and over to you, sir.
Rupesh Sank he: Good afternoon, everyone. On behalf of Elara Securities, we welcome you all for the Q4 FY ’25 Conference Call of NHPC. I take this opportunity to welcome the management of NHPC , represented by Mr. R. K. Chaudhary , Chairman and Managing Director ; Mr. R .P. Goyal, Director (Finance) and Mr. Uttam Lal, Director (Person nel). So, we will begin the call with the “Brief Overview by the Management” followed by “Q&A Session. ”
I will now hand over the call to Mr. R. K. Chaudhary sir, for his Opening Remarks . Over to you , sir.
R. K. Chaudhary : Okay. Thank you very much. Good Afternoon , Friends. The NHPC Board has adopted Annual Financial Results for the period ended 31st March’25 in its 492nd meeting held on 20th May’25 and the same has already been communicated to the Exchanges. By now , I hope you all would have got chance to go through the quarterly and yearly set of numbers. First, I will just touch upon major highlights and then detailed analysis of the results shall be discussed by our Dire ctor (Finance), Shri R P Goyal j i.
■ Brief Highlights of the Financial Results and Important Updates on the Company are as under :

■ During FY’25, our Power Stations have achieved generation of 19 ,862 million units as against 21 ,773 million units generated in corresponding period of the previous year which is lower by about 9% or 1 ,911 Million units . This is mainly due to heavy flash flood in Teesta Basin in October’23 which has resulted into complete shutdown of Teesta -V Power Station which had g enerated 1 ,966 million units in the corresponding previous year . We have already shared that restoration works at the power station suffered due to a landslide in August’24 affecting the Tail Race Tunnel (TRT) outlet structure and part of the GIS Building are progressing well and are expected to be completed by January’26.

■ Our P lant Availability Factor for FY’25 stands at 73.94% against the corresponding previous period Plant Availability Factor of 77.60% which is about 4% lower. This is mainly due to lower water availability, complete shutdown of Teesta -V Power Station and outages of units at TLDP -III, Uri - I Power Station .

■ During FY’25, Company has earned Revenue from Operation of Rs . 8,994 Crore as against Rs. 8 ,397 Crore in the corresponding previous year which is about 7 % higher.

■ During FY’25, Company has earned PAT of Rs . 3,084 Crore as against Rs. 3,722 crore of corresponding previous period which is about 17 % lower.

■ On physical fr ont, I am very pleased to share that all the 4 units of Parbati - II Hydro Electric Project (800 MW) have become commercially operational with 3 units from 1st April’25 and 4th unit from 16th April’25. This achievement is particularly significant as it comes after surmounting numerous geological and technical challenges throughout the project cycle.

The completion of this ambitious project marks a major step towards securing India's energy future by adding hydro capacity of 800 MW in RE portfolio of our count ry and reaffirms NHPC’s leadership in the hydropower sector. The project has become NHPC’s largest operational hydro power station as of now. Further, N

HPC has al so commissioned 107 MW out of
300 MW Solar Power Plant in Bikaner, Rajasthan under CPSU Scheme on 12th April’25 which is an important step in our ongoing efforts to diversify into other renewable energy sources.

■ In respect of Subansiri Lower Hydro Electric Project (2000 MW), the balance construction work at site is going on in full swing. Overall, 96% physical progress of the project has been achieved. Dry commissioning of unit 1 & 2 has already been completed and pre commissioning activities of unit 3 is in progress. A team constituted by National Dam Safety Authority (NDSA) has visited the projec t site to review the initial filling plan of the reservoir. The commissioning of 3 units is expected very shortly. We are very hopeful of commissioning 5 units of the project in the current financial year and rest of the units by May’26. The anticipated co st of the project is Rs. 26 ,076 Crore and we have incurred Rs. 23 ,753 Crore till March’25.

■ In respect of Dibang Multipurpose Project (2880 MW), five out of the seven contract packages have already been awarded. The remaining two contract packages related to Dam and HM Works for Intake and Draft Tube Gates are in the evaluation process. We have already shared that we have achieved the crucial Nalla diversion, a significant stride towards ensuring all -weather road access to the project site. The estimated cost of the project is Rs. 31 ,876 Crore which includes Grant of Rs. 6 ,716 Crore for Flood Moderation and enabling infrastructure works, out of which we have already incurred Rs. 3,183 Crore till March ’25. Further, estimated levelized tariff of the project

is Rs. 4.46 per unit and the scheduled completion of the project is

February’32.

■ In respect of Lanco Teesta Hydro Power Limited (LTHPL)’s Teesta -VI Hydro Electric Project (500 MW), we are pleased to share that process of merger of the company with NHPC has been completed and now the project is part of NHPC on standalone basis. The work is progressing well at site. Overall, 66% physical progress of the project has been achieved. The estimated cost of the project is Rs. 8 ,449 Crore out of which we have already incurred expenditure of Rs. 4 ,142 Crore till March’25. The expected commissioning schedule of the project is December’27.

■ Jal Power Corporation Limited (JPC L)’s Rangit -IV Hydro Electric Project (120 MW) is also progressing well. Overall, 86% physical progress of the project has been achieved. We have already shared that in July’24, the Project has successfully achieved the daylighting of the HRT. Unit 1 has been boxed up and boxing up of unit 2 is in progress. We have successfully lowered the rotor of Unit 3, the last unit of the project. The project is expected to be commissioned by December’25. The estimated cost of the project is Rs. 1 ,828 Crore out of whic h we have already incurred expenditure of Rs. 1 ,432 Crore till March’25. Further, we are in the process of merger of JP CL with N HPC and First Motion Application has been filed with Ministry of Corporate Affairs .

■ In respect of Ratle Hydro Electric Project (850 MW) in UT of J&K, the work is progressing well at the project site. Overall, 21% physical progress of the project has been achieved. The estimated cost of the project is Rs. 5,282 Crore and we have incurred expenditure of Rs. 916 Crore till March’25. Estimated levelized tariff of the project is Rs. 3.92 per unit and the project is expected to be commissioned by November’28 .

■ Presently, N HPC, through its subsidiary , Chenab Valley Power Project s Limited, is executing three projects in Ch enab Basin in UT of J&K.

■ Construction work at Pakaldul Hydro Electric Project (1000 MW) is progressing well. Overall, 67% physical progress of the project has been achieved. The estimated cost

of the project is Rs. 12 ,728 Crore out of which we have incurred expen diture of Rs. 6 ,265 Crore till March’25. The project is expected to be commissioned by September’26.

■ In respect of Kiru HE Project (624 MW), Overall 58% physical progress of the project has been achieved. We have incurred expenditure of Rs. 2 ,478 Crore till March’25 out of the estimated cost of Rs. 5 ,409 Crore. Estimated levelized tariff of the project is Rs. 5.68 per unit and estimated commissioning of the Project is September’26.

■ In respect of Kwar Hydro Electric Project (540 MW), the work is progress ing at site. Overall, 20% physical progress of the project has been achieved. The estimated cost of the project is Rs. 4 ,526 Crore out of which we have incurred expenditure of Rs. 1 ,008 Crore till March’25. Estimated levelized tariff of the project is Rs. 4.44 per unit and the project is scheduled to be commissioned by December’27.

■ Apart from above under construction projects, NHPC is also actively pursuing to start works of projects such as Uri -I Stage –II (240 MW), Dulhasti Stage -II (260 MW), Sawalkot (1856 MW), Kirthai - II (820 MW) and Teesta -IV (520 MW) which are at different stages of clearances.

■ In respect of our Hydroelectric Projects in Nepal, Final Detailed Project Reports (DPRs) of West Seti Hydro Electric Project (800 MW) and SR -6 Hydro Electr ic Project (460 MW) were submitted to the Investment Board of Nepal (IBN) on 18th October'24 and 12th March'25 respectively, adhering to the timeline specified in the MoU signed between IBN and NHPC. Currently, DPRs are under approval by IBN. For the Phukot Karnali Project (624 MW), NHPC has submitted the DPR Review Report in March'24 as per the agreed timelines. Notably, strategic discussions have been initiated for joint ventures and power purchase agreements and the development model includes both d omestic supply and cross -border electricity export, aligning with regional energy security goals.

■ PPAs for all under construction projects of NHPC including its subsidiaries have been signed or consent has been received from the Discoms for the same.

■ In respect of 1000 MW Capacity Solar Power Projects allotted under CPSU Scheme, Tranche -II, we have already shared that we have commissioned 107 MW out of 300 MW Project in Bikaner, Rajasthan and the full commissioning is expected by August'25. Further, Sub -lease deed of Land has been executed in respect of 600 MW Project in Gujarat and Design & Engineering activities are under progress. Further, Land acquisition and erection works are in progress in respect of 100 MW Solar P roject in Andhra Pradesh.

■ NHPC has awarded the EPC contract for 200 MW Grid Connected Solar Power Projects (Stage-3) located in 600 MW Solar Park at Khavda, Gujarat on 23rd December'24. The cost of the project is Rs. 822 Crore and tariff of the project is Rs. 2.66 per unit. The project is expected to be commissioned by March'26.
The works of another 200 MW Grid Connected Solar Power Projects located in 600 MW Solar Park at Khavda, Gujarat (Stage -1) was awarded

on 5th August'24 . Site Survey works and Geo -Tech investigations have been completed.

■ NHPC is also exploring to develop Pumped Storage Projects in the state of Andhra Pradesh, Odisha, Madhya Pradesh, Chhattisgarh, Gujarat, Tripura, Punjab, Rajasthan and Maharashtra.

■ The DPR for Indira Sagar Omkaresh war PSP (640 MW) in Madhya Pradesh, Savitri PSP (2400 MW) in Maharashtra, Yaganti PSP (1000 MW) & Gadikota PSP (1200 MW) in Andhra Pradesh, Masinta PSP (1000 MW) in Odisha and Kuppa PSP (900 MW) in Gujarat is under preparation.

■ PFR of Kengadi PSP (600 MW), Kalu PSP (1350 MW) situated in Maharashtra and Longtharai PSP (800 MW) situated in Tripura have been submitted.

■ Further, PFR of Rajupelam PSP (

800 MW), Arvetipalli PSP (1320 MW) and Deenepalli PSP (750 MW) in Andhra Pradesh have been prepared. For other projects, preparation of PFR is in progress.

Friends, this is all from my side. Now I request, Director (Finance) Shri R.P. Goyal ji to Discuss Financial Results in detail.

R.P. Goyal: Good afternoon friends. I a m going to s hare with you detailed quarterly and yearly set of numbers with the detail ed analysis.

The NHPC Board has adopted Annual Financial Results for the period ended 31st March'25 in its meeting held on 20th May'25 and the same has already been communicated to Exchanges.

■ Brief highlights of the financial results and important updates on the

Company are as under:

■ During FY'25, our Power Stations have achieved generation of 19 ,862 million unit s as against 21 ,773 million units generated in corresponding period of the previous year which is lower by about 9% or 1 ,911 million units .
During 4th Quarter FY'25, our Power Stations have achieved generation of 2,170 million unit s as against 2 ,304 million units generated in corresponding period of the previous year whi ch is lo wer by about 6% or 134 million units .
■ Our PAF for FY'25 stands at 73.94% against the corresponding previous period PAF of 77.60% which is about 4% lower.
Our PAF for 4th Quarter FY'25 stands at 58.59% against the corresponding previous period PAF of 54.65% which is about 4% higher.
■ During FY'25, Revenue from Operation of the company has gone up by Rs. 598 Crore from Rs. 8 ,396 Crore to Rs. 8 ,994 Crore which is about 7% higher. The increase in revenue is mainly due to increase in sales pertaining to previous years by Rs. 742 Crore on account of pay anomaly orders and impact of A nnual Fixed Charges Revision and increase in unbilled revenue by Rs. 540 Crore mainly on account of Interest on Arbitration Cases (Vivad se Vishwas -II/ amount deposited by the company i n NITI Ayog) which is further offset by lower energy charges by Rs. 262 Crore and decrease in Interest from Beneficiaries on account of Truing up for 2014 -19 period and Tariff Order for 2019 -24 period by Rs. 372 Crore.
During Q4 FY'25, Revenue from Operat ion of the company has gone up by Rs. 410 Crore from Rs. 1 ,649 Crore to Rs. 2 ,059 Crore which is about 25% higher. This increase is mainly due to reversal of water cess by Rs. 337

Crore in Q4 of previous year, water cess in respect of Himachal Pradesh and Sikkim was reversed in view of outcome of the Hon'ble High Court of Himachal Pradesh against imposition of water cess and increase in capacity charges by Rs. 83 Crore.
■ During FY 25, Other Income has come down by Rs. 21 Crore from Rs. 1 ,600 Crore to Rs. 1 ,579 Crore which is about 1% lower showing marginal decrease .
During Q4 FY'25, Other Income has come down by Rs. 191 Crore from Rs. 588 Crore to Rs. 397 Crore which is about 32% lower. This is mainly due to decrease in dividend income by Rs. 96 Crore and decrease in Exchange Rate Variation Gain by Rs. 57 Crore.
■ During FY'25, the Generation Expenses have come down by Rs. 18 Crore from Rs. 814 Crore to Rs. 796 Crore on account of lower water cess.
During Q4 FY'25, the Generation Expenses have gone up by Rs. 344 Crore from negative Rs. 247 Crore in corresponding previous quarter to positive Rs. 97 Crore in current quarter. The increase is mainly due to the reason that during Q4 of previous year, we had reversed the water cess in respect of Himachal Pradesh an d Sikkim and consequently, there was a booking of negative Rs. 355 Crore against the water cess in respect of Himachal Pradesh and Sikkim during that period.
■ During FY'25, the Employee Benefit Expense s have gone up by Rs. 354 Crore from Rs. 1 ,290 Crore t o Rs. 1 ,644 Crore which is mainly due to provision of pay anomaly arrears in compliance of the Hon'ble High Co

urt
of Punjab & Haryana.
During Q4 FY'25, the Employee Benefit Expense s have come down from Rs. 368 Crore to Rs. 367 Crore which is almost flat.

■ During FY'25, there has been increase in the Finance Cost by Rs. 421 Crore from Rs. 726 Crore to Rs. 1 ,147 Crore which is mainly due to increase in Interest on Arbitration & Court Cases by Rs. 432 Crore against which unbilled revenue of Rs. 406 has also bee n recognized. So, the net impact of this item is only Rs. 26 Crore on the Profit and Loss Account .
During Q4 FY'25, there has been decrease in the Finance Cost by Rs. 379 Crore from Rs. 349 Crore to negative Rs. 30 Crore which is mainly due to decrease in Interest on Arbitration & Court Cases by Rs. 183 Crore and reversal of Rs. 110 Crore towards Interest on Arbitration & Court Cases which has now been capitalized in current quarter.
■ During FY'25, the Depreciation & Amortization Expenses have gone up by Rs. 14 Crore from Rs. 1 ,111 Crore to Rs. 1 ,125 Crore which is almost flat.

During Q4 FY'25, the Depreciation & Amortization Expenses have gone up by Rs. 13 Crore from Rs. 280 Crore to Rs. 293 Crore.

■ During FY'25, Other Expenses have come down by Rs. 13 Crore from Rs. 2,015 Crore to Rs. 2 ,002 Crore which is almost flat.
During Q4 FY'25, Other Expenses have gone up by Rs. 144 Crore from Rs. 534 Crore to Rs. 678 Crore which is mainly due to increase in Insurance Expenses by Rs. 101 Crore and increase in R&M Expenses by Rs. 39 Crore .
■ During FY25, Tax Expenses have gone up by Rs. 365 Crore from Rs. 552 Crore to Rs. 916 Crore. This is mainly due to reason that during the corresponding previous year's period , MAT Credit of Rs. 529 Crore was recognized. During this period, no MAT Credit has been recognized whereas MAT Credit of Rs. 271 Crore has been utilized.

During Q4 FY25 Tax Expenses have come down by Rs. 241 Crore from Rs. 424 Crore to Rs. 183 Crore. This is mainly due to th e lower utilization of MAT Credit .
■ During FY'25, we have earned PAT (Profit After Tax) of Rs. 3 ,084 Crore as against Rs. 3 ,722 Crore in corresponding previous period which is down by Rs. 638 Crore and which is around 17% lower and the reasons for decrease/increase in the line items, we have just discussed.
During Q4 FY'25, we have earned PAT of Rs. 894 Crore as against Rs. 693 Crore of corresponding previous period which is up by Rs. 201 Crore or 29% approx. and the reasons fo r decrease/increase in the line items, we have just discussed.
■ During FY25, the Incentive position is as follows :
We have earned Secondary Energy to th e tune of Rs. 123 Crore in the current FY'25 as against Rs. 102 Crore in the corresponding previous period. So , there is an increase of Rs. 21 Crore in Secondary Energy . PAF based Incentive , we have in FY'25 to the tune of Rs. 227 Crore as against Rs. 316 Crore in the corresponding previous year. So , this is down by Rs. 89 Crore . Deviati on Charges , we have earned Rs. 35 Crore in FY'25 as against Rs. 41 Crore in the corresponding previous year. So , this is lower by Rs. 6 Crore . So, total of all the three incentive s we earned in FY '25 is Rs. 385 Crore as against Rs. 459 Crore in the corresponding previous year. So , there is decrease of around Rs. 74 Crore on account of these three incentives during FY'25.

■ The incentive position during Q4 of FY25 is as follows :.
Secondary Energy , we have earned Rs. 81 Crore as against Rs. 80 Crore in the corresponding previous quarter. The P AF based Incentive is Rs. 207 Crore against Rs. 252 Crore in the corresponding previous quarter and

deviat ion charges is Rs. 5 Crore as against Rs. 7 Crore in the corresponding previous quarter. So , total of all the three incentives during Q

4 FY'25 is Rs.
293 Crore as against Rs. 339 Crore in the corresponding previous quarter.

■ CAPEX of Rs.11,596 Crore has been incurred during FY '25 against target CAPEX of Rs.11,762 Crore for FY'25 on consolidated basis.

■ The Board of Directors has recommended the payment of final dividend a t the rate of 5.10% i.e. 51 paisa per equity share in addition to interim dividend at the rate of 14% , i.e. Rs.1.40 per equity s hare resulting in total dividend at the rate of 19.10% i.e. Rs.1.91 per equity s hare on the face value of paid -up equity s hares of Rs. 10 each for the financial year 2024 -25.

■ Other major highlights of the Company are as under:

■ On realization front, NHPC has received Rs. 8 ,349 Crore from the beneficiaries against Sale of Energy during FY'25 as compared to Rs. 9 ,606 Crore in the corresponding period of previous year. Trade Receivables as on 31st March'25 stands at Rs. 4 ,412 Crore as against Rs. 3 ,978 Crore as on 31st March'24 . This includes Rs. 3 ,677 Crore as Unbilled Debtors as on 31st March'25 as against Rs. 2 ,263 Crore as on 31st March'24.

■ The net receivables out of total reported trade receivables are reconciled as under :

The reported Trade Receivables are Rs. 4,412 Crore . Unbilled Debtors are Rs. 3,677 Crore . So, billed receivables works out to Rs. 735 Crore . If we exclude the debtors dues converted to installments under Electricity (Late Payment Surcharge Rules) and other orders of C ERC (Rs. 1 19 Crore), the net amount due from the beneficiaries works out to Rs. 616 Crore only and

dues more than 45 days is only Rs. 220 Crore . So, overdue amount is only Rs. 220 Crore in our case as on 31st March '25.

■ Unbilled Debtors mainly include Unbilled Annual Fixed Charges and recoverable as per CERC Regulation including Security and Insurance Expenses of Rs. 1 ,366 Crore, Interest on Arbitration/Court Cases of Rs. 580 Crore, Impact of Effective Tax Rate on Return on Equity of Rs. 485 Crore, Unbilled Sales for the mon th of March of Rs. 480 Crore and Shortfall in generation due to the reasons beyond the control of the company of Rs. 292 Crore etc.

■ Net Billed Trade receivables as on 19th May'25 stands at Rs. 740 Crore which includes more than 45 days dues of Rs. 73 Cror e.
Now the for um is open for question -and-answers. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Mohit Kumar from ICI CI Securities. Please go ahead.
Mohit Kumar: Yes. Good afternoon, sir and thanks for the opportunity. My first question is on profitability . Last year, I think we did 36 billion of profit on consol basis. It has declined to 30 billion , 3,000 Crore . You did touch upon on the various one-offs. But can you please help us o n broader basis what explains the decline? Is there a one -off in the tax item ? You said , it is MAT Credit . But is it related to the past period which is on tax, which you can just help us explain?
Management: Yes, Mohit, so let us discuss at PB T level first. You will find that the decline of Rs. 100 Crore in quarterly number and Rs. 200 Crore in yearly number. So, the quarterly number of Rs. 100 Crore is entirely on account of the

reversal of Rs. 110 Crore on account of interest on arbitration, which has been reversed in Q4 itself and that is the reason , you will see that there is a negative finance cost of Rs. 30 Crore . You can treat this item as one -off and if you add back this Rs. 100 Crore number as a one -off, you will arrive at the actual PBT. Similar kind of adjustment if you do at yearly number like Rs. 200 Crore decline in PBT , if you refer our note #5 and note #6 of our financial result , you will find that there is impact of Rs.100 Crore in pay anomaly which has impacted

our PBT and Rs. 26 Crore interest on arbitration. So , Rs. 126 Crore impact is there on account of these two numbers and Rs. 100 Crore decline is there in energy charges. So , almost Rs. 200 Crore decline is there .

Mohit Kumar : Understood. Understood. That's very helpful. That's very helpful.

Management: So, those two adjustments you have to carry out to arrive at the adjusted PAT .

Mohit Kumar: Can you please help us with the NHDC revenue and profit numbers for this fiscal?

Management: Please come again.

Mohit Kumar: NHDC, the subsidiary revenues and profits.

Management: So, the total generation of N HDC during the current FY was 5 ,575 million units as against 4 ,473 million units in corresponding previous year. The revenue from operation is Rs.1,401 Crore as against Rs.1,269 Crore . The PAT is Rs. 837 Crore as against Rs. 812 Crore .

Mohit Kumar: Understood. Can you please help us with the capitalization of Par bati-II in the books ? And a related clarification is that how are you going to book the

revenues, will it be 85% of the expected capacity charge till the time we get the full tariff order from the C ERC, is that right understanding ?

R.P. Goyal: Actually, three units have been capitalized from 1st April '25 and the fourth unit will be capitaliz ed from 15th April '25. So , full year generation and full year revenue will be there and we are in the process of filing tariff petition in the C ERC. So , based on filing of tariff petition, we will recognize 90% of the revenue on provisional basis till the order comes from C ERC.

Mohit Kumar: Understood, sir and what is the amount capitalized on the book?

R.P. Goyal: Amount capitalize d will be around Rs. 12,00 0 Crore plus.

Mohit Kumar: Understood, sir. Thank you.

Moderator: Thank you. Next que stion is from the line of Ragini Pande from Elara Capital. Please go ahead.

Ragini Pande : Yes. Thank you for the opportunity. I wanted to know what is the impact of insurance cover, which is not there at Teesta -V now? I mean the insurance cover was till Se ptember ’24. So, what was the under recovery in Teesta -V?

Management: If you look at the normal circumstances of Teesta -V, TLDP -III and TLDP -IV, all these three projects in Teesta basin, you will find that in normal circumstances , almost Rs. 300 Crore approx. PBT, we earn from Teesta -V, Rs. 100 Crore from TL DP-IV and Rs. 100 Crore from TLDP -III. So, almost Rs. 500 Crore approx. PBT, we earn from these three projects. But due to this flash flood, we have discussed , the last previous number was Rs. 300 Crore , but this year the number is Rs. 92 Crore loss. So , there is almost Rs. 400 Crore approx. loss at PBT level from these three projects.

Ragini Pande: Okay. Thank you. I just wanted to confirm the adjusted PAT number for Q4 FY’25. So you said that ther e is an adjustment of Rs. 200 Crore in Q4, right?

Management: In Q4, Rs. 100 Crore adjustment , you have to carry out on account of reversal of interest on arbitration. Rs. 200 Crore is for yearly number.

Ragini Pande: Understood. Okay. What will be the incremental revenue from the recently

commissioned Par bati project?
Management: The design energy of Par bati is 3 ,074 million units and the expected tariff is around Rs.7.5-8. We have to file the tariff petition with CERC and we have to wait for the final outcome. But approximate number if you want to consider at the rate of Rs.7.5, 87% saleable design energy of 3 ,074 million units you can consider and that will work out somewhere to Rs. 2,000 Crore .
Ragini Pande: Okay. Sir, another question was on Suban siri. What is the expected commissioning timeline for the project and the incremental revenue which is expected from it?
R. P. Goyal : As per our plan, we will commission three units by June '25

and rest of five units will be commission ed one -by-one by May '26 and the incremental revenue of this project will be in the range of Rs. 4,500 Crore on annual basis when full commissioning is achieved.
Ragini Pande: Yes. Okay. Thank you. What is the regulated equity currently after the commissioning of Parbati project ?
Management: Yes. So consol level if you want to consider Rs. 13,000 Crore is regulated equity for N HPC's standalone and Rs. 1,000 Crore is regulated equity in NHDC. So , our share is Rs. 14,000 Crore as of now . Considering Rs. 13,000 Crore capital cost of Par bati-II, you can consider 30% of the capital cost as a regulated equity, so it works out to around Rs. 4,000 Crore . So, roughly

14,000 plus 4,000, Rs. 18,000 Crore would be regulated equity in this particular financial year.
Ragini Pande: Okay. Thank you.
Moderator: Thank you. Next question is from the line of Prashant Sagar from Anvil Corporate Research Private Limited. Please go ahead.
Prashant Sagar: I just wanted to know the progress of other projects in the Subansiri basin, especially the Middle Subansiri, Upper Suban siri if you can share?
R. K. Chaudhary : Subansiri Middle i.e. Kam ala Hydroelectric Project is 1,720 MW . Pre-DPR chapter s already cleared by the C EA and C WC. We have submitted the cost chapters and it is likely to be cleared by the C EA and CW C very soon . So techno economic clearance , we are going to get very soon and at the same time, we have processed for the Environmental Clearance and the Forest Clearance also. So , things are moving very fast . We are expecting that during this year , all clearances will be there and before that, we will move for investment approval, PIB and CC EA. Subansiri Upper is 1 ,605 MW. That is also going well, clearances are progressing. So in these projects , there will be 26% share of the State Government and 74% of NHPC. So for these two projects, the PIB and investment approval, we have to obtain from the Government of India. We are expecting that by the year end , NHPC will move for investment approval from the Government of India. Thank you.
Prashant Sagar: So you said , the share of State Government will be 26% in both the projects or only Upper Subansiri ?
R. K. Chaudhary : No, in Kamala and Subansiri Upper both. The Government of India has approved that any project in Arunachal Pradesh which is allocated to different Public Sector Undertakings like NHPC , SJVN, T HDC, NEEPCO ,

there will be share of the State Government Utilities maximum up to 26% in the JV Company .
Prashant Sagar: About the Dibang Project , you said you have awarded five tenders or whatever. But the balance, when do you expect it to be awarded ?
R. K. Chaudhary : You und erstand that the entire project has civil works, hydro mechanical works and electrome chanical works i.e. all three types of works . So, we have formulated seven c ontract packages . Out of seven, five contract packages have already been awarded and works are progressing at site. For rest two packages, the tender is opened and it is under evaluation. So we expect that shortly, we are going to award the balance t wo contract

package s.
Prashant Sagar: Okay. Sir, about the Middle and Upper Subansiri , has the land acquisition been completed , at what stage it is ?
R. K. Chaudhary : Land acquisition has also started. The district administration has already issued Section IV and then Section VI . So, they have already moved for the acquisition of land for both the project s.
Prashant Sagar: Both the projects . That answers my question. T hank you.
R. K. Chaudhary : Thank you. Thank you.
Moderator: Thank you. Next question is from the line of Mohit Kumar from ICI CI Securities. Please go ahead.
Mohit Kumar: Hello. Ye s. Thanks for the opportunity once aga

in . My question was, are we expecting m ore projects due to the aboli tion of the Indus Water Treat y, has there been any further conversation around it?

R. K. Chaudhary : The Indus Water Treaty is not abolished. It is kept under suspension. So in this scenario, yes, you are right that now there is a lot of emphasis and we are going to start the Uri -I Stage -II (240 MW) and we have already floated the tenders for civil works. For hydro mechanical works and for electromechanical works , we are going to float the tender s during this month only. The second project , Dulhasti Stage -I (390 MW) is already there. So , there is a Dulhasti S tage-II Project (260 MW). So for that also , we have received the Approval concurrence , appraisal from the Central Electricity Authority today itself and now , we are going to float the tender during this month end for Civil Works . The third project is 1856 MW Sawalkot Project . For that project also , the approvals are going in very fast mode and we are expecting that very soon , we are going to float the tender for Sawalkot also. At the same time, the possibilities are being explored to start some more projects like Kirthai-II and some more projects in Indus River in Leh, Ladakh area. So , these are the things under the chan ge scenario.
Mohit Kumar : Understood, sir. Are you looking to award the projects under one single EPC umbrella or are you going ahead with breaking the packa ges? Because I saw one large Sawalkot order based on EPC basis, but I think broken the package again , is that right understand ing?
R. K. Chaudhary : Sawalkot Project , we are going to formulate the entire works of the project in two package s for the civil wo rks, one package for the design and engineering , one for hydromechanical works and one for electromechanical works. So , we have already prepared the bid documents for the two packages and we are waiting for the investment approval from the Government . Then, we'll go ahead.
Mohit Kumar: Any comment on any PS P projects which you think you will award in F26 or F27 in the near term to start the work ?

R. K. Chaudhary : The first project , we are going to award is Indra Sagar Omkareshwar i.e. 640 MW. The DPR is under evaluation in the CWC and Central Electricity Authority. We are expecting that within next 2-3 months , we are going to get the DPR cleared and once the DPR is cleared , appraisal is cleared, then we'll move ahead with the a ward of works.
Moh it Kumar: Understood, Sir. Thank you. And all the best , sir.
Moderator: Thank you. Ladies and gentlemen, that was the last question of the day. I now hand the conference over to management for closing comments.
Management: Yes, Rupesh, thanks a lot for con ducting this conference call post result and thank you all participants for your interest and time. Thank you so much.
Moderator: Thank you. On behalf of Elara Capital, that concludes this conference. Thank you for joining us and you may now disconnect you r line s.

Call: Feb 2026

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Sub: Transcript of Conference Call for discussion on financial results for the quarter and nine months ended on December 31, 2025
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Sir/ ■■■■■,
In reference to our earlier letter dated 06.02.2026 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, it is to inform that the transcript of the earning Conference call with analysts and investors held on Friday, February 06, 2026, with respect to the financial results of the Company for the quarter and nine months ended on December 31, 2025 is attached herewith and has also been made available on website of the Company at the link:
https://www.nhpcindia.com/assests/pzi_public/gallery/17708934400.pdf .

It is to confirm that no Unpublished Price Sensitive Information was shared in the above referred conference call.

This is for your information and records.

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"NHPC Limited Q3 FY'26 Earnings Conference Call "

February 06, 2026

MANAGEMENT : MR. BHUPENDER GUPTA - CHAIRMAN AND MANAGING DIRECTOR , NHPC LIMITED
MR. UTTAM LAL – DIRECTOR (PERSONNEL), NHPC LIMITED
MR. SANJAY KUMAR SINGH – DIRECTOR (PROJECT S), NHPC LIMITED
MR. SUPRAKASH ADHIKARI – DIRECTOR (TECHNICAL), NHPC LIMITED
MR. MAHESH KUMAR SHARMA – DIRECTOR (FINANCE), NHPC LIMITED

MODERATOR : MR. RUPESH SANKHE - ELARA SECURITIES LIMITED

Moderator: Ladies and gentlemen, Welcome to Q3 FY'26 NHPC Limited Earnings Conference Call hosted by Elara Securities Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions af ter presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rupesh Sankhe from Elara Securities. Thank you and over to you, sir.

Rupesh Sankhe: Good afternoon, everyone. On behalf of Elara Securities, we welcome you all for the Q3 FY'26 Conference Call of NHPC.

I take this opportunity to welcome the Management of NHPC represented by Mr. Bhupender Gupta, Chairman and Managing Director; Mr. Uttam Lal, Director (Personnel); Mr. Sanjay Kumar Singh, Director (Project s); Mr. Suprakash Adhikari, Director (Technical) an d Mr. Mahesh Kumar Sharma, Director (Finance).

So, we will begin the call with a brief overview by the Management followed by Q&A session. I will now hand over the call to Mr. Bhupender Gupta sir, for his opening remarks. Over to you, sir.

Bhupender Gupta: Thank you, Rupesh. Good afternoon, friends. NHPC Board has adopted Nine Months Financial Results for the period ended 31st December'25 in its meeting held on 4th February'26 and the same has already been communicated to the exchanges. By now, I hope that you all would have got chance to go through the quarterly and nine -monthly set of numbers.

Firstly, I will touch upon major highlights of the financial results and the detailed growth plan of the company. Further, detailed analysis of the result s shall be shared by our Director (Finance) , Shri Mahesh Kumar Sharma ji.

■ Brief highlights are as follows: -

■ During Nine Months FY'26, our Power Station s have achieved generation of 25,849 MUs as against 22,397 MUs generated in the corresponding period of the previous year, which is higher by about 15% a nd this is mainly due to commissioning of our Parbati -II Power Station (800 MW) and subsequent increase in generation of Parbati -III Power Station , which is due to the more water availability from the Parbati -II and increase in power generation in some of the other Power Station s.

■ Our Plant Availability Factor for the Nine Months FY'26 stands at 79.27% and it is 3% lower than the previous period, which is mainly due to shutdown at Dulhasti, Salal, Chamera -I and Chamera -III Power Station s during monsoon, which were beyond our control. T hat's why there has been a decrease, but we are hopeful that it will be recovered during the entire financial year.

■ During Nine Months FY'26, Company has earned Revenue of Rs. 8,800 Crore as against Rs. 8,033 Crore which is about 10% higher and Company has earned PAT of Rs. 2,306 Crore as against Rs. 2,153 Crore of the correspo nding period , which is 7% higher.

■ I am very pleased and proud to share that we have commissioned and declared the commercial operation of two units of Subans iri Lower P roject (2000 MW) comprising of 8 units of 250 MW. Third Unit is expected to be commissioned within this week and we will commission fourth unit and declare the COD by the end of March '26. W e are targeting to commission all the remaining four units by December '26. So, the project is almost in the final st ages. We have already spent around Rs. 2 5,691 Crore against the revised cost of Rs. 27,949 Crore.

■ NHPC has also fully commissioned 300 MW Karnisar Solar Project under CPSU Scheme in Bikaner and the project has become NHPC's largest operational Solar Project as of now. This shows our commitment towards the renewable energy expansion of the company , to have aligned with the vision o

f our Honorable Prime Minister, Shri Narendra Modi Ji.

■ In respect of Dibang Multipurpose Project (2880 MW), we have already awarded all major contracts except one, which we will be awarding this month only. A ll the works are in full swing and we hope that whatever target we have fixed for 2032, we will do our best and make all the e fforts to achieve that target . This is a very good project for us, because the levelized tariff of this project is Rs. 4.46 per unit and we intend to complete it as early as possible.

■ Now, regarding Teesta -VI, which we took over from NCLT, is also going well. We have achieved 71% physical progress. The estimated cost of this project is Rs. 8,449 Crore and we have already incurred expenditure of around Rs. 5,000 Crore till December'25. We are also expediting this project though we are facing a very big

geological issue in our Head Race T unnel and because of that, slightly slow progress is there . However, we are going very methodol ogical and careful, because one small incident can delay the project for several months. But , we are very much sure that we will achieve the targeted commissi oning of 2029 in this project also .

■ The progress of Rangit -IV (120 MW) in the state of Sikkim is almost 95% as of now. We have completed all the electromechanical works and only HRT wo rk is left. Here , we were facing a severe geological problem. So , we have tackled it and now , we have left with certain lining works, where some minimum timeline is required for that. We are hopeful that we will complete this project and commission all the thr ee units by October or November '26 which will add 120 MW to our NHPC kitty.

■ In respect of Ratle Hydroelectric Project (850 MW) in UT of J&K, the work is progressing well as we have completed the excavation of the dam pit, which is actually a major milestone for any hydro project and the mo st critical one also. We have started the concreting of dam in the presence of our Honorable Power Minister Shri Manohar Lal Khattar Ji. The overall physical progress of the project is 26% and we are targeting to complete it by November '28. C onsidering th e current status of the project, we are fully confident that we will not miss this deadline.

■ As you all know that we have a subsidiary, Chenab Valley Power Projects Limited, where we are constru cting three projects in Chenab B asin in the UT of J&K :-

■ The first project is Pakal Dul Hydroelectric Project (1000 MW), whose overall physical progress is around 77%. We are targeting to commi ssion all the units by December '26 and considering the current pace of the progress, we are confident that we will achieve this target.

■ Second one is Kiru HE Project (624 MW) whose overall progress is around 77%. This project has a very attractive tariff, at around Rs . 5.68 per un it. We are hopeful and very sure that we will co mplete this project by December '26.

■ Third one under this JV subsidiary company is Kwar HE Project (540 MW) in the Chenab Basin . Its physical progress is around 27% and the targeted date of compl etion for this project is March '28 and the way we are getting progress every month, we are sure that we will achieve this target. This project also has a very attractive tariff, at around Rs . 4.44 pe r unit and we are just targeting to complete this as scheduled.

■ Apart from this, NHPC has 3 -4 new projects, which we are going to start very soon, namely, Uri -I Stage -II Project (240 MW), Dulhasti Stage -II (260 MW), Sawalkot (1856 MW), Subansiri Upper (1605 MW), Etalin (3097 MW) which is current ly the largest hydro power project of India and Kam ala (1720 MW). These are at the different stages of clearances and ap provals. I want to assure all of you that we are going to start these projects dur

ing 2026. Some of them will be commence d in the 1st quarter of FY'27 while other s may begi n in 2nd and 3rd quarter of FY'27. In total, we are planning to start 5 -6 projects t his year itself, comprising around 10,000 MW of capacity.

■ Regarding 1,000 MW Solar Power Pr ojects allocated to NHPC under the CPSU Scheme, we have already commissioned 300 MW, as shared earlier. The remaining 100 MW in Andhra Pradesh and 600 MW in Gujarat are expected to be comm issioned by June’26 and December’26 respecti vely. Additionally, 200 MW Grid -Connected Solar Power Project at GSEC’s Park in Khavda (Stage -III) is progressing well and we are expect ing to complete it by March ’26. So, I believe that during this calendar year alone, we wi ll be commissioning more than 1 000 MW of solar power, which will further add to NHPC’s total capacity.

■ NHPC is also exploring the possibility of Pumped Storage Plants (PSP s) in various states, including Andhra Pradesh, Odisha, Madhya Pradesh, Chhattisgarh, Guja rat, Punjab, Rajasthan and Maharashtra. The Detailed Project Reports (DPRs) are currently under process. Some of these Pumped Stor age Plants seem very attractive and the DPRs are at differ ent stages as of now. We are planning to start construction of at least two projects during this calenda r year, which will add around 2 000 MW or more, comprising 2 –3 PSPs .

■ So I think , these are the highlights and growth plan of NHPC which we are looking forward to. From what I see, that we have a very bright fu ture, considering the emphasis on the clean and RE power. Our plan is to expand our solar power business also and for that, we are in discussion with various stakeholders. We are hop eful that we will be coming out with more solar project s in future, in addition to the hydro and the pump storage, which I just discussed about.

This is all from my side. Now, I request our Director (Finance) – Shri Mahesh Sharma ji, to give the brief id ea about our financial results, which all the investors must have already gone through. Thank you everyone. Thank you so much.

Mahesh Kumar Sharma: Good afternoon, friends. I am going to share with you reasons for major variations in

line items reported in the results for quarter and Nine Months ended 31st Decembe r'25.
■ For Nine Months FY'26, Company has earned Revenue from Operations of Rs. 8,800 Crore as against Rs. 8,033 Cr ore in the corresponding previous period, which is about 10% higher i.e. by Rs. 767 Crore . The increase in revenue is mainly due to higher generation on account of commissioning of Parbati -II Power Station .

During Q3 FY'26, C ompany has earned Revenue fro m Operations of Rs. 2,221 Crore as against Rs. 2,287 Crore in the corresponding previous period, which is about 3% lower i.e. by Rs. 66 Crore. The decrease in revenue is mainly due to decrease in sales pertaining to previous years on account of Pay Anomaly and Interest on A rbitration accounted in previous corresponding quarter to the extent of Rs. 500 Crore approx.

■ Other I ncome for Nine M onths FY'26 is of the order of Rs. 766 Crore in comparison to Rs. 1,024 Crore during the corresponding previous period, which is about 25% lower i.e. by Rs. 258 Crore. This is mainly due to decre ase in Realization of B usiness Interruption Loss against insurance claim by Rs. 352 Crore, mai nly related to Teesta -V Power Station (Current period -Nil and Previous Period Rs. 352 Crore), decrease in Provision not required written back by Rs. 108 Crore , mainly related to Bursar Project . This decrease is offset by increase in Income from Insurance Claim by Rs. 251 Crore, mainly in respect of Teesta -V Power Station (Rs. 132 Crore) and Parbati -II Power Station (Rs. 121 Crore).

Other I ncome for Q3 FY'26 is of the order of Rs. 272 Crore in comparison to Rs. 330 Crore during the corresponding previous pe

riod, whic h is about 18% lower i.e. by Rs.
58 Crore. This is mainly due to decrease in Realization of Business Interruption Loss against insurance claim by Rs. 160 Crore, mainly related to Tee sta-V Power Station . (Current period NIL and previous period Rs. 160 Crore), which is partly offset by increase in Income from Insurance Claim by Rs. 124 Crore, mainly in respect of Parbati -II Power Station .

■ During Nine Months FY'26, the Employee C ost has come down from Rs. 1,402 Crore to Rs. 1,096 Crore, means by Rs. 306 Crore, which is mainly due to decrease in Employee Remuneration P ay A nomaly by Rs. 363 Crore, which is offset by incr ease due to increment, DA and other factors.

During Q3 FY26, the Employee C ost has come down from Rs. 687 Crore to Rs. 346 Crore, means by Rs. 341 Crore, which is mainly due to the reasons I just mentioned.

■ During Nine M onths FY' 26, there has been decrease in Finance C ost from Rs. 1,201 Crore to Rs. 849 Crore, means b y Rs. 352 Crore, which is mainly due to decrease in Interest on Arbitration and Court cases by Rs. 894 Crore, which is offset by increase in Interest on bonds , term loans, etc. by Rs. 518 Crore, related to Parbati -II, Subansiri Lower and Karnisar Solar Power Station , charged to Profit and Loss Account since their commissioning.

During Q3 FY' 26, there has been decrease in Finance C ost from Rs. 649 Crore to Rs. 310 Crore, means by Rs. 339 Crore, which is mainly due to decrease in Interest on Arbitration a nd Court cases by Rs. 557 Crore, which is offset by increase in Interest on bonds , term loans, etc. by Rs. 175 Crore, mainly related to Parbati -II, Subansri Lower and Karnisar Solar Power Station , charged to Profit and Loss Account since their commissionin g.

■ During Nine Months FY'26, the Depreciation and A mortization E xpenses have gone up from Rs. 878 Crore to Rs. 1,334 Crore means by Rs. 456 Crore, which is mainly due to Depreciation and A mortization in respect of Power Station commissioned during FY'26.

During Q3 FY'26, the Depreciation and A mortization E xpenses have gone up from Rs. 297 Crore to Rs. 457 Crore, means by Rs. 160 Crore, which is mainly due to Depreciation and Amortization in respect of power stations commissioned during FY'26.

■ During Nine Months FY'26, Other E xpenses have gone up from Rs. 1,499 Crore to Rs. 2,946 Crore, means by Rs. 1,447 Crore, which is mainly due to increase in General Network Access Charges by Rs. 781 Crore, increase in Insurance Expenses by Rs. 323 Crore, and increase in R&M Expenses by Rs. 71 Crore etc.

During Q3 FY '26, Other E xpenses have gone up from Rs. 481 Crore to Rs. 1,537 Crore, means by Rs. 1,056 Crore, which is mainly due to increase in G&A charges by Rs. 781 Crore, increase in Insurance Expenses by Rs. 121 Crore a nd increase in R&M E xpenses by Rs. 28 Crore.

■ During Nine Months FY'26, Tax Expenses have gone up from Rs. 1108 Crore to R s. 1496 Crore, means by Rs. 388 Crore, due to Deferred Tax Adju stments and recognition of MAT C redit.

During Q3 FY26, Tax E xpenses have gone up from Rs. 104 Crore to Rs. 573 Crore, means by Rs. 469 Crore, due to Deferred Tax Adju stments and recognition of MAT Credit.

■ During Nine Months FY'26, the Incentives positions are as under :-
Secondary Energy for Nine Months FY'26 is Rs. 461 Crore as against corresponding previous period of Rs. 422 Crore. PAF based I ncentive is Rs. 52 Crore during Nine Months FY '26 as against Rs. 52 Crore during corresponding previous period . So, PAF based I ncentives are flat. Deviation charges are Rs. 34 Crore in Nine Months FY'26 as against Rs. 41 Crore in Nine Months FY'25. So, total Incentives amounting to Rs. 547 Crore as against Rs. 515 Crore in the corresponding previous period.

■ During Q3 FY' 26, the I ncenti

ves positions are as under: -
Secondary E nergy for Q3 FY'26 is Rs. 230 Crore as against Rs. 110 Crore in the corresponding previous period. PAF based I ncentive is Rs. 39 Crore in Q3 FY '26 as against Rs. 35 Crore in Q3 FY'25. Deviation charges are Rs. 13 Crore in Q3 FY'26 as against Rs. 14 Crore in Q3 FY'25. So, total Incentives during Q3 FY'26 Rs. 282 Crore as against Rs. 159 Crore in the corresponding previous quarter.

■ CAPEX during Nine Months FY'26 is Rs. 8,844 Crore as against Rs . 7,405 Crore in the corresponding period of prev ious year on consolidated basis.
This is all from my side. Now the forum is open for Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ragini Pande from Elara Capital. Please go ahead.
Ragini Pandey: Thank you for taking my question. So, I just want to know your CAPEX guidance for FY'27 and FY'28 and if you can just repeat the CAPEX that you have incurred for FY'26?
Mahesh Kumar Sharma: CAPEX for Nine Months FY'26 is Rs. 8,844 Crore as against Rs. 7,405 Crore in the corresponding period of previous year on consolidated basis.
Saroj Kumar Roy: The CAPEX plan for the current fiscal year is Rs. 13,300 Crore and next year , we are planning to spend Rs. 15,000 Crore. Thereafter, on an average, our annual CAPEX will be in the range of Rs. 12,000 to 13,000 Crore.

Ragini Pandey: Thank you, sir. Now, while you told about the project pipeline for future years, can you just tell the total capacity addition which you intend to do for FY'27 and FY'28 bifurcated between hydro and renewable and for the current year as well? Just the total capacity addition number.
Saroj K umar Roy: In the current year , we have already added 1 350 MW till December ’25. In February’26 , we have added one more unit of Subansiri (250 MW) and two more units are also going to be added. So, by the end of March ’26, we are going to add additional capac ity of 2100 MW. Next year, our capacity addition will be 2744 MW from hydro.
Ragini Pandey: Okay a nd on the renewables?
Saroj Kumar Roy: Renewable as CMD sir has shared with you that currently our solar capacity under

construction is 1,190 MW and most of the solar capacity , we are planning to add by end of next financial year.

Ragini Pandey: Yes, okay. Thank you. On the generation front, in Q3 FY'26, I can see that the generation is increased by 23%, but for Q3 on the revenue, I can see a decline of 3%. So, any reason for this deviation?

Saroj Kumar Roy: Yes, as DF sir has already shared with you while sharing the variance in the line item that during Q3 of the corresponding period, we ha d a one -off revenue to the extent of Rs. 500 Crore, on account of pay anomalies and interest on arbitration. So, if you exclude Rs. 500 Crore from the previous year, then you will find that our Revenue is higher than the corresponding period.

Ragini Pandey: Okay a nd sir, any under -recoveries you have currently?

Saroj Kumar R oy: No, not at all. We are going fine with normative ones.

Ragini Pandey: And on the secondary energy front, I can see that the secondary energy incentive has almost doubled. Can you just throw some light on the reasons for this?

Saroj Kumar Roy: Yes, this is due to better generation by our subsidiary, NHDC. The design energy of NHDC has already been achieved. So, whatever incremental generation we are getting, we are accounting as secondary energy. So, there is increase of Rs. 123 Crore in our quarterly total incentive .

Ragini Pandey: Lastly, on the pump storage projects front, I just wanted to know what is the project pipeline and when can we see the construction begin and when can we expect the first

commissioning to take place? Also, on the cost economics front, what kind of a CAPEX you fore

see for these projects and what is the realization of the revenue potential for these projects?

Saroj Kumar Roy: I think CMD sir may like to answer this question.

Bhupender Gupta: Yes, Saroj. Ragini, I told ear lier also, most of the PSP projects are under DPR stage as of now and as you rightly said, we need to have viable projects only. So, we are looking at viable projects. As per the preliminary analysis we have done based on the PFR, Omkareshwar PSP in Madhya Pradesh (640 MW) seems to be attractive one. Then there is Savitri PSP, Kalu PSP in Maharashtra and one project in Odisha also, which is Masinta (1,000 MW). So, total capacity of these projects comes out to be around 5500 - 6000 MW. Once the DPR is finalized, we need to get approval of the Central Electricity Authority also on both the fronts, technical feasibility as well as financial viability. So, we are planning to start at least two projects of around 2,000 MW out of these four during this calendar year and I am 100% sure whatever projects we will start, they will be very attractive one with generation cost of around Rs. 4.50/ - per unit and total cost including pu mp, that will be around Rs. 7.00/ - per unit . Considering the requirem ent of the storage which is mainly from two sources only, either battery energy storage or pump storage plants only. So, considering this addition of solar in the grid, we definitely require the storage power an d I think whatever we generate, I am 100% sur e that we will be very easily able to sell that with beneficiaries who have a solar power in their portfolio.

Ragini Pandey: Thank you, sir. I will get back in the queue.

Moderator: Thank you. The next question is from the line of Murtuza Arsiwalla from Kotak Securities. Please go ahead.

Murtuza Arsiwalla: Hi, sir. I just want to check we commission ed Parbati in this year and Subansiri a couple of units as well. Are we accounting for the revenues based on the revised cost? Or there is some under -accounting of revenues till we get a formal order for the revised cost approval? So, is there some under -recovery because of which we are not seeing the full benefits in the earnings? That is the first one. Second, during the quarter, there were certain trans mission charges associated with Subansiri which are recoverable, which were accounted. We want to know if that is for the entire 2,000 MW or it's only for the units which have been commissioned and so you would have more such sort of transmission charges w hich should come.

Saroj Kumar Roy: Yes. Mr. Murtuza, coming back to your first question regarding revenue recognition in Parbati -II, we have already filed tariff petition based on the revised cost of Parbati - II, Rs. 13,600 Crore and based on that, whatever estimated tariff we have envisaged, we have been accounting 80% of that as revenue in our Q1, Q2 and Q3 accounts. Now,

for example, till December ’25 for 9 months, we have already accounted Rs. 900 Crore
revenue from Parbati -II which is 80% of the estimate d revenue. If you gross up it, you
will arrive at Rs. 1,125 Crore. So, almost Rs. 225 Cr ore has not been considered as
revenue and that will be accounted after the tariff notification by CERC. So, that is the
accounting treatment we are giving to Parbati -II generation and revenue. Am I clear?
Anything related to Parbati -II?
Murtuza Arsiwalla: Absolutely. So, should we just, if we want to annualize that Parbati, should it be like a
Rs. 1,200 Crore number or given the seasonality in generation, that number wo uld be
sort of lower for the 4th Quarter?
Saroj Kumar Roy: Yes, absolutely. N ow, we have already received the interim order for Parbati -II. So,
we will continue to account 80% of the revenue till the final tariff notification by CERC
in respect of Parbati -II and that accounting treatment would be even continued in Q4
also.
Murtuz

a Ars iwalla: Okay a nd has similar treatment in the case of Subansiri, could you give us what
Subansiri would look like in 80 versus 100?
Saroj Kumar Roy: Yes, same treatment, same policy in case of Subansiri also. We will be filing tariff
petition in respect of Subansiri, likely to be in the first week of March ’26 a nd then 80%
of the esti mated revenue will be accounted till the final notification by CERC. So, we
will be taking same policy in case of SLP also.
Murtuza Arsiwalla: So, would it be fair to say that b ecause 20% is a fairly large amount set aside when one
considers the equity contribution, that till you get the final order, while it's not a drag
on earnings, it's not actually contributing to profit, because 20% of revenue is where
the profit of Parbati and Subansiri would lie?
Saroj Kumar Roy: In that sense, you are absolutely right, because we will be taking 100% expenses and
80% of the revenue. So, our profit will not be reflected in true manner. But fact remains
that, this is the practice, because bei ng conservative in accounting, we never take 100%
of the revenue, as CERC is the final authority. And once they notify the tariff for any
project, then only we should consider 100% revenue for that.
Murtuza Arsiwalla: Sure. Any visibility we have when the final tariff order will be approved by C ERC?

Saroj Kumar Roy: For Parbati -II, we are expecting within 5 to 6 months.
Murtuza Arsiwalla: Okay. And Subansiri?
Saroj Kumar Roy: For Subansi ri, we are going to file tariff petition by first week of March. So, interim
tariff will be expecting very soon, maybe within 2 months. And then final tariff petition
based on the final commissioning of the Subansiri.
Murtuza Arsiwalla: Which will be when the last unit gets commission ed. Then you will file the final tariff
petition a nd then depending on how much time the regulator takes, accordingly, you
will get better recovery?
Saroj Kumar Roy: Absolutely.
Murtuza Arsiwalla: Okay. Any reason to believe, given that these projects are high tariff and substantially
delayed, t hat the regulator may ask you to consider some concessions, that, okay,
instead of 80% you account for 90% right now and we will reduce some amount of a
back -ended revenue and profile in these projects?
Saroj Kumar Roy: Yes. So, 90% of the revenue is one w ay to consider it. As I told you that Parbati -II and
Subansiri both have taken exceptional time in commissioning. 20 -25 years kind of
timeline has been there. So, we are just taking conservative view. Let CERC decide
the final tariff and accordingly , that amount is going to our P&L sooner or later. So, it
is just timing difference, Mr. Murtuzaji.
Murtuza Arsiwalla: Sure. And just on the second one, which is on that tariff charge raised into Subansiri,
which is again a recoverable, just getting a sense that Rs. 800 Crore number is for the
entire 2,000 MW or as more capacities get commissioned, you will recognize the
remaining also?
Saroj Kumar Roy: Power Grid had commissioned its assets in March ’23 and March ’24. So, from that
date, whatever Rs. 781 Crore has been cal culated, that is up to December’ 25. Now, in
incremental order, we are going to add our unit one by one. So, that amount would be
decreasin g as by March, we ar e going to add four units. So, ATC will be on balance
four units. So, in decremental order , it would be coming. But Rs. 781 Crore is not the
final figure. Some amount will come from ATC in next financial also, b ut not to that
extent .
Murtuza Arsiwalla: Sure. Thank you so much for the clarity on these two issues. Thank you.

Saroj Kumar Roy: Our pleasure.
Moderator: Thank you. The next question is from the line of Prashant Kshirsagar from Unived Corporate Research Private Limited. Please go ahead.
Prashant Kshirsagar: I just want

ed to ask about Subansiri Lower Hydroelectric Project . What is the levelized tariff finalized for?
Saroj Kumar Roy: So, considering Rs. 28,000 Crore of CAPEX, the levelized tariff is around Rs. 7.50/ - per unit .
Prashant Kshirsagar: And will you be able to pass it on to the states or how, because they will be slightly reluctant to absorb. Or you will be getting some concessions from the Government in terms of period of the project?
Saroj Kumar Roy: Prashantji, you have be en tracking NHPC for more than 15 years and we are in regular touch. So, you have seen what the reasons for the delay in Subansiri Lower were . All these delays were beyond the control of the management and CERC is very much clear in their r egulation that any cost overrun beyond the control of the management shall be part of the capital cost for tariff determ ination. So, we are very much sure that whatever tariff and whatever cost we are going with to CERC , they will consider definitely . Our Director (Finance) also want s to add something in this regard.
Mahesh Kumar Sharma: Yes, as far as PPAs are concerned, all the PPAs are in place. So, we don't find any problem because once CERC determines the tariff, we will be getting all the tariff determined by CERC. So, we don't find any issue as of now as far as this tariff acceptanc e by the beneficiaries is concerned.
Prashant Kshirsagar: But sir, do you think CERC will go for Rs. 7.50/ - or they will slightly give you some concessions?
Mahesh Kumar Sharma: Yes, I got your point. CERC goes as per CERC regulations and in the regulation s, it is clearly defined that whenever any expenditure has been incurred, which is beyond the control of the company, in that case, it is allowed by the regulator. So, in this case, all the instances as Mr. Saroj has explained , are beyond the control of th e company . So, in all probability, CERC is going to allow that. We are pretty much sure about it. The petition which we are going to file, we are going to put up these facts very strongly so that there are very less chances of any sort of disallowance of any expenditure from CERC side. We are confident about it and we will take up the tariff petition very strongly.

Bhupender Gupta: I think Mr. Saroj and Director (Finance) have already explained the things regarding the high tariff. We all know that the reas ons which were beyond the control of the management as well as the company for which the project sta lled almost for 9 years and that fact is known to all the stakeholders including CERC also. As per the PPA, all the beneficiaries are already honoring that . Considering the power for 25 years, Rs. 7.50/ - is not a very high tariff. It is a peaking power as well as the clean power . We had discussions internally as well as with other stakehol ders and we do not foresee any deduction from the CERC side on the cost which we have incurred or which we have projected in our petition.
Prashant Kshirsagar: Okay, sir. Second question is on the Dibang Hydroelectric Project . In the opening remarks, sir, you said that one tender is pending. So, it is regarding which contract because in the earlier conference call, they had said about the dam tender was pending. So, can you help us with that?
Bhupender Gupta: Dam tender is pending but just want to share a good news. Today only , we opened the price bid and we are going to award this contract within this month only. With this, all the contracts will stand awarded and I am hopeful that the way the project is progressing , we are not looking back . The dam package which you were talki ng about was there in the last call . The same i s in this call also which I just told you but today only, we opened the bids and during this month , we will award that also.
Prashant Kshirsagar: So, this month you will be awarding that . Okay a nd just for the infor

mation, sir, how many players have bided for this dam?
Bhupender Gupta: Four bidders were there in this.
Prashant Kshirsagar: Four players, okay a nd the third question is about the Etalin Hydroelectric Project . You have been assigned the project from SJVN by the Power Ministry. So, just wanted to ask you whether this project will come in your balance sheet or it will rem ain in the

SJVN's balance sheet, what is the understanding now?
Bhupender Gupta: No, now this will be in the balance sheet of NHPC on ly. Due to some reasons like the size of the project and also our presence in the Dibang Valley already as this is in the Dibang Basin only, Ministry of Power decided that we can handle this in a much better manner. That was the only reason. So, now this w ill remain in the balance sheet of NHPC only.
Prashant Kshirsagar: And regarding the expenditure made by SJVN, you will be reimbursing them or is it like?

Bhupender Gupta: No, we will be reimbursing them based on t heir balance sheet because that is also a Navratna PSU and so , we will be definitely reimbursing that amount whatev er they have incurred and main expenditure on the plant i s basically of the land procurement only. That is t he main expenditure on this project as of now.
Prashant Kshirsagar: Okay. Sir, the other questions on the projects of Kamala and Upper Subansiri, the land acquisition has been done or is it in the process now?
Bhupender Gupta: For Kamala, we are in v ery advanced stages and the property survey and everything has already happened and now , only the award has to come from the district administration. But due to some Panchayat election, it got slightly delayed. But now , we are expecting this award anytime for Kamala, which we call Middle Subansiri also (1720MW). I just want to share with you that the PIB has already cleared this project. So, I hope that by the end of March, we will be having all the clearances including the land part also and we will be awarding the contract in April or May and start the construction accordingly.
Pras hant Kshirsagar: And so, you expect it to start in FY'27 by any chance?
Bhupender Gupta: Yes. A fter April, it can be started anytime because we have already tendered out one package for Kamala and I told you that PIB is already cleared. Some of our Environ ment Clearance , Forest Clearances and the Land Acquisition are in the last stage of approval. So, I am expecting that we will get all the approvals and c learances by the end of March a nd from May or maximum June onwards depending upon tenders. Sometimes, tenders get delayed due to one or the other reason of the bidders. If it doesn't happen, then I think we may conclude the tendering process of at least one package by April itself. So, from May onwards , the construction may get start in the Kamala Project.
Upper Subansiri, you just talked about, I think there may be a gap of around 4 to 5 months between the Middle Subansiri (Kam ala) and Upper Subansiri. There also, we have property surveys going on and we are in advanced stage of Forest Clearance . We may g et Environment Clearance also by April or May. So, there will be a gap of 4 to 5 months between Middle Subansiri and Upper Subansiri for construction start.
Prashant Kshirsagar: And for Etalin , when should one expect FY'27 or FY'28?
Bhupender Gupta: We will start the construction of Etalin from July or August .
Prashant Kshirsagar: From 2026?

Bhupender Gupta: Because everything is in place. Environment Clearance (EC) is in place, Forest Clearance (FC) is in place and almost 90% land acquisition has been done. Only 10% is remaining. Now, only 2 -3 days back, Honorable CM along with the Cabinet had a meeting there in Etalin . Some small issues which we are just facing at site, those will be resolved very soo

n a nd I am expecting that we may start the construction of Etalin also by June or July.
Prashant Kshirsagar: Okay, sir. And last question is regarding the terrain. Sir, you had experienced terrain, geological issues and various issues in Lower Subansiri. So, in case of Upper Subans iri and Middle Subansiri, that's Kamala, you expect that sort of hindrance to the project or it will be smooth kind of thing?
Bhupender Gupta: No, terrain is definitely very good there and better than Lower Subansiri. So, we don't expect much of issue whic h we faced in Lower Subansiri because the geological conditions are much better in these projects including Etalin also.
Prashant Kshirsagar: Also in the Dibang Valley also, you feel the terrain is much better than?
Bhupender Gupta: Dibang is much better. Now, I just want to tell you, in the powerhouse, which is underground cavern basically, w e are pro gressing very well and we are in very advanced stage of excavation, which is a major critical component of any hydro

project. Also the diversion tunnel portio n, there are six diversion tunnels and we are
almost at the fag end of completing those diversion tunnels. So, it shows itself that the
geology is much better. Now the dam package will also be awarded, so once we start
that, then definitely we will come to the exact geology of the dam. But as per our
investigation and geological surveys, the geology is very good in that area and we don't
foresee any issue or any delays because of these accounts. You can understand that we
can never avoid any surprise . But a s per our investigation, we don't foresee much
surprises in that area.
Moderator: Thank you. The next question is from the line of Rupesh Sankhe from Elara Capital.
Please go ahead.
Rupesh Sankhe: Sir, do you have Adjusted PAT number for Q3?
Saroj Kumar Ro y: Yes, Rupesh. So, while arriving at Adjusted PAT, you have to add just Rs. 116 Crore
loss given by Parbati -II. So, whatever reported number of PAT of Q3 is there, you just
add Rs. 116 Crore, you will arrive at Adjusted PAT because there is no any excepti onal
or one -off item in this quarter.

Rupesh Sankhe: Okay. The second question is, Sir, as a nodal agency, we have many projects on the
solar side where PPA and PSA are yet to be signed. So, how is the progress there?
Bhupender Gupta: Regarding this REIA, I think you are talking about.
Rupesh Sankhe: Yes, absolutely.
Bhupender Gupta: So, in that case, you know that the demand has slightly dried down in the RE sector
across the India in fact. All the REIAs are trying their best to do the PPAs. But recently
we got a very good response for our 2 -3 recently awarded renewable energy contract,
which is mainly FDRE. And for wind also, we are getting a very good response. We
got a mandate of 1,200 MW from Punjab. We got almost 15 bidders in that. As you
know that we have almost bid out around 20,000 MW. And out of that, we have done
the PPA only for 6,000 MW as of now. So, recently, all the RE developers have done
2 or 3 rounds of meetings with MNRE, Ministry of Power. One meeting was chaired
by Honorable Power Minis ter as we ll as Honorable MNRE Minister a nd they have told
their issues in that forum. Some of t hem are definitely resolvable a nd they were sure
to come out positively how we expedite the PPAs or PSAs to be signed as early as
possible. But ultimately, this has to be signed by the ultimate user or beneficiaries and
those are the distribution companies. So, there is some mismatch of adequacy plan, as
well as the demand, as well as the power which is available as of now. Majorly 2 -3
hindrance s are there for PPA s. One is the connectivity issue, because connectivity
which are now available are coming in 2029 -30. So, Discoms are slightly hesitant to
sign the PPA when the power will be available after 2 -3 years and there is a source of

power. Discoms are now planning that they will not sign the PPA for like standalone
solar. And they want that solar with the battery or some other alternati ve like solar plus
wind plus battery, because they want now 24 -hour round the clock (RTC) supply or
they want assured peak. So, because of this now change in requirement, some of the
PPAs are definitely getting stuck up. But I am still hopeful that in next 2 to 3 months,
we may sign PPA of around 2,000 to 3,000 MW also.
Rupesh Sankhe: Yes. Thank you, sir.
Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. And now, I
would like to hand over the conference to the management for closing comments.
Bhupender Gupta: I think we really had a very good conversation with our friends a nd I really appreciat e
the queries which they have raised because whenever we had conversation, we learn a
lot from our stakeholders , what are the short comings we have and how to fulfill those
shortcomings. So, I really thank Elara Securities as well as all querists who have joined

through this call. I really thank all of you a nd I assure everyone that NHPC has a bright
future in terms of completion of the project which are under construction, in terms of
expansion, the new projects which are coming up, whether these are in hy dro sector,
whether these are in pump storage sector, w hether these are in RE sector. We are trying
to see how we can have some inorganic or organic growth, whatever possible. So, that
also we are working upon a nd I assure everyone that our results of this entire 12 months
will be very good and w e will have a much better year this year. Thank you so much.
Moderator: Thank you. On behalf of Elara Securities, that concludes this conference. Thank you

for joining us and you may now disconnect your lines.

Call: May 2026

CIN: L40101HR1975GOI032564

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Sub: Transcript of Conference Call for discussion on financial results for the quarter and year ended on March 31, 2026
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Sir/ ■■■■■,

In reference to our earlier letter dated 18.05.2026 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, it is to inform that the transcript of the earning conference call with analysts and investors held on Monday, May 18, 2026, with respect to the financial results of the Company for the quarter and year ended on March 31, 2026 is attached herewith and has also been made available on website of the Company at the link:
https://www.nhpcindia.com/assests/pzi_public/gallery/17797050360.pdf .

It is to confirm that no Unpublished Price Sensitive Information was shared in the above referred conference call.

This is for your information and records.

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"NHPC Limited Q4 FY’26 Earnings Conference Call”

May 18 , 202 6

MANAGEMENT : MR. SANJAY KUMAR SINGH – DIRECTOR (PROJECTS),
NHPC LIMITED
MR. SUPRAKASH ADHIKARI – DIRECTOR (TECHNICAL),
NHPC LIMITED
MR. MAHESH KUMAR SHARMA – DIRECTOR (FINANCE),
NHPC LIMITED

MODERATOR : MR. RUPESH SANKHE – ELARA SECURITIES (INDIA)
PRIVATE LIMITED

Moderator: Ladies and Gentlemen , Good Day and Welcome to NHPC Limited Q4 FY’26 Earnings Conference Call hosted by Elara Securities (India) Private Limited.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rupesh S ankhe from Elara Securities (India) Private Limited. Thank you and over to you, sir.
Rupesh Sankhe: Good afternoon, every one. On behalf of Elara Securities, we welcome you all for the Q4 FY’26 Conference Call of NHPC.
I take this opportunity to welcome the management of NHPC , represented by Mr. Sanjay Kumar Singh – Director (Projects), Mr. Su prakash Adhikari – Director (Tech nical) and Mr. Mahesh Kumar Sharma – Director (Finance). So, we will begin the call with a “Brief Overview by the Management,” followed by “Q&A. ”
I will now hand over the call to Mr. Sanjay Kumar Singh , Director (Projects) for his Opening Remarks . Over to you, sir.
Sanjay Kumar Singh: Good afternoon, friends.
NHPC Board has adopted Annual Financial Results for the period ended 31st March '26 in its meeting held on 15th May'26 and the same has already been communicated to the exchanges. By now, I hope you all would have got a chance to go through the quarterly and yearly set of numbers.
First, I will touch upon major highlights of the financial results and the detailed growth plan. Fu rther , detailed analysis of the results shall be shared by our Director (Finance), Shri Mahesh Kumar Sharma ji.
■ Brief highlights of the consolidated fina ncial results and important up dates on the Company are as under :

NHPC Limited
May 18, 2026

■ During FY ’26, our power stations have achieved generation of 29,619 million units as against 25,548 million units generated in corresponding period of the previous year, which is higher by about 16% or 4,071 million units. This is mainly due to the commissioning of Parbati-II Power Station and a subsequent increase in generation of Par bati-III Power Station, commissioning of Karnisar Solar Power Station, part commission ing of Subans iri Lower Project, increase in ge neration of Uri-I Power Station and power stations of NHDC.

■ Our PAF for FY’26 stands at 74.75% against the corresponding previous period PAF of 78.87%, which is about 4% lower. This is mainly due to shut down for some period in D ulhasti, Chamera -III, TLDP -IV Power Station on account of MIV repair works, res toration of sill beam and repair of radial gates etc.

■ During FY’26 , company has earned revenue from operations of Rs. 11,615 Crore as against Rs. 10,380 Crore in the corresponding previous period, which is about 12% higher.

■ During FY’26 , company has earned PAT of Rs. 3,766 Crore as against Rs. 3,007 Crore of corresponding period, which is 25% higher.

■ I am very pleased and proud to share that we have commissioned four units of Subans iri Lower Project (250 MW each) out of total eight units. Remaining four units are expected to be commissioned one -by-one till March '27. The anticipated cost of the project is Rs. 30,072 Crore and we have incurred Rs. 26,092 Crore till March '26.

■ Investment approval for implementation of Uri -I Stage -II HE Project of 240 MW and D ulhast i Stage -II HE project of 260 MW in UT of J&K at an estimated cost of Rs. 2,709 Crore and Rs. 2,994 Crore respectively at completion level has been accorded by NH PC Board on 20th February '26. Further, an implementation agreement has been signed between NH PC Limited and J&K State Power

Development Corporation L imited on 27th March '2

6 for development of these
projects. Civil Contracts for these projects have also been awarded in March '26 and scheduled completion o f both the projects is November '29.

■ Cabinet Committee on Economic Affairs has approved investment of Rs. 26,070 Crore for construction of Kam ala HE Project of capacity 1,720 MW in Arunachal Pradesh on 8th April '26. The project will be implemented through a joint ve nture company between NH PC Limited and the Government of Arunachal Pradesh. The formation of subsidiary is in progress. Further, environment and forest clearances are also in process for the project.

■ In respect of D ibang Multipurpose Project of 2,880 MW, all major contracts have been awarded including the dam package of Rs. 14,446 Crore which has recently been awarded in the month of April '26. We have already shared that we have achieved the crucial Nal la diversion , a significant stride toward s ensuring all -weather road access to the project site and the work is going on in full -fledged manner. The estimated cost of the project is Rs. 31,876 Crore which includes grant of Rs. 6,716 Crore for flood moderation and enabling infrastructure works , out of which we have already incurred Rs. 4,504 Crore till March '26 and the scheduled comple tion of the project is February '32.

■ In respect of Teesta -VI HE Project of 500 MW capacity, the work is progressing well at site. Overall, 72% physical progress of the project has been achieved. The estimated cost of the project is Rs. 9,167 Crore out of which we have already incurred expenditure of Rs. 5,231 Crore till Mar ch'26. The expected commissioning sched ule of the project is September '29.

■ Jal Power Corporation Limited's Rangit -IV HE Project of 120 MW is also progressing well. Overall, 96% physical progress of the project has been achieved. Boxing up of all three units has been completed. The project is expected to be commissioned by November '26. The estimated cost of the project is Rs. 1,889

Crore out of which we have already incurred expenditure of Rs. 1,792 Crore till

March '26. Further, we are in p rocess of merger of JPCL with NHPC and second motion applic ation has already been filed with Ministry of Corporate Affairs.

■ In respect of Ratle HE project of 850 MW in UT of J&K, the work is progressing well at the project site. Overall, 29% physical prog ress of the project has been achieved. The estimated cost of the project is Rs. 5,282 Crore and we have incurred expenditure of Rs. 1,538 Crore till March '26. The project is expected to be commissioned by November '28.

■ Presently, NHPC through its subsidiary, CVPPL is executing three projects in Chenab, that is in UT of J&K.

■ Construction of Pakal Dul HE Project of 1,000 MW is progressing well. Overall, 80% physical progress of the project has been achieved. The estimated cost of the project is Rs. 12,728 Crore out of which we have incurred expenditure of Rs. 9,141 Crore till March '26. The project is expected to be commissioned by the 4th quarter of FY'27.

■ In respect of Kiru HE Project of 624 MW, overall 82% physical progress of the project has been achieved. We have incurred expenditure of Rs. 3,637 Crore till March '26 out of the estimated cost of Rs. 5,409 Crore and estimated commissioning of the project i s 4th quarter of FY'27.

■ In respect of Kwar HE Project of 540 MW, the work is progressing well at site. Overall , 33% physical progress of the project has been achieved. The estimated cost of the project is Rs. 4,526 Crore out of which we have incurred expenditure of Rs. 1,708 Crore till March '26 and the project is scheduled to be comm issioned by March '28.

■ The restoration work of Teesta -V Power Station is under progress and it is expected that the power statio n will start generation in June '26.

■ Apart from the above unde

r -construction projects, NHPC is also actively pursuing to start works of projects such as Sawalkot of 1,856 MW, Subansiri Upper of 1,605 MW and Etalin of 3,097 MW which are at different stages of clearances.

■ In respect of 1,000 MW capacity solar power projects allotted under CPSU Scheme , Tranche -II, we have already commissioned 3 00 MW Project in Bikaner, Rajasthan. Further , 100 MW Project in Andhra Pradesh and 600 MW Project in Gujarat are expe cted to be commissioned by June '26 and December '26 respectively.

■ Our other construction solar projects like 40 MW Solar Power Project in Ganjam, Odisha and 50 MW Floating Solar Project in Kerala are expe cted to be completed by October '26 and March '27 respectively.

■ Further , two projects of 200 MW Grid Connected Solar Photovoltaic Power Projects located in Gujarat State Electricity Board Corporation L imited's, RE Park at Kha vda, Gujarat (Stage -I & Stage -III) are expe cted to be commissioned by June'26 an d December '26 respectively.

■ NHPC is exploring to develop Pumped Storage Projects in the State of Maharashtra, Odisha, Madhya Pradesh, Gujarat, Chhattisgarh, Rajasthan and Andhra Pradesh. Currently , we have 18 GW PSPs which are at DPR/PFR stage. Further , we are expecting to start construction of Indira Sagar -Omkareshwar PSP of 640 MW in the current financial year.

This is all from my side. Now , I request Director (Finance), Shri Mahesh Sharma

ji to discuss financial results in detail .
Mahesh Kumar Sharma : Thank you. Good afternoon, friend s. I am going to share with you detai led quarterly and a nnual set of numbers with the detailed analysis.

NHPC Board has adopted annual financial results for the period -ended 31st March '26 in its meeting held on 15th May'26 and the same has already been communicated to exchanges.

Detailed highlights of the consolidated financial results and important updates on the company are as under :

■ During FY'26 , our power stations have achieved generation of 29 ,619 million units as against 25 ,548 million units generated in corresponding period of the previous year , which is higher by about 16% or 4 ,071 million units.

During 4th Quarter FY'26 , our power stations have achieved generation of 3,770 million units as against 3 ,150 million units generated in corresponding period of the previous year which is higher by about 20% or 620 million units.

■ Our PAF for FY'26 stands at 74.75% against the corresponding previous period PAF of 78.87% which is about 4% lower.

Our PAF for 4th Quarter FY'26 stands at 62.47% against the corresponding previous period PAF of 66.84% which is about 4% lower.

■ For FY'26 , Company has earned Revenue from Operation of Rs. 11,615 Crore as against Rs. 10,380 Crore in the corresponding previous period which is about 12% higher or by Rs. 1,235 Crore . The increase in revenue is mainly due to higher generation on account of commissioning of Parbati-II Power Station, part commissioning of Subans iri Lower Project and comm issioning of Karnisar Solar Power Station.

During Q4 FY'26 , company has earned Revenue from Operation of Rs. 2,816 Crore as against Rs. 2,347 Crore in the corresponding previous period which is about 20% higher or by Rs. 469 Crore . The increase in

revenue is mainly due to higher generation on account of newly commissioned power station.

■ Other income for FY'26 is of the order of Rs. 1,071 Crore in comparison to Rs. 1,235 Crore during the corresponding previous period , which is about 13% lower or by Rs. 164 Crore . This is mainly due to decrease in realization of business interruption loss against insurance claim by Rs. 466 Crore mainly related to T eesta-V Power Station (current period – nil an d previous period - Rs. 466 Crore). This decrease is offset by increase in income from insurance claim

by Rs. 321 Crore mainly in respect of T eesta-
V Power Station of Rs. 254 Crore and Par bati-II Power Station of Rs. 121 Crore .

Other income for Q4 FY'26 is of the order of Rs. 305 Crore in comparison to Rs. 211 Crore during the corresponding previous period , which is about 45% higher or Rs. 94 Crore . This is mainly due to increase in income from insurance claim by Rs. 69 Crore mainly related to T eesta-V Power Station and increase in dividend income by Rs. 32 Crore .

■ During FY'26 , the Generation Expenses have gone up from Rs. 799 Crore to Rs. 821 Crore i.e. by Rs. 22 Crore which is due to higher water cess on account of higher generation in power stations situated in J&K and Uttarakhand.

During Q4 FY’26 , the Generation Expenses have gone up from Rs. 98 Crore to Rs. 103 Crore i.e. by Rs. 5 Crore which is due to higher water cess on account of higher generation in power stations situated in J&K and Uttarakhand.

■ During FY’26 , the Employee Benefits Expense has come down from Rs. 1,823 Crore to Rs. 1,498 Crore i.e. by Rs. 325 Crore which is mainly due to decrease in Employee Remuneration - Pay Anomaly by Rs. 383 Crore which is offset by increase due to increment, DA and other factors.

During Q4 FY’26 , the Employee Benefits Expense has come down from Rs. 421 Crore to Rs. 402 Crore i.e. by Rs. 19 Crore showing marginal decrease.

■ During FY’26 , there has been increase in the Finance Costs from Rs. 1,189 Crore to Rs. 1,423 Crore i.e. by Rs. 234 Crore which is mainly due to increase in interest on bonds , term loans , etc. by Rs. 877 Crore related to Parbati-II, Subansi ri Lower and Karnisar Solar Power Station charged to P&L since their commissioning which is offset by decrease in interest on arbitration and court cases by Rs. 677 Crore .

During Q4 FY’26 , there has been increase in the Finance C osts from nega tive Rs. 12 Crore to Rs. 574 Crore i.e. by Rs. 586 Crore which is mainly due to increase in interest on bonds , term loans , etc. by Rs. 359 Crore mainly related to Par bati-II, Subansi ri Lower and Karnisar Solar Power Station charged to profit & loss since their commissioning , increase in interest on arbitration and court cases by Rs. 110 Crore and interest to beneficiary by Rs. 108 Crore .

■ During FY’26 , the Depreciation, Amortization and Impairment Expenses have gone up from Rs. 1,193 Crore to Rs. 1,976 Crore i.e. by Rs. 783 Crore which is mainly due to depreciation and amortization in respect of power station commission ed during FY ’25-26.

During Q4 FY’26 , the Depreciation, Amortization and Impairment Expenses have gone up from Rs. 315 Crore to Rs. 642 Crore i.e. by Rs. 327 Crore which is mainly due to depreciation and amortization in respect of power station commission ed during FY ’25-26.

■ During FY’26 , Other Expenses have gone up from Rs. 2,122 Crore to Rs. 4,060 Crore means by Rs. 1,938 Crore mainly due to increase in general network access charges by Rs. 822 Crore , increase in insurance expense

by Rs. 476 Crore , increase in losses out of insurance claims by Rs. 225 Crore , increase in provision by Rs. 168 Crore and increase in R&M expenses b y Rs. 111 Crore etc.

During Q4 FY’26 , Other Expenses have gone up from Rs. 623 Crore to Rs. 1,115 Crore i.e. by Rs. 492 Crore which is mainly due to the increase in provision by Rs. 173 Crore , increase in insurance expense by Rs. 154 Crore , increase in losses out of insurance claims by Rs. 66 Crore , increase in R&M expenses by Rs. 40 Crore etc.

■ During FY’26 , Tax E xpenses have come down from Rs. 1,355 Crore to negative Rs. 327 Crore i.e. by Rs. 1,682 Crore due to deferred tax adjustment and recognition of MAT Credit .

During Q4 FY’26 , Tax E xpenses have come down from Rs. 247 Crore to negative Rs. 1,823 Crore i.e. by R

s. 2070 Crore due to deferred tax
adjustment and recognition of MAT Credit .

■ During FY'26 , we have earned Profit After Tax of Rs. 3,766 Crore as against Rs. 3,007 Crore of corresponding previous period which is up by Rs. 759 Crore or 25% approx. and the reasons for decrease or increase is in the line items , we have just discussed.

During Q4 FY'26 , we have earned Profit After Tax of Rs. 1,460 Crore as against Rs. 854 Crore of corresponding previous period , which is up by Rs. 606 Crore or 71% approx. and the reasons for increase in the line items , we have just discussed.

■ During FY'26 , the Incentives positions are as under :
FY'26 - Secondary Energy was Rs. 570 Crore , PAF-based Incentive was Rs. 297 Crore , Deviation C harges was Rs. 46 Crore and total was Rs. 913 Crore . In the corresponding FY '25 - Secondary Energy was Rs. 545 Crore ,

PAF-based Incentive was Rs. 269 Crore , Deviation Charges was Rs. 51 Crore and total was Rs. 865 Crore .

■ During Q4 FY'26 , the Incentives Position are as under :
Q4 FY'26 - Secondary Energy was Rs. 109 Crore , PAF-based Incentives was Rs. 245 Crore , Deviation Charges was Rs. 12 Crore and total was Rs. 366 Crore . In corresponding Q4 FY '25, the position of Secondary Energy was Rs. 124 Crore , PAF-based Incentive was Rs. 217 Crore , Deviation Charges was Rs. 9 Crore and t otal was Rs. 350 Crore .

■ CAPEX during FY'26 is Rs. 13,689 Crore as against Rs. 11,596 Crore in the corresponding period of previous year on consolidated basis.

■ The Board of Directors has recommended the payment of final dividend @ 2.10% i.e. 21 paise per equity share in addition to interim dividend @ 14%, i.e. Rs. 1.40 per equity share , resulting in total dividend @ 16.10% , i.e. Rs. 1.61 per equity share on the face value of paid -up equity share of Rs. 10 each for the FY'25-26.

Other Major Highlights of the Company :
■ On realization front, NHPC has received Rs. 10,499 Crore from the beneficiaries against sale of energy during FY'26 as compared to Rs. 9,943 Crore in the corresponding period of previous year.

■ Trade receivables as on 31st March' 26 stands at Rs. 2,630 Crore as against Rs. 2,573 Crore as on 31st March' 25. This includes Rs. 1,887 Crore as unbilled debtors as on 31st March' 26 as against Rs. 1,587 Crore as on 31st March' 25.

■ The net receivables out of total report ed trade receivables as on 31st March' 2026 are as under :

Reported Trade Rece ivables is Rs. 2,630 Crore , less unbilled debtors of Rs. 1,887 Crore , Billed Re ceivables is Rs. 743 Crore less Debtors dues converted into installments under Electricity (Late Payment Surcharge Rules) and other orders is Rs. 39 Crore , net amount due is Rs. 704 Crore . Dues more than 45 days is Rs. 242 Crore .

This is all from my side. Now, the forum is open for Q&A. Thank you.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar: Good afternoon, sir and thanks for the opportunity. My first question , is it possible to share the Adjusted PAT for the quarter? And what was the profit in Subansi ri and Pa rbati-II in Q4 and the fiscal?

Saroj Kumar Roy: Mohit, You have seen the Reported PAT. So, if you want to reach at the Adjusted PAT, as D (F) sir has shared with you that there was one -off tax adjustment in DTL , because we all know that we have opted for the lower tax regime of 25% under Sec. 115BAA as MAT Credit facility is going to be discontinued from FY'27 onwards . Therefore , whatever deferred tax liability we had created at higher rate , that needs to be restricted at 25%. So, their impact is around Rs. 1,156 Crore which we have already reported under note #8 of our financial result s. So, net impact of

this deferred tax liability adjustment comes to around Rs. 900 Crore . So, if you reduce Rs. 900 Crore from the Reported PAT, you will arrive at Adjusted PAT. That is the one adjustment you have to carry out in our Reported PAT vis-à-vis our Adjusted PAT.
Mohit Kumar: Understood. That was standalone a nd consolidated also, right?
Saroj Kumar Roy: Of course .

Mohit Kumar: What is the profit in Subansi ri and Par bati-II in Q4 and fiscal? We understand that the PAF was lower in quarter for Subansiri and Parbati-II. What is the status of the petition of those two assets?
Saroj Kumar Roy: So far the profitability of Par bati-II and SLP is concerned, we have earned Rs. 104 Crore profit from Par bati-II in Q4 and Rs. 487 Crore profit from SLP in Q4. On yearly basis, Par bati-II has given a loss of Rs. 150 Crore whereas on yearly basis, SLP has given a total profit of Rs. 495 Crore .
Mohit Kumar: Why Par bati-III seems to have been shut for the last few months , is there any particular reason?
Saroj Kumar Roy: Yes, actually some maintenance wa s going on there and th ese units are already resumed.
Mohit Kumar: Okay, understood sir. Thank you and all the best. I will come back in the queue.
Moderator: We have next question from the line of Aniket Mittal from SBI Mutual Fund. Please go ahead.
Aniket Mittal : Thank you. Just a follow -up on the previous question actually. So , you said that Parbati reported a profit in the 4th Quarter versus a loss for the full year. What is leading to the profit improvement?
Saroj Kumar Roy: Yes, so basically at the end of the financial ye ar, we compute the shortfall of energy which we are supposed to recover. So in Par bati-II, we have shortfall of energy to the extent of Rs. 200 Crore which has been booked under revenue. That is the reason Par bati-II has given the profit of Rs. 104 Crore in Q4.
Aniket Mittal: Okay . What is the percentage at which we are billing Parbati and Subansiri ?
Saroj Kumar Roy: We have already started billing of Par bati-II based on the interim tariff notification of CERC. So 75% billing , we are already doing there.
Aniket Mittal: And in case of Subans iri?

Saroj Kumar Roy: For Subans iri, we are waiting for the interim tariff notification of C ERC and we will be starting it once we get the interim tariff notification of Subans iri Lower .
Aniket Mittal : Okay, but currently till the time the interim order come s in, what is the billing looking like?
Saroj Kumar Roy : We have been booking our revenue based on the 80% of the total expected AFC in Subans iri Lower and Par bati-II, both. But billing , we can start only after getting interim tariff order from C ERC.
Aniket Mittal : Understood . So now the billing for Par bati is 75 a nd just on the tariff adoption, I know the hearing for Par bati has been delayed. When do we see this tariff reduction come through for both Subans iri and Par bati?
Mahesh Kumar Sharma: Aniket, we have the next hearing date of Par bati-II on 25th of this month only. So , there we are expecting th at orders will be reserved. Hopefully , on 25th May, this tariff p etition hearing will be complete d and the order will be reserved . We will be expecting the final orders by the end of this quarter.
Aniket Mittal : And Subans iri, we have done the tariff filing?
Mahesh Kumar Sharma: For Subans iri, we have already filed the tariff p etition and we are expect ing interim tariff order first , thereafter, there will be a hearing for provisional order . As in case of Par bati-II, first interim order was issued by C ERC. After that, we have been able to bill at the rate of 75% of the file d tariff. Similarly, in case of Subans iri Lower, C ERC will be issuing this interim order first and thereafter , we are expecting in another six months or so after this interim tariff is issued by C ERC in

respe

ct of Subans iri Lower.
Aniket Mittal: Just to und erstand, so let us say if you were to bill at 75% of revenue, what is the
under -recovery on profits that comes through , what is the expected profit?
Mahesh Kumar Sharma: The point is that, as Mr. Saroj has said, that we are booking the revenue at 80% of
the tariff file d with the C ERC as we are taking a conservative approach. We are
booking at the rate of 80% of the revenue and 75% is just for the billing part. Once

this order is there and our expectation is not less than 80%, in case there is a higher
interim order , in that case we will book the difference and along with interest, the
total billing will be done at that point of time after the order is issued.
Saroj Kumar Roy : Aniket, just to reply to your question, so far we have booked Rs. 1,320 Crore of
revenue in Par bati-II at 80% of the AFC. If you gross up this Rs. 1,320 Crore , you
will arrive at somewhere Rs. 1,600-odd Crore . So, there is an under -recovery of
Rs. 300 Crore if you look at the file d tariff petition of Par bati-II. So, Rs. 300 Crore
kind of under -recovery in Par bati-II and similarly, if you calculate the total AFC
of Subans iri Lo wer also, there also we have Rs. 150 Crore kind of under -recovery.
So, altogether Par bati-II and Subans iri Lo wer, Rs. 450 Crore of revenue has not
been booke d in our book of accounts if you look at the tariff petition filed in respect
of these two projects.
Aniket Mittal: Understood. Fairly clear. Just on Teesta -V, just to recollect, what has been the
impact in this year? Just to clarify, in Teesta -V, there is no insurance coverage over
here anymore. When do we expect that project to restart as well?
Saroj Kumar Roy : So, there is no revenue, only expenditure has been there in T eesta-V. So, there is
nothing top -line contribution from T eesta-V, but going forward, we are very much
sure that June onwards, we are going to have operation to get resumed in respect
of Teesta-V. So, by end of June onwards, you can see some top -line activity in
Teesta-V also.
Aniket Mittal: And the under -recovery full year would have been how much in T eesta-V?
Saroj Kumar Roy : In respect of T eesta-V, we have total AFC of around Rs. 500 Crore . So, if you
exclude the tax element, it would be around Rs. 400 Crore .
Aniket Mittal: And just a clarification . This Rs. 150 Crore of under -recovery in Subans iri is for
how many units?
Saroj Kumar Roy : Three units.
Aniket Mittal: I got that. I will come back for any further questions. Thank you.

Moderator: We have next question from the line of Murtaza from Kot ak. Please go ahead.
Murtaza : Hi, sir. A lot of my questions were related to Par bati-II and Subans iri. But , just to
understand this correctly, when you talk about Rs. 1,600 Crore revenue for Par bati-
II, is it reasonable then to say that Rs. 150 Crore loss which you have for FY'26
would have been about Rs. 150 Crore profit . Is that the right way to think of it or
is there anything out of it ?
Saroj Kumar Roy: Exactly , you have explained very correctly.
Murtaza: Okay a nd just to understand on this 4th quarter where you talked about booking the
additional revenue because of the shortfall in generation, but does that still come
within? So, is it fair to say that in your reported financials for Par bati-II, for
instance, you accounted Rs. 1,320 Crore of revenue or is it slightly more because
of that additional Rs. 200 Crore that you talked about?
Saroj Kumar Roy: So, that includes Rs. 200 Crore as well.
Murtaza : Rs. 1,320 Crore includes Rs. 200 Crore as well?
Saroj Kumar Roy: Of course.
Murtaza: Okay. Thank you.
Moderator: We have next question from the line of Ragini Pandey from Elara Capital. Please
go ahead.
Ragini Pandey: So, from which year we can see the commissioning of your PSP projects? And
w

hat will be the reali zation for this plant and the CAPEX for these projects?
Saroj Kumar Roy: Ragini, we have not started any construction of PSP project s. So, it is very early to
say about reali zation and other thin g because the fastest running project in the
ambit of this PSP project is Omkareshwar -Indira Sagar (640 MW) Project . We are
expecting to start construction activities there during the current fiscal. Once we

get everything in place and we start construction activities, we will have better

clarity about the reali zation, the tariff and everything. So, give us some time to share more facts about this Omkareshwar -Indira Sagar Project .

Ragini Pandey: Yes and as a REIA, are you seeing any slowdown in your renewable tendering this year? And there was a backlog of around 40 GW in PPA signing. So, any improvement on that?

Saroj Kumar Roy: So, we have not done any tendering in recent past. Whatever tendering we had made, we have already awarded around 23 GW kind of capacity, out of which 13 GW kind of likely PPA and PSA signing we are hoping, out of which 7 GW approx. we have already signed. So, going forward, we will again have more clarity in months to come in respect of REIA projects also.

Ragini Pandey: Okay. And are you expecting any slowdown in generation given this is a El Nino year and there are expe ctation of weaker monsoon this year?

Saroj Kumar Roy: No. As you are aware, you have been tracking NHPC for years, most of our power stations are snow -fed. So, certainly good monsoon will be helping us for better generation but our generation currently als o is going fairly well.

Ragini Pandey: I want to know the normative PAF of your plants?

Saroj Kumar Roy: Consolidated it is 8 2%, standalone it is 8 0%.

Ragini Pandey: Okay. This year the overall P AF was less than 80%, right?

Saroj Kumar Roy: There are two things. If you look at the actual PAF with Teesta -V, it is certainly lower, 75%. But if you exclude Teesta -V, it is 80%. So, Teesta -V has not contributed anything during the last fiscal as well as the corresponding fiscal. In both the fiscal, if you exclud e Teesta -V, you will get 80% kind of PAF. But, if you include Teesta -V, certainly it is 75%.

Ragini Pandey: Yes, okay. Thank you.

Moderator: We have next question from the line of Riya Mehta from Equitas Investments. Please go ahead.

Riya Mehta: Thank you so much for giving me the opportunity. Sir, my first question is in terms of what will be our equity value for next year and if you could just help me for the next couple of years?

Saroj Kumar Roy: I think, you are talking about regulated equity?

Riya Meht a: Yes.

Saroj Kumar Roy: Current regulated equity, including Parbati -II, is Rs. 18,30 9 Crore . In next financial year, if you consider the capacity addition, we are having capacity addition of 1,250 MW of Subansiri, out of which 250 MW we have already commi ssioned . So, balance 1,000 MW would be coming from Subansiri, then we have 120 MW Rangit -IV, then 1,000 MW Pakal Dul, 624 MW Kiru. So, all these hydro assets, we are goi ng to commission 2,994 MW in FY' 27. Apart from that, we have 1,190 MW of solar assets a lso, which are going to be commissioned in the current fiscal. So, altogether, if you look at the hydro regulated equity by end of FY'27, it would be Rs. 30,672 Crore .

Riya Mehta: Okay. Got it. My second question is in terms of what kind of construction cost increase are we seeing? Do we have a methodology that we can pass on the cost or this will just increase the regulated income?

Mahesh Kumar Sharma: As far as this increase in construction cost is concerned, this being a cost plus , everything is allowe d by CERC . Once it is beyond our control, things are all passed on. So, there is no such concern as far as this is concerned. We are having checks and balances regarding how the

cost can be kept in check. Just because of certain reasons beyond our control, like geological surprises, sometimes there are design changes and other ev ents happen in the project site , definitely, there are some increase. In any case, all those increases are taken care of as per the regulations. Whatever cost beyond our control, th at is definitely allowed by the CERC. So, we do not have any issues on that front.

Riya Mehta: Okay. What is the reason for a negative regulated income for this quarter?

Saroj Kumar Roy: You are talking about regulated deferral account?

Riya Mehta: Yes, regulated income.

Saroj Kumar Roy: That is basically, as we have discussed, in our opening remark, there has been reversal of Rs. 1,156 Crore of DTL in the line item of deferred tax liability. So, similar kind of reversal we have to make under rate regulated asset also. That has been reflected under regulated deferral account. That impact is there basically. This we have disclosed in note #8 of our financial results. That is taking care of this concern.
Riya Mehta: Right. With the Subansiri all the three units functioning and Parbati also coming and Teesta -V, what is the kind of volume number which we would see for the next year, if you could he lp us?
Saroj Kumar Roy: So, as of now, four units have already been commissioned. The design energy of this project is 7,421 million units. Going forward, more four units are coming in a phased manner. If you look at the expected generation of Subansiri Lo wer, we are expecting somewhere 5,000 million units to 5,500 million units of generation from Subansiri Lower.
Riya Mehta: This is incremental for FY'27, right?
Saroj Kumar Roy: This is expected generation from Subansiri Lower, not incremental. We have se en generation of 506 million units in Subansiri Lower during the last fiscal.
Riya Mehta: Got it. Thank you so much. That is it.
Moderator: We have next question from the line of Akash Mehta from Canara HSBC Life. Please go ahead.
Akash Mehta: Hi, sir. Tha nks for taking my question. Can you just help us again with the timeline in terms of the CERC tariffs that you have mentioned for Parbati and Subansiri

both? If everything goes well, from when can we see the recognition of revenue at 100% for both of them?
Mahesh Kumar Sharma: Akash, as I already explained, Parbati -II petition i s in the final stage of hearing and we are expec ting an order from CERC by 30th of June.
Akash Mehta: Once the order comes, after that you said that you will take around few months after which you can recognize it or immediately from the quarter?
Mahesh Kumar Sharma: No. As far as recognition is concerned, in case the order comes within a quarter, then we will definitely account for the differential revenue along with interest compon ent also, because the interest is allowed from the date of COD. In that case, we will completely be billing, part billing will be over and we will be recognizing the revenue in this quarter itself if the order comes. As far as recognition is concerned, the re is no deferral.
Akash Mehta: Sure. Similarly, for Subansiri, you said after five to six months we could expect?
Mahesh Kumar Sharma: For Subansiri, we have already filed the petition for our interim tariff. So, first, we are just waiting how much interi m tariff CERC is going to allow us and thereafter, in subsequent hearings, like in case of Parbati -II, after interim we are expecting that within three to four months. But in case of Subansiri, as this is a very old project, so we expect that not more than six months CERC will take to issue the final order. In that case, we will be having a fair idea of where we are landing in terms of revenue. As of now, we are booking 80% of the revenue of the AFC as per tariff petition which we have filed.
Akash Mehta: This Subansiri, it will be fo

r the entire capacity, right, that whatever ?
Mahesh Kumar Sharma: For Subansiri, we have filed for thre e units which were commissioned and as the units adds on, we will be filing supplementary tariff petitions with CERC. We will keep on updating. CERC will be allowing us on projected basis also. But, once all the units are complete, the final petition will be filed at that point of time. But, in that case, CERC will be allowing us interim tariff for billing purpose also.

Akash Mehta: For the three units once the final order comes through, then you can start recognizing it for Subansiri, right?
Mahesh Kumar Sharma: Yes.
Akash Mehta: Okay. Just the second question, are there anything else in terms of the future projects other than, I mean, Pakal Dul or Kiru or any other project where you are seeing cost escalation where somethi ng similar could kind of happen ?
Saroj Kumar Roy: Akash, cost esc alation in hydro projects are very inherent. You cannot rule out. Even though if there is no time overrun, there will be cost overrun. Because when we award at a particular price level, that award cost is not freezed. That is basically at a particular pric e level. So, if you are going forward with that award for four,

five, six years, we have to pay the price variation. So, cost overrun is very inherent in any hydropower project . Now if any time overrun is there, that can also lead to cost overrun. So, that varies project -to-project. It is not necessary that every project will have their time overrun. There are many projects which we have commissioned in past ahead of schedule also. So, it is not that every project will see its time overrun. It depends. And accordingly, based on the two broad factor as we have discussed - beyon d the control of the management and within the control of the management , based on which CERC allows the cost overrun.

Akash Mehta: Sure. That is helpful. Any of the future projects are facing material changes in cost or it is not that much?

Saroj Kumar Roy: Not material because project s like Pakal Dul, Kiru, Kwar are doing pretty well and whatever timeline we have shared with you, we are going to commission these projects by that timeline. So, nothing extraordinary you will find there.

Akash Mehta: Okay, that is quite helpful. Thanks a lot.

Moderator: We have next question from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Thank you for the opportunit y once again. My first question, what led to profit for Subansiri in the quarter, given that the PAF and generation is lower in the quarter, and also you are booking at lower tariff, right? Have you booked any shortfall in generation in Subansiri also?

Saroj Kumar Roy: No. Mohit, we need to understand that whatever AFC of any project we file, that is basically based on the capital cost of the project. If we are going to the CERC with the original cost of the project without any deduction and then whatever expected AFC is there from that particular project, 506 million units of generation we have from Subansiri in the last fiscal, so their income has been booked corresponding to the capital cost of these units which we have commissioned . If you are taking the entire capital cost of those units, for example, if we have commissioned three units of Subansiri, their corresponding capital cost is coming around Rs, 20,000 -odd Crore . If you take tariff based on Rs. 20,000 Crore of capital cost and if you multiply the number of units generated, then certainly this is the top line, and apart from that, whatever actual expenditure has been there, after that you are going to have profit. If any cut is there in the top line and expenditure are coming 100%, then only you wi ll look at some losses and everything. But if revenue and expenditure both are compa tible to each other in line with the AFC c

omponent, why any loss would come?

Mohit Kumar: This is my question, because we are looking at a much lower tariff, that is the reason I am asking .

Saroj Kumar Roy: So, we have not taken any much lower tariff. The only thing we have done 80% of the AFC, and there if you gross it up, then Rs. 150 Crore of under -recovery we have seen in Subansiri Lower, which we have discussed.

Mohit Kumar: Understood. My second question, why shortfall in generation has been booked in Parbati -II? Are we going to argue for lower design energy for the power plant?

Saroj Kumar Roy: No, it is too early to argue for the lower design energy. Parbati has see n only one year and you have seen that some cloudburst issue and everything had incurred

there in Parbati -II just one year back, early monsoon. For challenging the design energy, you have to wait for at least three years.

Mohit Kumar: How can you book the shortfall in generation? Is it allowed in the regulation?

Saroj Kumar Roy: It is allowed.

Mahesh Kumar Sharma: Mohit, b asically, shortfall in generation, regulation allows us. In case we are not able to achieve design energy and the reasons for non -achieve ment are beyond our control, in that case, CERC regulation allows us even to bill. So, in that case, we are having order of interim tariff of 75%. We are going to bill that too at the rate of 75% of the tariff file d. So, this is as per regulation what we a re doing. There is no issue. We are going to bill and get it from the beneficiaries.

Mohit Kumar: Why is that TLDP -III and TLDP -IV has shown lower PAF in the quarter. Is there any particular reason? Are they impacted by something?

Saroj Kumar Roy: If you r emember October '23 events where we got heavy damages in Teesta -V, these flash floods had impacted our TLDP -III and TLDP -IV projects also. A lot of silt issues are there, which we are trying to come out of. Last year also, we had carried out some process to remove the silt and all, but again it has accumulated. Those issues we are now basically facing and hopefully , we will be able to come out of these issues within three months I believe.

Mohit Kumar: Understood. Which are the power plants you are lik ely to tender in this fiscal, my question is Sawalkot, Kamala, Subansiri Upper, Etalin, all these four will get tendered out this fiscal or do you think two will be this fiscal and two next fiscal?

Saroj Kumar Roy: Yes, we are also thinking from the same line an d hopefully , we will be able to do it.

Sanjay Kumar Singh: Actually, we have a target to bring five projects of hydro bring into construction stage during this financial year. Two have a lready been awarded, Uri -I Stage -II and Dulhasti Stage -II. Thre e more projects like Etalin, S awalkot and Kamala are also likely to be br ought into the construction stage during this financial year. One

more PSP also , we are targeting to bring into the construction stage which is Indira Sagar -Omkareshwar.

Mohit Kumar: Any update on Subansiri Upper, sir?

Sanjay Kumar Singh: Subansiri Upper, we may not be going this year. Next year , we may be going for that.

Mohit Kumar: Understood, sir. Thank you for answering.

Moderator: We have next question from the line of Murtaza from Kotak. Please go ahead.

Murtaza : Hi, sir. Just wanted to reconfirm, when you talked about Parbati -II doing a full year profit of Rs. 150 Crore is it not that very less against the regulated equity and project cost of Parbati -II like taking Rs. 150 Crore as the normalized profit? That is number one. Number two on Subansiri Lower, when you talked about that 80% revenue, given that you only part commissioned the capacity, you are well within the 80% and therefore you are booking the whole revenue for the se early units, is that understanding correct?

Saroj Kumar Roy: Let me take your question first for Par

bati -II. As we have shared that the revenue which we have recognized to Parbati -II is Rs. 1,320 Crore . The design energy of Parbati -II is 3,125 million units, whereas we have actually generated 1,642 million units in FY'26. If your generation is not there, you have not been able to book the entire expected revenue of Parbati -II. That is the reason you have not achieved the expected PAT level of Parbati -II.

Murtaza : It is only half the generation?

Saroj Kumar Roy: Yes. We have shared earlier also that in Parbati -II there was some cloudburst issue in June last year . So, that has basically stopped the expected gen eration of Parbati -II.

If I take your question for Subansiri Lower, we have shared that 80% of t he revenue we have recognized i.e. around Rs. 613 Crore only. Total revenue against the 506

million units is Rs. 613 Crore only. That is 80% of the expected AF C. If you gross it up, you will find Rs. 150 Crore under -recovery in Subansiri Lower also.

Murtaza : Two things. One is the actual generation is still much lower than the design energy, therefore the revenue is low and then it is at 80% of that, so even low er. Fair enough.

Saroj Kumar Roy: Exactly.

Moderator: Ladies and gentlemen, due to time constraint, that was the last question. I now hand the conference over to Mr. Rupesh Sankhe for closing comments.

Rupesh Sankhe: We thank the NHPC management for giving us an opportunity to host this call a nd we also thank all the investors and the analysts for joining this call.

Sanjay Kumar Singh : On behalf of NHPC, I would like to convey my thanks. Thank you so much all the investors.

Moderator: Ladies and gentlemen, on behalf of Elara Securities (India) Private Limited, that concludes this conference. Thank you for joining us, and you may disconnect your lines.